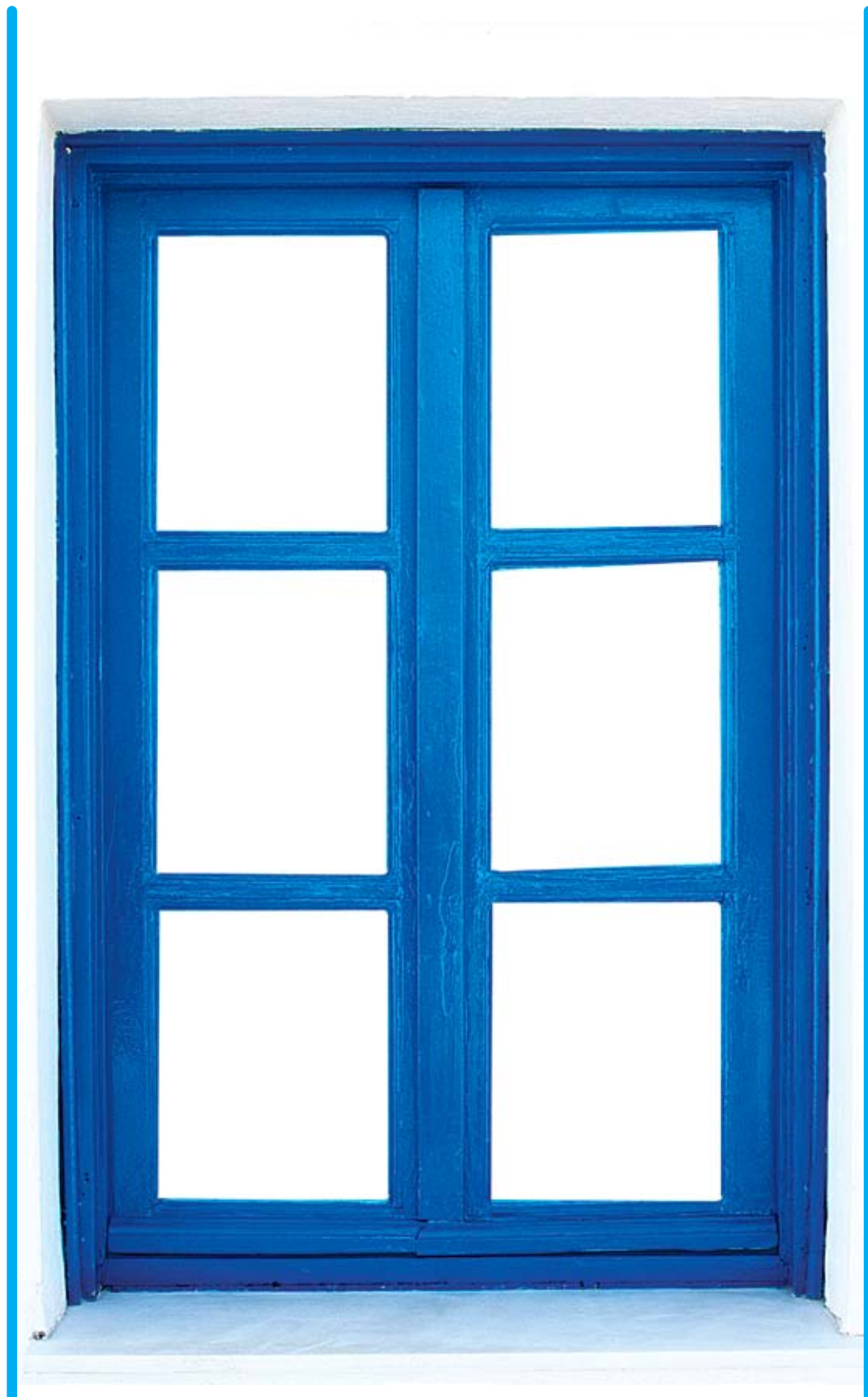


New Beginnings

Annual Report and Financial Statements 2012



 **BARCLAYS**



Our Values

Respect

We respect and value those we work with, and the contribution that they make.

Integrity

We act fairly, ethically and openly in all we do.

Service

We put our clients and customers at the centre of what we do.

Excellence

We use our energy, skills and resources to deliver the best, sustainable results.

Stewardship

We are passionate about leaving things better than we found them.

Cover Image: [Opening Doors](#)

With access to service satisfaction, new opportunities are created, allowing our clients to grow, to realize their full potential. To soar.

www.barclays.co.ke

Detailed Information

Strategic Report

A review of the performance of Barclays Kenya including key performance indicators and the chairman's statement.

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Governance

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Shareholder Information

Barclays at a Glance

“ Our strong brand, years of experience as well as a well defined business model have been pillars in delivering sustainable growth. ”

Total Income

Kshs 27,424m

Total income up 4%
on 2011

Profit Before Tax

Kshs 13,020m

Profit before tax up 4%
on 2011

Earnings per Share

Kshs 1.61

Earnings per share up 8%
from Kshs 1.49 in 2011

Deposits from customers

Kshs 137,915m

Deposits from customers up by
11% from Kshs 124,207 in 2011

Impairment losses on loans and advances

Kshs 144m

Impairment losses on loans and
advances down by 80%
from 2011

Total Assets

Kshs 184,826m

Total assets up 11% on 2011

Employees

4101

Total Dividends

5,431m

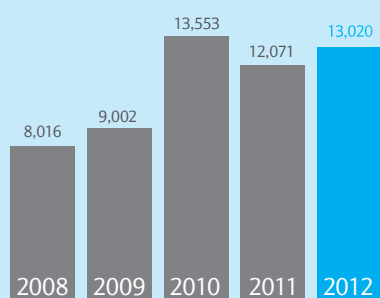
Branches

119

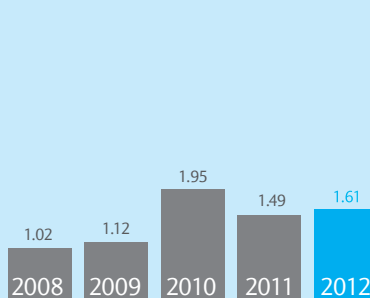
ATMS

230

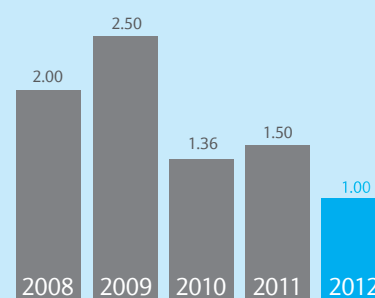
Profit Before Tax



Earnings per Share



Dividends per Share



Five Year Review

	2008 Shs million	2009 Shs million	2010 Shs million	2011 Shs million	2012 Shs million
Consolidated Income Statement					
Interest Income	17,821	17,517	17,131	17,632	21,041
Interest Expense	(3,811)	(2,747)	(1,457)	(1,296)	(2,896)
Net Interest Income	14,010	14,770	15,674	16,336	18,145
Non Interest Income	9,617	8,627	13,895	10,003	9,279
Operating Income	23,627	23,397	29,569	26,339	27,424
Operating expenses	(14,329)	(13,882)	(14,816)	(13,539)	(14,260)
Impairment on loans and advances	(1,282)	(513)	(1,200)	(729)	(144)
Profit before tax	8,016	9,002	13,553	12,071	13,020
Taxation	(2,491)	(2,911)	(2,954)	(3,958)	(4,279)
Profit after taxation	5,525	6,091	10,599	8,113	8,741
Earnings per Share	4.09	4.49	1.95	1.49	1.61
Dividends per Share	2.00	2.50	1.36	1.50	1.00
Dividend Payout Ratio	0.5	0.6	0.7	1.0	0.6
Consolidated Statement Of Financial Position					
Assets					
Loans and advances to customers(Gross)	109,368	94,056	88,347	99,801	104,348
Impairment losses on loans and advances	(1,282)	(513)	(1,200)	(729)	(144)
Cash and Short term funds	13,695	9,751	13,131	12,212	16,486
Government Securities	28,307	43,861	55,996	37,599	47,536
Property and Equipment	4,012	5,921	3,244	3,056	2,670
Other Assets	14,412	11,799	12,897	15,090	13,930
Total assets	168,512	164,875	172,415	167,029	184,826
Liabilities					
Customer Deposits	126,562	125,869	123,826	124,207	137,915
Other liabilities	21,455	14,797	17,124	13,599	17,327
Total Liabilities	148,017	140,666	140,950	137,806	155,242
Net Assets	20,495	24,209	31,465	29,223	29,584
Shareholders Funds	20,495	24,209	31,465	29,223	29,584
Performance Ratios					
Return on equity	27%	25%	34%	30%	30%
Cost income ratio	60.6%	59.3%	56.9%	51.4%	52.0%
Loan loss rate	1%	1%	1%	1%	0%
Balance Sheet Ratios					
Net advances to deposits(%)	85%	74%	70%	80%	76%
Impairment allowances/Gross Advances	3.0%	3.8%	4.2%	3.3%	3.5%
Classified Debt/Gross Advances	5.9%	6.0%	6.4%	4.5%	5.4%
Others					
Number of Employees	5,724	5,325	5,039	4,205	4,101
Number of Branches	117	119	119	119	119

Key Performance Indicators

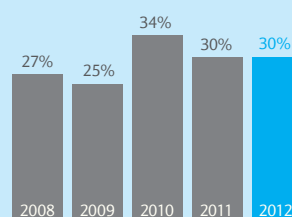
The Key Performance Indicators presented below reflect the way in which the performance of the Group has been measured during 2012.

Definition

Return on Shareholders Equity

ROE is calculated as profit for the year attributable to equity holders of the parent divided by average shareholders' equity for the year excluding non controlling interests.

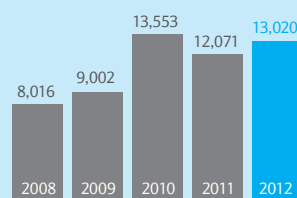
Shareholders' equity is made up of share capital, retained earnings and other reserves



Profit Before Tax

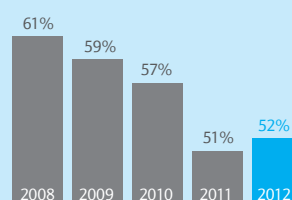
Profit before tax is primarily profitability measures used by management to assess performance.

Profit before tax is stated in accordance with International Financial Reporting Standards and represents total income less impairment charges and operating expenses.



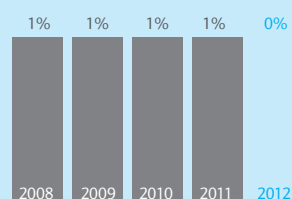
Cost Income Ratio

Cost income ratio is defined as operating expenses compared to total income



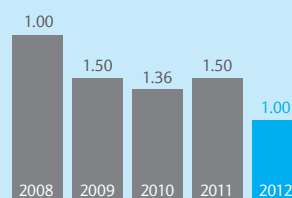
Loan Loss Rate

The loan loss rate represents total loan impairment divided by gross loans and advances to customers.



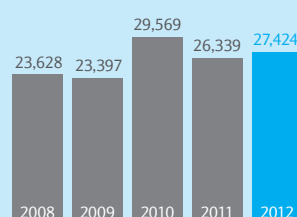
Dividend per Share

It is the Group's policy to declare and pay dividends.



Total Income

This represents both interest and non interest income less interest expense.



Why it is Important to Management and Shareholders

This ratio measures how much profit the shareholder's investment has generated. A higher ROE percentage indicates that shareholders are receiving a better return on their investments.

Achieving target returns demonstrates the organisation's ability to execute its strategy and align interests of management and shareholders.

Return on our shareholders equity has remained steady at 30% during the same period last year. This has enabled us to consistently declare dividends year on year.

Profit before tax is a key indicator of financial performance to many of our stakeholders.

In 2012 profit before tax increased by 8%

The cost-to-income ratio is a key financial measure as it gives investors an a clear view of how the business is being run.

This is a measure management uses to assess the productivity of the business operations.

Restructuring the cost base is a key execution priority for management and includes a review of all categories of discretionary spending and an analysis of how we can run the business to ensure that costs increase at a slower rate than income.

The granting of credit is one of Barclays major sources of income and its most significant risk. The loan loss rate is an indicator of the cost of granting credit.

The ability to pay dividends demonstrates the financial strength of the group. Whilst recognizing the regulators desire for us to maintain strong capital ratios, in light of revised prudential guidelines, the dividend distributions when compared to historical highs, have been prudent.

Total income is a key indicator of financial performance to many of our stakeholders and income growth a key execution priority for management.

Total income has grown to Kshs 27.4B up from 26.3B. The biggest contributor of this growth came from net interest income growth of 11% from Kshs 16.3B in 2011 to Kshs 18.1B in 2012. This is as a result of growth in loans and advances while at the same time managing the cost of funds.



Kenya Review

Who We Are

Barclays Bank of Kenya Limited, a subsidiary of Barclays Plc, is one of the top banks in Kenya. Our business units fall under Retail, Corporate, Treasury and Card Services with cross functional relationships to support the segments of local business and small to mid-sized enterprises (SME).

Barclays financial strength coupled with extensive local and international resources have positioned Barclays as the top provider of financial services in the market for the past several years. Moreover, Barclays consistent financial performance has built confidence in our leadership and management among our Bank's shareholders, as well as the industry overall.

We have operated in Kenya for 97 years, and currently have an extensive network of 117 branches and over 230 ATM's countrywide. Our network is supported by Internet and mobile banking channels plus a Customer Service Centre that operates 24 hours a day, 7 days a week.

Our Goals

Lead

To remain the leading retail and corporate bank in Kenya

Trusted

To be recognised as a trusted, innovative, customer-focussed company that delivers products and services of superior quality to all customers.

Best

To be the best place where the best people want to work.

Contribute

To be associated by all stakeholders as a corporate partner who contributes towards the welfare of the communities in which we work.

Deliver

To deliver value to our shareholders through positive growth.

Our Purpose

Helping people achieve their ambitions – in the right way We exist for our clients and customers, for our shareholders, our colleagues, and other stakeholders – we exist for the purpose of helping people achieve their ambitions.

Helping people – in the right way – means how we do it becomes as important as what we do.

What We Want To Be

Becoming the 'Go-To' Bank

Our goal is to build not only a sustainable, trusted business, but a business which customers and clients consider as the first choice for answers and solutions – their 'Go-To' bank.

Customers and clients will benefit from our focus on doing business in the right way, putting them firmly in the centre of all that we do. 'Go-To' means a more efficient way of doing business and developing deeper relationships that sustainably improve return on shareholder investment.

Our Values

Respect

Respect means respecting and valuing those we work with – our colleagues and other stakeholders. It is about building trust and promoting collaboration.

Integrity

Integrity demands we act fairly, ethically and honestly. This requires us to have the courage always to do the right thing, never tolerating the wrong thing, and to be accountable for our decisions.

Service

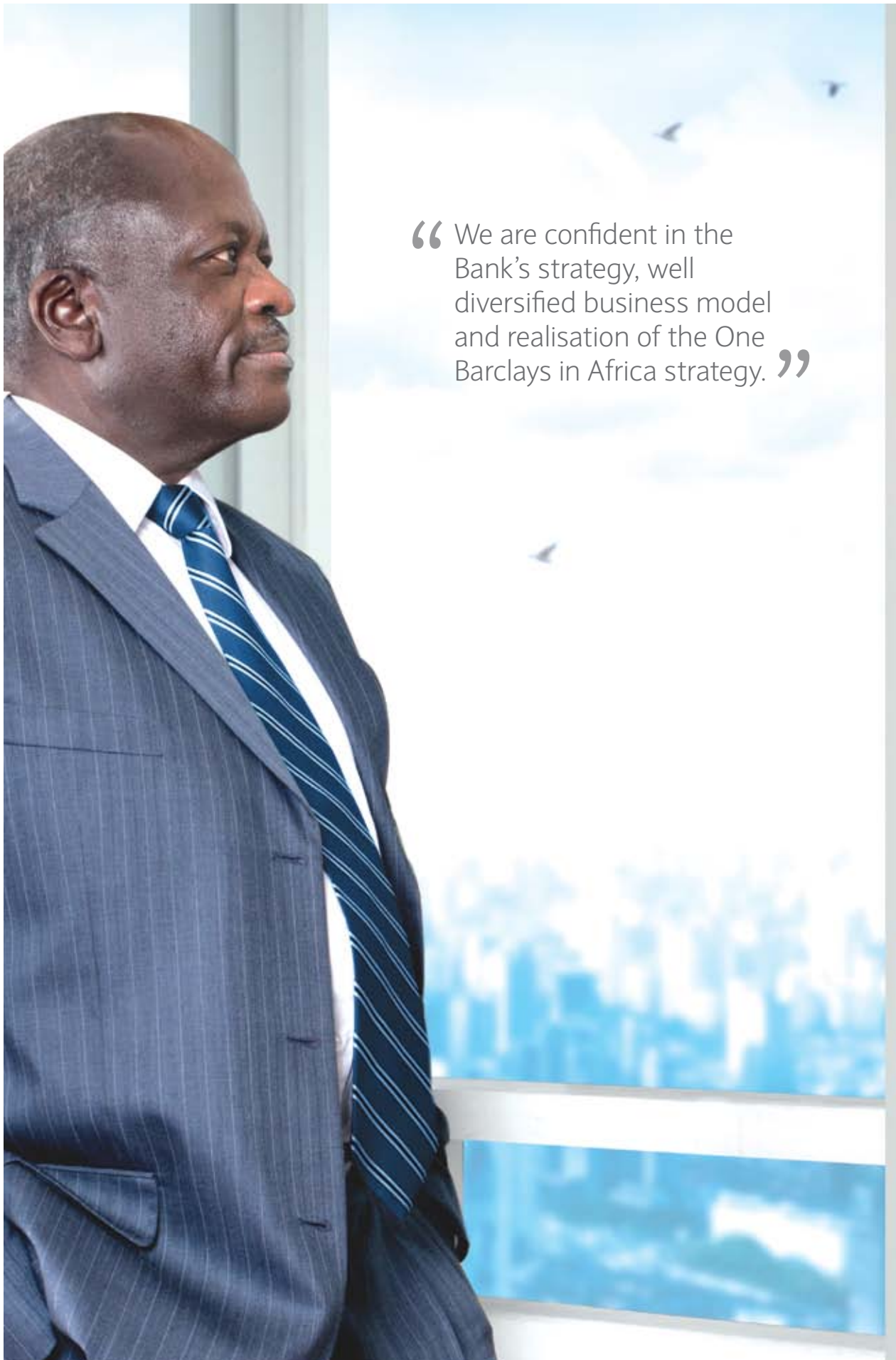
Service means ensuring our clients and customers are always uppermost in our minds. We must strive to exceed their expectations so we automatically become their 'Go-To' bank.

Excellence

Excellence calls on us to use all our energy, skills and resources to deliver great service for our customers and clients and outstanding sustainable results for shareholders.

Stewardship

Stewardship is about being determined to leave things better than we found them, so we constantly strive to improve the way we operate as an organisation and the impact we have on society



“ We are confident in the Bank’s strategy, well diversified business model and realisation of the One Barclays in Africa strategy. ”

Chairman's Statement

Change in the Wind

Introduction

The year 2012 was a year we embraced bold moves to open up new beginnings for the business, our customers and community at large. Whilst facing several macroeconomic challenges, we have soldiered on to deliver on our promise. Our strong brand, years of experience, and a well defined business model have been pillars in delivering consistent and sustainable growth. I would like to begin by introducing our new Managing Director Mr. Jeremy Awori who joined us in February 2013. Jeremy is a person of great talent and considerable banking experience, having worked in around the globe for 16 years in aggregate.

At the same time, there have been some changes in the Bank's senior management team in the areas of Consumer banking, Marketing, Corporate risk and Retail risk. These changes have been done to strengthen our competitiveness as well as enhancing our goal of becoming the 'Go-To' bank. We welcome Jeremy on the Board of Barclays Bank of Kenya and look forward to working with him to move the Bank forward in its growth trajectory.

On behalf of the Board of Barclays Bank Kenya, I would like to pay special tribute to Mr. Adan Mohamed who has diligently served as Managing Director of the Bank for more than 10 years. His transformative leadership, passion, commitment and dedication have seen us lead on many fronts. As part of his own personal and professional growth within the Barclays Group, Adan has been appointed the Chief Administrative Officer for Barclays Africa, a role that will see him have oversight over ten countries in Barclays Africa. We wish him well in his new appointment. Adan will continue to serve as a Non-Executive Director on the Barclays Bank of Kenya Board for some time to ensure a smooth transition.

Operating Environment

During the year under review, the economy slowed down to achieve an estimated Gross Domestic Product (GDP) growth rate of 4.3% compared to the growth of 4.4% in 2011 and a forecast of 5%. This was mainly as a result of the turbulent business environment that was characterised by high interest rates particularly in the first half of the year. Investor apprehension about the General Elections in March 2013 also saw the slowdown of investor activities in the country towards the last quarter of the year.

In order to tame the volatility in the macroeconomic indicators and the general economy, the Central Bank of Kenya tightened monetary policies. The Government nonetheless continued with the general trend of investment in infrastructure which is acting as a catalyst to the country's economic growth and development.

The resilience of the Kenyan people and sound leadership, within both the private and public sectors contributed to the overall performance of the economy.

Banking Sector Developments

The banking sector sustained its growth momentum on the backdrop of declining inflation, stabilization of the Kenyan Shilling and downward revision of lending interest rates.

The 12 month cumulative average flow of diaspora remittances reached a peak of Dollar 97.6 million in December 2012 from Dollar 74.3 million in December 2011. The sustained increase resulted in a 31.4% growth in remittance inflows from Dollar 891.1 million in 2011 to Dollar 1.2 billion in the full year of 2012, an indication of resilience in remittance inflows to Kenya despite the weak global economy. The convergence of traditional banking services and electronic banking peaked during the year under review and is probably the single most significant contributing factor to this trend. Thus, Barclays felt the need to be part of this growth through the introduction of Pingit, an innovative mobile money transfer platform for our customers who reside in the United Kingdom to send money home at no charge.

Indeed, application of electronic concepts, techniques and the development of supportive policies and strategies centred on customers will continue to be a critical driver of growth within the financial sector and will be a prerequisite for local and global competitiveness.

Kenya's banking sector has been recognized as a significant contributor to the country's economic growth as Banks have innovated to empower the public and increase access to formal financial services for a greater number of citizens. As we recover from investor nervousness due to the recently concluded General Elections, we expect an improved economic outlook in Kenya as various sectors respond to the improved macroeconomic variables alongside the devolved governance structures in the country.

Regulatory Environment

The regulatory environment in which we function is complex and rapidly changing, as regulators respond to challenges at the national, regional and international levels. The regulators therefore have continuously strived to strike a balance between the need for financial stability and the fundamental role played by financial institutions in general. During the period under review along with the other players in the banking industry, we participated in several initiatives which included the formulation of the revised Central Bank of Kenya Prudential Guidelines that govern the conduct of business by banking institutions in the country.

Chairman's Statement (continued)

Change in the Wind



The chairman Francis Okello gives a key note during the Barclays Africa Chairman's Conference.

Necessary steps are being taken to ensure full compliance with the revised CBK's Prudential Guidelines within the stipulated time frames.

The Board and Management continued to work towards creating more shareholder value throughout the year. We are proud that the business posted another solid year in terms of sustainable profitability to achieve profit before tax of Shs 13 billion.

Following the Bank's solid performance, the Board of Directors recommends to shareholders a final dividend of 70 cents per share. Including the previously declared and paid interim dividend of 30 cents per share, the total dividend payout for the year will be Shs 1.00 per share.

We are confident in the Bank's strategy, well diversified business model and realisation of the One Barclays in Africa strategy. We have a highly skilled and experienced team that will drive our strategy to fruition.

'One Bank in Africa' Strategy

During the year under review, Barclays Bank PLC and its subsidiary Absa Group Limited of South Africa announced their agreement to combine the majority of Barclays operations in Africa with Absa under the holding company, Barclays Africa Limited. The aim of the combined operations is to achieve the 'One Bank in Africa' strategy aimed at fully benefitting from the synergies and economies of scale of the various Barclays businesses in Africa.

The proposed strategic combination will be effected by way of an acquisition of Barclays Africa Limited by Absa Group Limited which will eventually change its name to Barclays Africa Group Limited. As a result of the transaction, Barclays Bank PLC's stake in Absa will increase from 55.5% to 62.3%. It is also expected that Barclays Africa Limited will hold all or a significant majority of the portfolio, comprising Barclays's ownership interests in banking operations in Botswana, Ghana, Kenya, Mauritius,

Seychelles, Tanzania, Uganda and Zambia, as well as the Barclays Africa Regional Office in Johannesburg. The proposed strategic combination is subject to statutory approvals being obtained in various jurisdictions. The listing of Barclays Bank of Kenya Limited on the Nairobi Securities Exchange will continue to be maintained since only the shares held by Barclays Bank PLC in the entity will be transferred in the proposed combination. The proposed combination will not therefore impact the number of shares held by minority shareholders.

The proposed combination accelerates Barclays 'One Bank in Africa' strategy and its goal to become the 'Go-To' bank on the continent. This proposition is set to open up new beginnings and provide the Bank with greater growth opportunities for our business thus creating better value for our shareholders, our customers, colleagues and the communities that we live and operate in.

During the year we were privileged as a Board to host the Barclays Africa Chairmen's conference which brought together Chairmen and some Non-Executive Directors from all the Barclays Africa countries to consider the strategic possibilities presented by the One Bank in Africa Strategy.

2013 Outlook

With the 2013 General Elections behind us, the economic growth outlook is promising. It is evident that the Kenyan people have learnt from the lessons of the past and have stood firm and united in ensuring stability as our democracy evolves. The incoming Government has a huge task of overseeing the implementation of the new Constitution, which lays a firm foundation for greater political, economic and social stability. We will continue to play our part as we have always done, to support the Government in developing the economy.

We at Barclays are marching forward confidently with the aim of supporting new beginnings for Kenya under the new constitutional dispensation for the benefit of our valuable stakeholders and the economy in general. We will continue to navigate the economic environment prudently, ensuring that Barclays is positioned to continue to achieve sustainable profitability into the future. We promise to continue to deliver consistent and sustainable performance and strengthen our presence in Kenya through relentless focus on our customers' needs and contribution to the country's economic development through our Citizenship Agenda. More about our Citizenship Agenda is set out in the Corporate Social Responsibility Report on pages 46 to 49 of this Annual Report.

In conclusion, I salute Barclays Bank of Kenya shareholders, customers, employees and partners, for their unwavering support and dedication to the Bank and for their confidence in the Board and Management. I laud the Government and the Central Bank of Kenya for their invaluable support and contribution to the development of a sound banking sector which is the envy of many other countries.



Francis Okomo-Okello
Chairman

Taarifa ya Mwenyekiti

Mabadaliko Yako kwa Hewa

Katika mwaka wa 2012 tulichukua hatua za ujasiri za kuwa na mwanzo mpya katika biashara, wateja wetu na jamii kwa ujumla. Huku tukikabiliwa na changamoto kadhaa za kipeo kikubwa cha uchumi tumeendelea kutimiza ahadi yetu. Rajamu yetu, miaka ya uzoefu pamoja na mfumo wa biashara unaofahamika vyema vimekuwa nguzo katika kuwa na ustawi endelevu.

Ningependa kuanza na kumtambulisha meneja wetu mpya mkurugenzi Jeremy Awori ambaye alijiunga nasi mwezi wa Februari 2013. Jeremy ni mtu ambaye ana kipaji kikubwa na mwenye uzoefu katika sekta ya benki kwani amefanya kazi kote duniani kwa takriban miaka 16. Wakati huohuo kumekuwa na mabadiliko kiasi katika usimamizi mkuu wa benki katika shughuli za benki za mteja, masoko, athari za shirika na athari za reja reja. Mabadiliko haya yamefanywa kuimarisha ushindani wetu pamoja na lengo letu la kuwa Benki ya kuenda ('Go-to bank'). Tunamkaribisha Jeremy katika Halmashauri ya Benki ya Barclays ya Kenya na tunatarajia kufanya kazi naye pamoja katika kuipeleka mbele Benki katika ukuaji wake wa tao la mtupo angani.

Kwa niaba ya halmashauri ya Benki ya Barclays, ningependa kutoa shukurani za dhati kwa Bw. Adan Mohamed ambaye amehudumu kwa bidii kama Meneja Mkurugenzi wa benki kwa zaidi ya miaka 10. Uongozi wake, hisia zake na kujitolea kwake kumesababisha tuongoze kwa namna nyingi. Kama sehemu ya ukuaji wake wa kibinafsi na kitaaluma katika kampuni ya Barclays, Adan ameteuliwa kuwa Afisa Mkuu wa Usimamizi wa Barclays Africa jukumu ambalo litapelekea asimamia zaidi ya mataifa kumi katika Barclays Afrika. Tunamtakia kila la heri katika wadhifa wake mpya. Adan ataendelea kuhudumu kama mkurugenzi mkuu asiyekuwa na mamlaka ya utendaji kwa muda ili kuhakikisha kuna hali shwari ya mpito.

Mazingira ya Utendaji

Katika mwaka tunaouchambua, ukuaji wa uchumi ulipungua na pato la ndani la kitaifa (GDP) lilikuwa 4.3% ikilinganishwa na ukuaji wa 4.4% mwaka wa 2011 na utabiri wa ukuaji wa asilimia tano. Hali hiyo ilitokana na mazingira yasiyodhibitika ya biashara ambayo yalishirikisha viwango vya juu vya riba hasa katika nusu ya kwanza ya mwaka. Hofu ya wawekezaji kuhusu uchaguzi wa Machi 2013 pia ilisababisha kupungua kwa shughuli za uwekezaji nchini katika robo ya mwisho ya mwaka.

Ili kukabiliana na kubadilika katika viashirio vya uchumi katika upeo mkubwa na uchumi kwa ujumla Benki Kuu ilikaza kamba kuhusu sera za pesa. Hata hivyo serikali iliendelea na uwekezaji katika miundo-msingi ambayo ilichochea ukuaji na ustawi wa uchumi wa nchi. Uimara wa watu wa Kenya na uongozi mzuri katika sekta zote za umma na kibinafsi vilichangia katika matokeo ya jumla ya uchumi.

Yaliyojiri Katika Sekta ya Benki

Sekta ya Benki ilidumisha ukuaji wake wakati mfumuko wa bei ukipungua, shilingi ya Kenya ikiwa thabiti na viwango vya riba vya mikopo vikipungua.

Wastani wa ulimbikizaji wa miezi 12 wa pesa kutoka ng'ambo ulifikia dola milioni 97.6 za Marekani Disemba 2012 kutoka dola milioni 74.3 za Marekani Disemba 2011. Ongezeko hilo lilisababisha ukuaji wa 31.4% wa pesa zinazolingizwa nchini kutoka dola milioni 891.1 katika mwaka wa 2011 hadi dola bilioni 1.2 katika mwaka wote wa 2012, ishara ya uimara wa kuingizwa kwa pesa nchini Kenya licha ya uchumi kudorora duniani.

Kuletwa pamoja kwa huduma za benki za kawaida na huduma za benki za kieletroniki kuliimarika katika mwaka unaochambuliwa huenda ikawa ni sababu moja kuu iliyochangia taswira hiyo. Na hivyo Barclays iliona ipo haja ya kuwa katika ukuaji huo, kupitia uzinduzi wa pingit, huduma ya uhamishaji wa pesa kutoka kwa wateja wetu walioko Uingereza hadi nyumbani bila malipo.

Bila shaka matumizi ya mifumo ya kieletroniki, mbinu na ufafanuzi wa sera zinazosaidia pamoja na mikakati inayolenga wateja yatakuwa na umuhimu mkubwa katika kuelekeza ukuaji ndani ya sekta ya fedha na itakuwa ni sharti katika ushindani wa humu nchini na duniani. Sekta ya benki ya Kenya imetambuliwa kama yenye mchango mkubwa katika ukuaji wa uchumi wa nchi huku mabanki yakibuni namna za kuwezesha umma na kuongeza kupatikana kwa urahisi huduma rasmi za kifedha kwa ajili ya idadi kubwa ya raia.

Huku tukipata ahueni ya wasiwasi wa wawekezaji kufuatia uchaguzi mkuu ulioisha hivi majuzi, tunatarajia kuimarika kwa uchumi wa Kenya huku sekta tofauti zikitumia fursa ya kuboreshwa kwa vipeo vikuu vya uchumi sambamba na mfumo wa utawala wa ugutuzi hapa nchini.

Mazingira ya Udhibiti

Mazingira ya udhibiti ambayo tunahudumu ni magumu na yanayobadilika haraka, huku wadhibiti wakikabili changamoto katika viwango vya kitaifa, kanda na kimataifa. Na hivyo wadhibiti wamekuwa wakijibidiisha kuleta urari kati ya haja ya kuwa na uthabiti wa kifedha na jukumu kuu linalotekelezwa na taasisi za kifedha kwa ujumla.

Katika kipindi cha mwaka tunaouchambua pamoja na washindani wengine katika sekta ya benki, tulishiriki katika shughuli kadhaa zikiwemo utayarishaji wa miongozo ya busara iliyorekebisha ya Benki Kuu ya Kenya ambayo inaongoza muelekeo wa biashara na taasisi za benki humu nchini. Hatua muhimu zinachukuliwa kuhakikisha ufuataji kikamilifu wa miongozo iliyorekebisha ya CBK katika muda uliowekwa.

Matokeo ya Barclays

Halmashauri na usimamizi waliendelea na kushughulika kuongeza thamani ya mwenyehisa katika mwaka wote. Tunafurahi kuwa biashara imekuwa na mwaka mwengine thabiti katika kuendelea kuwa na faida na kupata faida ya shilingi bilioni 13 kabla ya kutozwa ushuru.

Kufuatia matokeo hayo mazuri ya Benki, halmashauri ya wakurugenzi imependekezwa wenyehisa walipwe mgao wa mwisho wa senti 70 kwa kila hisa. Ikijumlishwa na mgao wa awali wa senti 30 kwa kila hisa, jumla ya mgao wa mwaka ni shilingi moja kwa kila hisa.

Tuna imani na mkakati wa benki, mfumo mzuri wa biashara anuwai na ufanikishaji wa mkakati wa Barclays moja Afrika. Tuna wafanyikazi wenye ujuzi mkubwa na uzoefu ambao watafanikisha mkakati wetu.

Mkakati wa Benki Moja Afrika

Katika mwaka tunaouchambua, Benki ya Barclays PLC na kampuni tanzu ya Absa Group ya Afrika Kusini zilitangaza mkataba wao wa kuunganisha shughuli nyingi za Barclays barani Afrika na Absa chini ya kampuni iliyopendekezwa, Barclays Africa Limited. Lengo la kuunganisha shughuli ni kufaulisha mkakati wa Benki Moja Afrika unaolenga kunufaika na ufanyaji kazi pamoja na punguo la wastani wa gharama kutokana na ongezeko la kiwango cha uzalishaji wa biashara tofauti za Barclays Afrika.

Mkakati wa pamoja uliopendekezwa utatekelezwa kwa njia ya Absa Group limited kuimiliki Barclays Africa Limited. Kufuatia mkataba huo, dau la Benki ya Barclays PLC katika Absa litaongezeka kutoka 55.5% hadi 62.3%. Pia inatarajiwa kuwa Barclays Africa limited itadhibiti yote au kwa asilimia kubwa orodha ya fedha zilizowekwa kwa faida ikijumuisha umiliki wa barclays katika shughuli za benki za Botswana, Ghana, Kenya, Mauritius, Ushelisheli, Tanzania, Uganda na Zambia pamoja na afisi ya kanda ya Barclays Africa iliyoko Johannesburg. Mkakati wa uunganishaji uliopendekezwa utategemea uidhinishaji wa kisheria utakaopatikana katika mamlaka tofauti za kisheria.

Kuorodheshwa kwa Benki ya Barclays ya Kenya katika soko la hisa la Nairobi kutadumishwa kwani hisa ambazo zinamilikiwa na Benki ya Barclays PLC pekee zitahamishwa kuambatana na pendekezo la uunganishaji. Pendekezo la muungano halitaathiri idadi ya hisa zinazomilikiwa na wenyehisa wachache

Muungano uliopendekezwa utaongeza kasi mkakati wa Barclays wa 'Benki Moja barani Afrika' na lengo lake la kuwa Benki ya kuenda ('Go-To') katika bara hili. Pendekezo hili litaleta mwanzo mpya na kuipa benki fursa zaidi za ukuaji wa biashara yetu na hivyo kuwa na thamani bora kwa wenyehisa wetu, wateja wetu, wenzetu na jamii tunazoishi na tunazoshughulika nazo.

Katika mwaka huo tulibahatika kama halmashauri kuandaa kongamano la wenyeviti la Barclays Africa lililowaleta pamoja wenyeviti na baadhi ya wakurugenzi wasiokuwa na mamlaka ya utendaji kutoka nchi zote za Barclays Africa ili kujadili fursa za kimikakati zinazotokana na mkakati wa Benki Moja barani Afrika.

Mtazamo wa 2013

Kufuatia kumalizika kwa uchaguzi mkuu wa 2013, mtazamo wa ukuaji wa uchumi unaibua matumaini. Ni dhahiri kuwa wakenya wamejifunza kutoka yaliyopita na kusimama kidete na kuungana katika utengemano huku demokrasia yetu ikikua. Serikali mpya ina jukumu kubwa katika kusimamia utekelezaji wa katiba mpya ambayo inaweka msingi bora wa uthabiti zaidi wa kisiasa, kiuchumi na kijamii. Tutaendelea kutekeleza kinachotupasa kufanya kufanya, kuisaidia serikali kukuza uchumi.

Sisi hapa Barclays tunasonga mbele na matumaini tele na lengo la kusaidia mwanzo mpya wa Kenya chini ya katiba mpya kwa ajili ya manufaa ya wadau wetu wenye taadhima na uchumi kwa ujumla. Tutaendelea kuwa na ushawishi ulio salama katika mazingira ya kiuchumi huku tukihakikisha Barclays inasalia kuendelea kupata faida katika siku za usoni. Tunaahidi kuwa na matokeo ya kuridhisha na kuimarisha kuwepo kwetu nchini Kenya kupitia uangalizi zaidi wa mahitaji ya wateja na kuchangia ustawi wa uchumi wa nchi kupitia ajenda yetu ya uraia. Maelezo zaidi kuhusu ajenda yetu ya uraia. Mengi zaidi kuhusu ajenda ya uraia yameelezwa katika ripoti ya uwajibikaji wa shirika katika jamii kuanzia ukurasa wa Hadi wa katika ripoti hii ya matokeo ya Mwaka.

Na kuhitimisha, ninawapa hongera wenyehisa wa Benki ya Barclays, wateja, wafanyikazi na wabia kwa kuunga mkono benki na kujitolea bila kuyumba na kuwa na imani na halmashauri na usimamizi. Ninaipongeza Serikali na Benki Kuu ya Kenya kwa ushirikiano wao na mchango wao katika ustawishaji wa sekta ya benki ambayo inahusudiwa sana katika nchi yenyeengine nyingi.

Francis Okomo-Okello
Mwenyekiti

Technology Advancement.

We continue to drive efficiency through investment in technology and improved productivity.





Managing Director's Report

Beginning of a New Journey

Introduction

We are pleased with our overall business performance in 2012 which is in line with our strategic plan and focus on providing efficient service to our customers and sustainable returns to our shareholders.

Our focus on serving our customers remains paramount. We continue to balance the need for balance sheet growth while at the same time balancing the risk profile in the bank. This is achieved by being sensitive to changes in the external environment, whilst competing strongly in all the market segments that we serve. To enhance our offering, we have introduced various alternative banking channels by leveraging on technology to make the lives of our customers much easier.

We have built a great brand and a strong business which I have had the privilege of leading for more than a decade. I am confident that we are well positioned for steady growth that will withstand negative effects of any potential challenges in the macro-economic environment similar to the one we experienced in 2011 and 2012. We have achieved significant progress on all key performance indicators during my tenure, thanks to the collective efforts of every one of our employees, the unwavering support of the Board of Directors and our customers. I say thank you for your unwavering support and ask that you accord my successor the same.

Performance Review

During the year under review, Barclays Bank of Kenya recorded profit before tax of Shs13 billion up from Shs 12 billion in 2011. Our overall financial performance was driven by positive improvement in income, costs efficiency and excellent management of non-performing loan accounts.

Total income has grown to Shs 27.4bn up from Shs 26.3bn in 2011. The biggest contributor of this growth came from net interest income which grew by 11% from Shs 16.3bn in 2011 to Shs 18.1bn in 2012. This is as a result of growth in loans and advances while at the same time managing the cost of funds.

Operating costs remained under tight control and increased by a marginal 5% despite high inflation levels in the first half of 2012. We continue to drive efficiency through investment in technology and improved productivity.

Asset quality continued to remain healthy with gross non-performing assets as of December 2012 dropping to Shs 3.8bn from Shs 5.5bn in 2011. The Loan Loss provision also reduced by 80% to Shs 144 million, a clear indication of the quality of assets that have been underwritten by the Bank over the past years.

During the period under review, our core capital ratio remained strong at 22.7% against a regulatory minimum ratio of 8%. Our liquidity ratios were also very strong at 46.8% against a regulatory minimum of 20%. This provides us with a strong base to meet our customers' needs in 2013 and beyond. The strong capital position places the Bank in a very good position in view of changes introduced recently by the Central bank through its revised Prudential guidelines. These changes require commercial banks to over time maintain a capital conservation buffer of 2.5% and also include market and operational risk components in the computation of its capital ratios.

Risk Management and Controls

We have clear risk management objectives and an established strategy to deliver them through core risk management processes. This enables us to fully understand and minimise the impact of uncertainty in the business.

Responsibility for risk management resides at all levels within the bank, from the Board and the Executive Committee down through the organisation to each business manager and risk specialist. The bank distributes these responsibilities so that risk/return decisions are taken at the most appropriate level: as close as possible to the business, and subject to robust and effective review and challenge. Independent risk teams are in place to support close working relationships with the business teams taking on the risk. These risk teams ultimately report to a Chief Risk Officer.

We have an independent compliance function which is supported by a robust compliance framework, coupled with a range of policies covering various compliance risks including Anti Money Laundering, Know Your Customer (KYC), Bribery and Corruption, and Consumer Protection. We have also maintained a strong relationship with our regulators both local and international and are committed to continue playing the role of ensuring that business is conducted in a fair, transparent and compliant manner; and in the spirit of treating customers fairly.

Market Leadership

Barclays Bank continued to help shape the market trends as opinion leaders. This is evidenced by the awards and accolades we received in 2012. Some of the awards that we received included the areas of Product Innovation, Retail Banking and Use of Technology

Our role as opinion leaders was also clearly underwritten by invitations to participate in various forums including the Africa Banking and Finance Conference, the Banking and Mobile Money COMESA Conference and the African Alliance Investor Conference. We were recently voted as the best bank in Kenya in the prestigious Global Finance 2013 awards; Global Finance is the world leading corporate finance magazine.

Managing Director's Report (Continued)

Beginning of a New Journey



The CFO, Yusuf Omari, receives a BBK distinguished tax payer award from the former president Mwai Kibaki.

Investing for the Future

During the last five years we have made significant investments in our technology infrastructure in order to improve operational efficiency and deliver service excellence to our customers. These investments include: implementation of a new core banking system, alternative channels e.g. mobile banking, internet banking, and the launch of a 24 hour contact centre. This has enhanced product and process innovation enabling the bank to deliver a wide array of customer centric solutions.

During the year we implemented a new process called "Imaging and Workflow" that is aimed at facilitating electronic flow of customer information. This will ultimately transform our processes from the inefficient paper based, to a paperless banking, as well as enhancing the speed of service delivery.

We have also moved the bank's Head Office to a new environmentally friendly purpose fitted facility located along Waiyaki Way in Nairobi. The move to the "West End" building has ultimately consolidated our different head office departments with a staff compliment of about 500, into one location. The building features a modern architectural design and has been suitably outfitted with ultra-modern energy conservation systems. It is one of the few 'persons with disability' friendly buildings featuring access ramps and related amenities. The move to West End building provides convenience for both our staff and esteemed clients who remain a critical component of our next phase of growth.

Customer Service Standards

Customers everywhere are looking for a simpler, more efficient and effective way to do business and a transparent approach to banking and payments. This year, we made a significant leap by launching the new customer service standards aimed at improving the customer experience at Barclays.

During the year, we continued investing and enhancing our contact centre proposition. The contact centre provides a high level of customer care service to serve our customer needs either via e-mail or calls 24/7 including public holidays. With the launch of this centre, our objective is to provide an enhanced level of service through excellent customer care and the effective handling and monitoring of account and product enquiries. Contact centre also acts as a channel which makes the customers and the general public aware of the bank's products and services while at the same time enabling them to carry out banking transactions. The set up of an in-bound/out-bound contact is in line with our business strategy that seeks to bolster our services offering, support network expansion and enhance the customer experience.

Achieving positive customer experience is a top priority for us and thus enhancing our capabilities by building our competencies remain a focus area. We also strive to treat all our customers fairly and provide competitive value propositions in a bid to become the Go-To bank for all our customers.

Treasury

We offer traditional treasury products at competitive prices and provide innovative risk management and hedging solutions. With a presence and active participation in key financial markets, Barclays Bank of Kenya can price products competitively and offer the best advice to our clients. Our team of dedicated professional dealers provide unmatched service within the region.

During the year, we saw the Kenya shilling open at a high of 87.50 to the dollar and gradually strengthened to trade on average at 84.70. The Central Bank occasionally stepped in to defend the shilling, which was further aided by a tight monetary stance adopted by the Central Bank from late 2011.

The first half of 2012 was characterised by tight monetary policy adopted from the previous year. However, an improvement in inflation and a favourable macro-economic environment enabled the Central Bank to begin a monetary easing cycle. This saw the Central Bank revise its benchmark rate downwards to close the year at 9.50% from 18% at the beginning of the year. As the Central Bank embarked on an easing campaign, the industry followed suit by reviewing rates downwards to support private credit growth in the economy.

Corporate Banking

Our award winning corporate business in Kenya has grown from strength to strength as we have established ourselves as a reliable financial partner for all corporate clients and multi national corporations.

We leveraged on our global, regional and local capabilities to the benefit of our corporate clients in landmark deals, such as advisory role to Kenya Electricity Generating Company (Kengen) in a Dollar 5b transaction to raise capital to expand power generation capacity. Other major deals included Dollar 250m Capital Advisory for East African breweries, and Dollar 30m fuel hedging for Kenya Airways.

We introduced products like Supplier Finance, Mpesa Bulk Payment, Collections Bill Validation and our latest addition; La Riba Asset Finance which is a Shariah Compliant Asset finance solution. This is the first fixed profit solution in the market. This allows our customers' to effectively manage their cash flow due to predictability of repayments.

Consumer Banking

Barclays Consumer Banking is comprised of Retail Banking, Local Business and Credit Card business. Our goal is to become the 'Go-To' bank by helping people achieve their ambitions – in the right way.

Retail

We continued to develop innovative products and services that give our customers a convenient choice, security and affordability. We continue to revamp our local business / Business banking proposition targeting the small and medium enterprises as an avenue to enhance our presence in this segment.

During the year in review, we introduced the first of its kind mobile money transfer service dubbed PINGIT to boost mobile commerce and Diaspora remittances. PINGIT service allows Barclays customers in Kenya to receive money from their friends, families and business associates in the UK for free. Attesting to Kenya's growing standing as a strategic Sub-Saharan Africa market hub, Barclays Bank PLC picked Kenya as the lead launch pad in Africa. There are plans to further rollout the service across 12 African countries by the end of the year alongside further expansion into Europe in early 2013

Barclays Bank of Kenya has embarked on an ambitious project to install touch screen Automated Teller Machines (ATM) across its network, barely a year after unveiling free ATM withdrawals to all BBK customers across its 230 ATM locations nationwide.

By introducing ATM's with key features such as a coloured interactive touch screen and cheque deposit slots, we hope to encourage the sustained use of Barclays Bank electronic banking channels for such options as utility bill payments and cheque deposits, among others. As part of our goal to make customers and clients lives much easier, we continued to drive innovation, for example, by rolling out several new online banking services. These included:

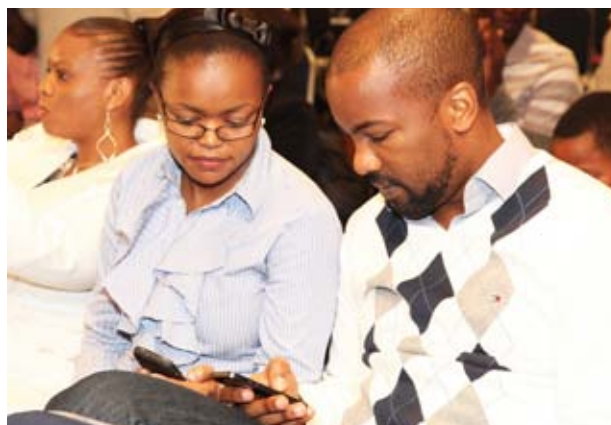
Mpesa and airtime credit purchases solutions on the Hello Money mobile banking platform, and Barclays Internet retail (BIR) where customers can carry out transactions over the internet.



COO, Abdi Mohamed awards one of our customers Simon Kariuki during a Pingit launch in London.



Head of Channels Ramona Mwarey helps a customer sign up to use Hello Money.



Customers trying out Mobile Banking.

Managing Director's Report (Continued)

Beginning of a New Journey

Credit Card Business

Over the years we have taken a leadership position in the Kenya card business an achievement we are very proud of. Our card business deals with both the process of issuing credit cards and acquiring of merchants.

The increased use of plastic money over the years has given us great opportunities to enhance our card proposition to meet the dynamic needs of our customers. During 2012, we launched the platinum card for the affluent sector. Platinum cardholders earn World Miles every time they swipe their card at any Retail Outlet with a VISA sign. The miles are redeemable for Free Air Tickets with Any Airline and to any destination in the world, a first in the Kenyan market. In addition, every Platinum cardholder automatically gets a free 5 year Priority Pass membership which gives them access to over 600 Airport VIP lounges in 90 cities worldwide.

We also partnered with Kenya Airways and VISA to launch 'KQ Msafiri Gold card', an airline co-branded card which enables our customers to earn air miles anytime they swipe their card at any Retail Outlet with a VISA sign. The air miles earned are accrued and redeemable for flight tickets and ticket upgrades. The card holders also enjoy exclusive offers and benefits such as Airport Priority Check-in and boarding on KQ Flights, promotional offers and discounts from both Barclays and Kenya Airways, bonus Miles after Sign Up and card activations as well as Point of Sale (POS) Spend.

Our People

To deliver world class service, we need the best talent and that is the reason we pride ourselves in being an employer of choice. All the success we have had this far is due to the hard work, enthusiasm and commitment of our people.

We are keen on the diversity and Inclusion agenda that is built on five key pillars of – Gender, Culture, Age, Disability, Race and Religion. We recognize that a well- balanced workforce will produce better results.

In 2012, we embarked on improving our e-learning platform to ensure that all employees were better equipped for their various roles. Also through our robust job swap programme, to develop them for their next role, we saw employees gain more exposure and take up stretch assignments.

During the year under review, we laid a lot of emphasis on the gender pillar of our diversity and inclusion agenda. We believe in equal opportunities for all our employees. One of the forums that has been instrumental in driving this agenda is the Barclays Women Network Forum (WNF). This is a development program which aims at nurturing,

inspiring, guiding and coaching women employees into developing skills and creating a positive change in their future, hence attaining managerial and leadership positions in Barclays.

WNF leadership events consists of several event-based programs across the country that help women interact with each other, learn and gain knowledge on how to grow and help keep pace with their male colleagues in career advancement.

Conclusion

As we enter 2013, I am confident that we stand on a very firm foundation laid on appropriate investments in technology infrastructure, talent and strong support from customers, shareholders and regulators. We are well positioned to take advantage of opportunities ahead and well prepared to overcome challenges posed by the business environment.

I would like to thank all my Barclays colleagues for their significant contribution and support during my tenure as Managing Director and look forward to even greater success under the leadership of my successor, Mr Jeremy Awori. I will continue to play a role in the wider Barclays Africa business as Chief Administrative Officer and will be closely following the growth strategy of our bank.

I would also like to thank the Board for their support and guidance; special thanks go out to our customers and shareholders for their loyalty and support.

Adan Mohamed
Managing Director - 2012

Ripoti ya Meneja Mkurugenzi Mwanzo wa Safari Mpya

Utangulizi

Tunafurahia matokeo yetu ya jumla ya biashara katika mwaka wa 2012 ambayo ni sambamba na mikakati yetu na malengo ya kutoa huduma bora kwa wateja wetu na matokeo yanayoweza kusarifika kwa wenyehisa wetu.

Mtazamo wetu wa kuwahudumia wateja wetu ungali unapewa umuhimu mkubwa. Tunaendelea kuwa na urari wa umuhimu wa kuwa na ukuaji wa waraka mizania na wakati huohuo kuwa na urari wa athari kwa upande wa benki. Hii inaafikiwa kwa kuwa na uangalifu wa athari za mabadiliko ya mazingira ya nje huku tukishindana vikali katika masoko yote tunayotoa huduma. Ili kuimarisha huduma tunazotoa, tumeanzisha njia tofauti mbadala kwa kutegemea uwezo wa teknolojia na kusahilisha maisha ya wateja wetu.

Tumejenga rajamu kubwa na biashara imara ambayo nimepata fursa ya kuiongoza kwa zaidi ya muongo mmoja. Nina imani kuwa tuko tayari kwa ukuaji wa biashara yetu ambao utahimili athari mbaya zitakazotokana na changamoto za mazingira ya upeo mkuu wa kiuchumi sawa na tulizoshuhudia katika miaka ya 2011 na 2012. Tumekuwa na ufanisi mkubwa katika viashirio vyote muhimu vya matokeo wakati wa uongozi wangu, shukurani kwa juhudi za pamoja za kila mmoja wa wafanyikazi wetu, uungwaji mkono usioteteleka kutoka kwa halmashauri ya wakurugenzi na wateja wetu. Ninasema asante kwa kuniunga mkono bila kuyumba na ninawaomba mufanye vivyo hivyo kwa mrithi wangu.

Uchambuzi wa Matokeo

Katika mwaka tunaachambua, Benki ya Barclays ya Kenya ilipata faida kabla ya kutozwa ushuru ya shilingi bilioni 13 kutoka shilingi bilioni 12 mwaka wa 2011. Matokeo yetu ya kifedha kwa ujumla yalitokana na kuimarika kwa mapato, udhibiti wa gharama na usimamizi bora wa akaunti za mikopo isiyolipwa.

Mapato ya jumla yameongezeka hadi shilingi bilioni 27.4 kutoka shilingi bilioni 26.3 mwaka wa 2011. Mchango mkubwa wa ongezeko hilo ni mapato taslimu ya riba yaliyoongezeka kwa asilimia 11 hadi shilingi bilioni 18.1 kutoka shilingi bilioni 16.3 mwaka wa 2011. Hii inasababishwa na ongezeko la utoaji wa mikopo na chambele pamoja na udhibiti wa gharama.

Gharama za utendaji zilisalia kuwa chini ya udhibiti mzuri na ziliongezeka kwa asilimia 5 ingawa kulikuwa na viwango vya juu vya mfumuko wa bei katika nusu ya kwanza ya 2012. Tunaendelea kuwa na utendaji bora kupitia uwekezaji katika teknolojia na uboreshaji wa tija.

Ubora wa rasilimali zinazohodhiwa kwa ajili ya uzalishaji uliendelea kudumishwa huku rasilimali zisizozalisha kufikia Disemba 2012 ikiwa zimepungua hadi shilingi bilioni 3.8 kutoka shilingi bilioni 5.5 mwaka wa 2011. Kiasi cha hasara ya mikopo kilichotengwa pia kimepungua kwa asilimia 80 hadi shilingi milioni 144, dhihirisho la ubora wa mikopo ambayo imedhaminiwa na Benki kwa miaka kadhaa iliyopita.

Katika kipindi tunachochambua, kima cha kiini chetu cha mtaji kilisalia thabiti katika asilimia 22.7 ikilinganishwa na kima cha chini cha kanuni cha asilimia 20. Uimara huo unatupa uwezo wa kutosheleza mahitaji ya wateja wetu ya mwaka wa 2013 na zaidi. Mtaji huo thabiti unaiweka benki katika nafasi nzuri za kukabiliana

na mabadiliko yanayotarajiwa kutoka kwa muongozo wa hivi majuzi. Mabadiliko haya yanashurutisha mabenki kuimarisha akiba ya mtaji kwa asilimia 2.5 pamoja na kujumuishwa kwa athari za soko na utendaji katika kufanya mahesabu ya vima vya mtaji.

Athari za Usimamizi na Udhibiti

Tuna malengo yaliyo wazi kuhusu athari za usimamizi na mkakati wa kushughulikia michakato ya kiini cha athari za usimamizi. Hii inatuwezesha kuelewa kikamilifu na kupunguza athari za ukosefu wa uhakika katika biashara.

Uwajibikaji wa athari za usimamizi uko katika ngazi zote katika Benki, kuanzia Halmashauri na kamati kuu ya utendaji kupitia shirika lote hadi kwa kila meneja wa biashara na mtaalamu wa athari. Benki hugawa majukumu haya ili maamuzi kuhusu athari hizo yafanyike katika ngazi muafaka: karibu iwezekanavyo na biashara, na kwa kutegemea uchambuzi imara na unaofaa. Makundi huru ya kukagua athari yako kusaidia uhusiano mzuri wa kufanya kazi na makundi ya biashara yanayoathirika. Makundi hayo mwishowe hupiga ripoti kwa afisa mkuu wa dhima.

Tuna mpangilio huru wa ridhaa ambao una mfumo imara wa ridhaa pamoja na sera nyingi zinazoshughulikia athari mbalimbali zikiwemo vita dhidi ya ulanguzi wa pesa, Jua Mteja wako (KYC), Rushwa na Ufisadi na Ulinzi wa mteja. Sisi pia tumedumisha uhusiano mkubwa na wadhibiti wetu wa humu nchini na wa kimataifa na tumejitolea kuendelea na jukumu la kuhakikisha kwamba biashara inafanyika katika njia ya haki, uwazi na inavyotakikana katika kuwashughulikiwa wateja kiungwana.

Uongozi wa Soko

Benki ya Barclays iliendelea kusaidia kujenga mienendo ya soko kama viongozi wa maoni. Hii inathibitishwa na tuzo na sifa tele tulizopokea 2012. Baadhi ya tuzo tulizopokea ni pamoja na kuhusu ubunifu wa bidhaa, shughuli rejareja za benki na matumizi ya teknolojia.

Jukumu letu kama viongozi wa maoni pia lilikuwa wazi kufuatia mialiko ya kushiriki katika mikutano mbalimbali ikiwemo ya kongamano la shughuli za benki Afrika na fedha, kongamano la COMESA la shughuli za Benki na uhamishaji pesa na kongamano la uwekezaji la African Alliance. Hivi majuzi tulitangazwa kuwa benki bora nchini Kenya katika tuzo za taadhima za Global Finance 2013: Global Finance ni jarida la shirika la fedha linaloongoza duniani.

Kuwekeza kwa Ajili ya Siku za Usoni

Katika miaka mitano iliyopita tumefanya uwekezaji mkubwa katika teknolojia ya miundombinu yetu ili kuboresha utendaji kazi na kutoa huduma bora kwa wateja wetu. Uwekezaji huu ni pamoja na: utekelezaji wa mfumo mpya imara wa shughuli za benki, njia mbadala kwa mfano shughuli za benki za kutumia simu ya mkono shughuli za benki kupitia intaneti, na uzinduzi wa kituo cha saa 24 cha mawasiliano. Hii imeimarisha bidhaa na mchakato wa ubunifu na kuwezesha benki kutoa suluhu tofauti kwa wateja.

Katika mwaka tunaachambua tulitekeleza mchakato mpya uitwayo "Imaging na Workflow" yaani "taswira na utaratibu wa kazi" ambao unalenga kuwezesha mtiririko wa kieletroniki wa habari kwa wateja. Hii hatimaye itawezesha kubadilisha taratibu

Ripoti ya Meneja Mkurugenzi Mwanzo wa Safari Mpya (inaendelea)

zetu za matumizi ya karatasi zisizokuwa na ufanisi hadi kwa utekelezaji wa shughuli za benki bila ya kutumia karatasi pamoja na kuongeza kasi ya utoaji wa huduma.

Pia tumehamisha afisi za makao makuu hadi katika mazingira mapya ya jumba mwafaka na shughuli zetu katika barabara ya Waiyaki Way, Nairobi. Hatua ya ya kuhamia katika jengo la “West End” hatimaye imezileta pamoja afisi kuu za idara zetu tofauti zenye takriban wafanyikazi 500 katika eneo moja.

Jengo hilo ni la kiusanifu majengo wa kisasa wenye mifumo ya kisasa ya uhifadhi wa kawii. Ni moja kati ya majengo machache ambayo wale mavu wanaweza kupata huduma bila wasiwasi kutokana na kuwa na sehemu zenye hanamu, mteremko wa kushukia au kupandia na huduma sawa na hizo. Kuhamia katika Jumba la West End, afisi za makao mapya, kumetoa faraja kwa wafanyikazi wetu pamoja na wateja wetu watukufu ambao wana umuhimu mkubwa katika awamu ijayo ya ukuaji.

Viwango vya Huduma kwa Mteja

Wateja kila mahali wanatafuta njia rahisi iliyo bora zaidi na yenye ufanisi kufanya biashara na mbinu yenye uwazi zaidi ya shughuli za benki na malipo. Mwaka huu tulipiga hatua muhimu kwa kuzindua viwango vipya vya huduma kwa wateja vinavyolenga kuimarisha anayopata mteja katika Barclays.

Katika mwaka tunaouchambua, tuliendelea kuwekeza na kuimarisha mradi wetu wa kituo cha mawasiliano. Kituo hicho cha mawasiliano hutoa huduma za kiwango cha juu za wateja kwa ajili ya mahitaji ya wateja wetu kupitia barua pepe au simu saa ishirini na nne kila siku zikiwemo sikukuu. Lengo letu la kuzindua kituo hicho ni kuimarisha kiwango cha huduma kupitia huduma bora kwa wateja na utunzaji madhubuti na ufuatiliaji wa akaunti na maswali kuhusu bidhaa. Kituo cha mawasiliano pia kinatumika kama njia ya kuwapa habari wateja na umma kwa ujumla kuhusu bidhaa na huduma za benki na wakati huo huo kuwawezesha kufanya shughuli za benki. Mpango wa mawasiliano ya kuingia na kutoka unaenda sambamba na mkakati wa biashara yetu unaolenga kuimarisha utoaji wa huduma zetu, upanuzi wa mtandao na kuongeza uzoefu wa wateja.

Kufikia uzoefu chanya wa wateja tumekupa kipaumbele na hivyo kuimarisha uwezo wetu kwa kuzatiti ushindani wetu bado ni lengo letu. Pia tunajitahidi kuwahudumia wateja wetu wote sawa na kutoa mapendekezo ya ushindani wa thamani katika jitihada za kuwa benki ya kuenda “Go-To bank” kwa wateja wetu wote.

Hazina

Tunatoa bidhaa kawaida za hazina kwa bei za ushindani na kutoa ubunifu wa athari za usimamizi na suluhu za kuzikinga. Kuwepo na kushiriki katika masoko muhimu ya kifedha, Benki ya Barclays ya Kenya inaweza kuweka bei ya ushindani ya bidhaa na kutoa ushauri bora kwa wateja wetu. Wafanyikazi wetu waliojitolea hutoa huduma zisizokuwa na mfano katika kanda hii. Katika mwaka tunaouchambua, tuliona shilingi ya Kenya ikiwa na thamani ya 87.50 kwa kila dola na iliimarika katika biashara ya ubadilishanaji sarafu hadi 84.70. Mara kwa mara Benki Kuu ilisaidia kudhibiti thamani ya shilingi na udhibiti huo ulisaidiwa zaidi na msimamo mkali wa sera ya pesa iliyopitishwa na Benki Kuu mwishoni mwa mwaka wa 2011.

Nusu ya kwanza ya 2012 ilihusishwa na sera ngumu ya pesa iliyopitishwa mwaka uliotangulia. Hata hivyo kupungua kwa mfumuko wa bei na mazingira mazuri ya upeo mkuu wa kiuchumi uliwezesha Benki Kuu kulegeza sera ya mzunguko wa pesa. Hii ilipelekea Benki Kuu kupunguza kiwango chake teule hadi asilimia 9.50 kufikia mwisho wa mwaka kutoka asilimia 18 katika mwanzo wa mwaka. Huku Benki Kuu ikiendelea na kampeini ya kupunguza viwango, sekta ilifuata nyayo kwa kupunguza viwango vyake ili kuongeza ukuaji wa uchukuaji mikopo ya kibinafsi katika uchumi.

Shughuli za Benki za Shirika

Biashara yetu ya shirika inayotuzwa nchini Kenya imeendelea kukua imara kwa sababu tumejitatiti kama mbia wa kutegemewa wa kifedha kwa wateja wetu wote ambao ni mashirika pamoja na mashirika ya kimataifa.

Tuna uwezo wa kushawishi, duniani, katika kanda na humu nchini kwa faida ya wateja wetu ambao ni mashirika katika mikataba ya kihistoria, kama vile jukumu la ushauri kwa Kampuni ya uzalishaji umeme ya Kenya (KenGen) katika makubaliano ya \$5b ya kuchangisha mtaji wa upanuzi wa uwezo wa uzalishaji umeme. Mikataba mingine mikubwa ni pamoja na ushauri wa mtaji wa \$250m kwa kampuni ya East Africa Breweries, na \$300m za kuingia Kenya Airways katika gharama za mafuta.

Tulianzisha huduma kama za fedha za ugavi, malipo ya ujumla ya Mpesa, ukusanyaji wa uthibitishaji wa uhalali wa noti(bili) na huduma yetu ya punde zaidi; - rasilimali ya fedha ya La RIBA ambayo ni suluhu ya rasilimali ya fedha chini ya mfumo wa Shariah. Hii ndio suluhu ya kwanza ya faida maalum katika soko. Hii inawapa wateja wetu fursa ya kusimamia vyema mapato halisi kutokana na kutabirika kwa malipo.

Shughuli za Benki kwa Mteja

Shughuli za benki kwa mteja za Barclays zinajumuisha shughuli rejareja za Benki, Biashara ya humu nchini na biashara ya kadi za mkopo. Lengo letu ni kuwa benki ya kuenda, benki ya chaguo la wengi “Go - To bank” kwa kusaidia watu kufikia matarajio yao - kwa njia ya haki.

Shughuli za Benki za Rejareja

Tuliendelea kubuni bidhaa na huduma ambazo ziliwapa wateja wetu chaguo linalofaa, usalama na uwezo wa kudumika. Tunaendelea kuboresha biashara yetu ya humu nchini/shughuli za benki za biashara kwa kuzilenga biashara ndogo ndogo na za wastani kama njia ya kuimarisha kuwepo kwetu katika sehemu hii. Katika mwaka tunaouchambua, tulianzisha mfumo wa kipekee wa uhamishaji pesa kupitia simu ulioitwa PINGIT ili kuimarisha biashara za matumizi ya simu na utumaji pesa kutoka ng'ambo. Huduma ya PINGIT inaruhusu wateja wa Barclays nchini Kenya kupokea fedha kutoka kwa marafiki zao, familia na washirika wa biashara nchini Uingereza bila malipo. Huku ikiwa kama thibitisho la Kenya kuwa soko muhimu katika eneo la kusini mwa sahara, Benki ya Barclays PLC ilichagua Kenya kama kituo cha kwanza cha uzinduzi huo barani Afrika. Kuna mipango ya kusambaza huduma hiyo katika nchi 12 za Afrika ifikiapo mwisho wa mwaka sambamba na upanuzi zaidi barani Ulaya mwanzoni mwa 2013.

Benki ya Barclays ya Kenya imeanzisha mradi kabambe wa kuweka mitambo ya ATM ya kioo cha mguso yaani touch screen katika mtandao wake, chini ya mwaka mmoja tangu ianzishe huduma za bure za utoaji pesa katika ATM kwa wateja wote wa BBK katika maeneo yake 229 yenye ATM kote nchini.

Kwa kuanzisha mitambo ya ATM yenye sifa muhimu kama kioo cha mguso cha rangi cha mtagusano na tundu za kuweka hundi, tunatarajia kuhimiza matumizi endelevu ya mifumo ya kieletroniki ya Benki ya Barclays kwa shughuli kama za kulipa bili na uwekaji hundi miongoni mwa nyengine.

Kama sehemu ya lengo letu ya kuwapa wateja faraja na kurahisisha maisha ya wateja, tuliendelea kubuni kwa mfano, kusambaza huduma mpya kadhaa za matumizi ya intaneti. Huduma hizo zinajumuisha Mpesa na ununuzi wa kadi za muda wa maongezi katika mfumo wake wa kutumia simu wa Hello Money, na shughuli reja reja za benki za kutumia intaneti(BIR) ambazo wateja wanaweza kutekeleza shughuli zao za biashara kupitia intaneti.

Biashara ya Kadi za Mkopo

Kwa miaka mingi tumechukua uongozi katika biashara ya kadi nchini Kenya, ufanisi ambao tunajivunia. Biashara yetu ya kadi inashirikisha mchakato wa utoaji kadi na kupata wafanyibiashara.

Ongezeko la matumizi ya pesa za plastiki kwa miaka mingi sasa kumetupa fursa kubwa ya kuimarisha biashara yetu ya kadi ili kutosheleza mahitaji tofauti ya wateja wetu. Katika mwaka wa 2012 tulizindua Kadi ya Platinamu ambayo ni ya sekta ya ukwasi. Wenye kadi za platinamu wanapata alama za Maili za Dunia (World Miles) kila wanapoitumia katika kituo chochote chenye ishara ya VISA. Maili hizo zinabadilishika kwa tiketi za bure za ndege katika shirika lolote la ndege na ya kuenda popote duniani, Aidha kila mwenye kadi ya platinamu anapata uanachama wa bure wa miaka mitano ya kadi maalum inayomuwezesha kuingia katika vyumba vya kupumzikia vya VIP katika zaidi ya viwanja 600 katika maji 90 kote duniani.

Pia tulishirikiana na Kenya Airways na VISA kuzindua "KQ Msafiri Gold Card", kadi ya ndege ya ubia ambayo inawezesha wateja wetu kujipatia maili wakati wowote wanapoitumia katika kituo chochote cha rejareja chenye alama ya VISA. Maili zinazoongezeka zinaweza kubadilishika kwa tiketi za ndege na kupandisha daraja tiketi. Wenye kadi vilevile hufurahia fursa na usaidizi wa kipekee kama kupewa kipaumbele unapoiingia katika uwanja wa ndege pamoja na kuabiri ndege za KQ, utoaji wa zawadi za kupigia debe bidhaa au huduma na punguzo kutoka kwa Barclays na Kenya Airways, maili za ziada baada ya kujiandikisha na kuanza kutumika kwa kadi pamoja na kuitumia katika kituo cha mauzo (POS).

Watu Wetu

Kutoa huduma ya kiwango cha kimataifa, tunahitaji vipaji bora na hiyo ndio sababu ya sisi kujivunia kuwa muajiri wa chaguo la wengi. Mafanikio yote tuliyopata kufikia sasa yametokana na bidii, shauku na kuwajibika kwa watu wetu.

Sisi tunapenda sana ajenda ya hali ya kuwa tofauti na pamoja ambayo ina nguzo tano muhimu- Jinsia, Utamaduni, Umri,

Ulemavu, Ukoo na Dini. Tunatambua kwamba usawa wa wafanyakazi unazalisha matokeo bora.

Katika 2012, tulijushughulisha na kuboresha elimu ya eletroni kuhakikisha wafanyakazi wamewezeshwa kutekeleza majukumu yao mbalimbali. Pia kupitia mpango wetu wa ubadilishanaji kazi ili kuwakua kwa ajii ya majukumu yao yajayo, tumeona wafanyakazi wakijifunza mengi na kufanya kazi zaidi.

Katika mwaka tunaachambua, tulisisitiza zaidi nguzo ya jinsia katika ajenda yetu ya kuwa tofauti na ujumuishaji. Tunaamini katika fursa sawa kwa wafanyakazi wetu wote. Moja ya vikao ambavyo vimekuwa muhimu katika kuendeleza ajenda hii ni mtandao wa wanawake wa Barclays (WNF). Huu ni mpango wa maendeleo unaolenga kukuza, kutia moyo, kuelekeza na kuandaa wafanyakazi wanawake katika kuendeleza ujuzi na kuwa na mabadiliko ya uhakika katika mustakabali wao, na hivyo kufikia nafasi za usimamizi na uongozi katika Barclays.

Matukio ya uongozi ya WNF yanahusu mipango kadhaa inayoshirikisha tukio kote nchini ambayo husaidia wanawake kuwa na mtagusano, kujifunza na kupata maarifa ya jinsi ya kukua na kusaidia kwenda sambamba na wafanyakazi wenzao wanaume katika maendeleo ya kazi zao.

Hitimisho

Tunapozanza mwaka wa 2013, nina imani kuwa tuko katika msingi imara uliowekwa kupitia uwekezaji mwafaka katika miundombinu ya teknolojia, vipawa na uungwaji mkono kutoka kwa wateja, wenye hisa na wadhibiti. Tuko katika nafasi nzuri ya kufaidika na fursa zilizoko na tuko tayari kukabiliana na changamoto za muda mrefu na hata muda mrefu katika mazingira ya biashara.

Napenda kuwashukuru wafanyakazi wenzangu wote wa Barclays kwa mchango wao muhimu na msaada wakati wa uongozi wangu kama Meneja Mkurugenzi na ninatarajia ufanisi zaidi chini ya uongozi wa mrithi wangu Bw Jeremy Awori. Nitaendelea kutekeleza jukumu langu katika biashara ya Barclays Afrika kama Afisa mkuu msimamizi na nitakuwa nikifuatilia kwa karibu ukuaji wa mkakati wa benki yetu.

Napenda pia kuishukuru Halmashauri kwa msaada wake na uelekezi; na shukurani za dhiti ziwaendee wateja wetu na wenye hisa kwa uaminifu wao na kutuunga mkono.

Adan Mohamed
Meneja Mkurugenzi - 2012

Vision of One Africa.

This accelerates Barclays 'One Bank in Africa' strategy and its goal to become the 'Go-To' bank on the continent.



Board of Directors



1 Jeremy Awori (42) - Managing Director

Jeremy Awori joined the Board in February 2013. He holds a Bachelors degree in Pharmacy from Manchester University and two Masters degrees in Business Administration (MBA) from McGill University (Canada) and Insead Business School (France). He is currently the Managing Director, Barclays Bank of Kenya.

2 Jane W. Karuku (50) - Non- Executive Director

Jane Karuku joined the Board in August 2003. She holds a Masters in Business Administration (MBA) from the National University of California (USA). She is currently the President of the Alliance for a Green Revolution in Africa.

3 Rose Ogega (MBS) (52) - Non- Executive Director

Rose Ogega joined the Board in April 2002. She is a Bachelor of Commerce graduate from the University of Nairobi as well as a Fellow of the Institute of Certified Public Accountants of Kenya. She is currently the Managing Director of Bloom Consultancy Limited.

4 Eng. John Waweru (60) - Non- Executive Director

Eng. John Waweru joined the Board in July 2011. He holds a Bachelor of Science degree in Electrical Engineering from the University of Nairobi. He is currently the Chief Executive Officer of MIS Solutions Limited.

5 Adan Mohamed (49) - Non-Executive Director

Adan Mohamed joined the Board in December 1999. He is a member of the Institute of Chartered Accountants in England and Wales and a graduate of Harvard Business School (USA). He is currently the Chief Administrative Officer for Barclays Africa.

Missing from photo:

Nick Mbuvi (43) - Executive Director

Nick Mbuvi joined the Board in December 2007. He holds a Bachelor of Commerce degree from the University of Nairobi and a Masters degree in Business Administration (MBA) from the IESE Business School, University of Navarra (Spain). He is currently the Corporate Banking Director.



6 Francis Okomo-Okello (MBS) (63) - Chairman

Francis Okello joined the Board in August 2003 and was elected Chairman in April 2005. He holds a Bachelor of Laws (LL.B) degree from the University of Dar-es-Salaam. He is an Albert Parvin Fellow of the Princeton University, Woodrow Wilson School of Public and International Affairs. He is also a Fellow of the Kenya Institute of Bankers (FKIB). He is a member of the Advisory Board of the Strathmore Business School, Strathmore University and is currently the Executive Director in charge of Legal and Corporate Affairs at the Industrial Promotion Services Group.

7 Brown M. M. Ondego (MBS) (62) - Non- Executive Director

Brown Ondego joined the Board in August 2003. He is an alumni of the London Business School and the University of New Orleans Port Planning Development Program. He is currently the Group Chief Executive of Rift Valley Railways (Kenya) Limited and Rift Valley Railways (Uganda) Limited.

8 Ashok Shah (64) - Non- Executive Director

Ashok Shah joined the Board in July 2011. He holds a Bachelors degree in Applied Chemistry from Kingston University (UK) and is a Chartered Insurer by profession. He is a member of the Chartered Institute of Arbitrators and is currently the Group Chief Executive of Apollo Investments Limited.

9 Judy Nyaga (40) - Company Secretary

Judy Nyaga was appointed in December 2007. She holds a Bachelor of Laws (LL.B) degree from the University of Nairobi, a Master of Laws (LL.M) degree from the University of Nottingham and a Masters degree in Business Administration (MBA) from Strathmore Business School. She is also an Advocate of the High Court of Kenya and a Member of the Institute of Certified Public Secretaries of Kenya.

10 Yusuf Omari (39) - Executive Director

Yusuf Omari joined the Board in July 2009. He holds an Economics degree from the University of Nairobi and a Masters degree in Business Administration (MBA) from Strathmore Business School. He is a Certified Public Accountant as well as a Certified Internal Auditor and is currently the Chief Financial Officer, Barclays Bank of Kenya.

Corporate Governance Report

Chairman's Statement on Corporate Governance Report Francis Okomo-Okello



In 2012 the culture and values of the global financial industry were brought into the limelight as a result of certain malpractices that had occurred in earlier years. These occurrences created an opportunity for the Bank as part of Barclays Group to reflect upon its governance framework to determine whether the framework is effective for creating the accountability that is necessary for preserving long term shareholder value and addressing the expectations of the other various stakeholders. An independent review of Barclays Group business practices is currently underway. In addition, a review of the culture and values that have underpinned the operations of Barclays Group for the past three centuries was undertaken by Barclays Group and arising from this exercise in March 2013 the Bank, along side the other Barclays businesses across the globe, rolled out a countrywide initiative to ensure that the right culture, values and behaviours exist at all levels of the Bank. This will enable the Bank achieve its strategy of becoming the 'Go-To' Bank that helps people achieve their ambitions in the right way. You will read more about the Bank's values of Respect, Integrity, Service, Excellence and Stewardship on page 11.

Late last year, the Central Bank of Kenya issued revised Prudential Guidelines that contain added governance responsibilities on the part of the Board of the Bank. The Board is currently in the process of implementing changes that will be necessary to ensure compliance with the new guidelines which became effective on 1 January 2013. In addition, the guidelines introduced new capital management requirements. Effective 1st January 2014 therefore risk weighted assets will increase by over 40% and effective 1st January 2015 the capital conservation buffer on both core capital and total capital ratios will increase to 10.5% and 14.5% respectively. In making the final dividend recommendation for the year 2012 to shareholders for approval, the Board has factored in these new requirements for additional capital that will need to be maintained in the Bank to ensure compliance with the prudential guidelines.

Corporate Governance Framework



Statement of Compliance

The Board and Management of the Bank continue to comply with the Corporate Governance Guidelines and Codes of Conduct prescribed by the Central Bank of Kenya as its primary regulatory authority. By virtue of being a listed entity the Bank is also guided by the Corporate Governance Guidelines of the Capital Markets Authority (CMA) and complies with the Continuing Listing Obligations of the CMA as required by the Nairobi Securities Exchange. In addition, the Board has its own stringent standards of governance in line with Barclays Group standards.

Board Composition

During the year, the Board commenced and concluded the search for a new Managing Director to replace Mr. Adan Mohamed who has served as a Director on the Board since 1999 and as Managing Director since 2002. Mr. Jeremy Awori was appointed effective 1 February 2013. In making the appointment, the Board was careful to ensure that the successful candidate had the skill, knowledge and experience to build on the gains achieved by Mr. Mohamed who had set extremely high standards after being at the Bank's helm for over 10 years. As Chairman of the Board, I am responsible for ensuring that the Bank has a well functioning Board and Management. Accordingly, I was closely involved in the process of recruiting Mr. Awori as the new Managing Director. An extensive search was undertaken to identify potential candidates against the role specifications. At the conclusion of the process the Board agreed to appoint Mr. Jeremy Awori to the position in view of his varied local and international experience in the

banking industry. The Board is satisfied that Mr. Awori has the capability to take the Bank to its next level of success in a very competitive banking environment. While taking on new responsibilities in Barclays Africa, Mr. Mohamed will continue to serve on the Board as a Non-Executive Director in order to ensure a smooth leadership transition.

The Board now consists of ten (10) Directors, six of whom are independent Non-Executive Directors. The broad mix of skills and industry experience of Board members is as follows:

Name	Industry Experience
Francis Okello*	Legal, Financial Services, Tourism and Media
Rose Ogega*	Audit and Financial Consulting
Brown Ondego*	Public Sector and Logistics
Jane Karuku*	Retail, Marketing and Operations
Ashok Shah*	Financial Services, Capital Markets and Auto
John Waweru*	Public Sector and Telecommunications
Jeremy Awori**	Financial Services
Nick Mbuvi**	Financial Services
Yusuf Omari**	Financial Services
Adan Mohamed***	Financial Services

*Independent Non-Executive Directors

**Executive Directors

***Non-Executive Director

Board Independence and Conflicts of Interest

The Central Bank of Kenya Prudential Guidelines prescribe the minimum ratio of independent to executive directors for licensed banks as three-fifths. The Bank is in compliance with this requirement.

The independence criteria for directors set out by the Board in its corporate governance guidelines is that he or she:

1. Provides objective challenge to management;
2. Is prepared to challenge others' assumptions, beliefs or viewpoints as necessary for the good of the organisation;
3. Questions intelligently, debates constructively, challenges rigorously and decides dispassionately;
4. Is willing to stand up to defend their own beliefs and viewpoints in order to support the ultimate good of the organisation; and

5. Has a good understanding of the Bank's businesses and affairs to enable them properly evaluate information and responses provided by management.

The Non-Executive directors are required to disclose their areas of conflict of interest at least once a year during the Board's annual performance review and to refrain from contributing to or voting on matters on which they have such conflict. On an ongoing basis directors are required to notify the Company Secretary in advance of any potential conflicts through other directorships or shareholdings or conflicts arising from specific transactions. A register of interests is maintained by the Company Secretary. It should be noted that the decision to undertake external activities is a matter for individual Directors to decide, bearing in mind their responsibilities to the Bank including the time commitment we expect of them. We believe that Directors' external appointments benefit Barclays by providing them with a wider range of skills, experience and knowledge that will be relevant to their role on the Board. External appointments for Executive Directors are only allowable in respect of non-profit organisations such as academic or charitable institutions.

Board Leadership

The Board is responsible for providing strategic leadership for the Bank. According to the Bank's corporate governance guidelines, the Board is responsible to shareholders for creating and delivering sustainable shareholder value. In so doing the Board is required to have regard to the likely consequences of any decision in the long term, the interests of its employees, the need to foster the Bank's business relationships with suppliers and customers, the impact of the Bank's operations on the community and the environment and the desirability of the Bank maintaining a reputation for high standards of business conduct. The Board is also charged with the responsibility of identifying business opportunities as well as risks in the Bank's operating environment, overseeing major capital expenditures and advising on the management of regulatory relationships. You can read more on the Bank's risk management philosophy and framework in the financial statements under Note number 4.

In carrying out its responsibilities the Board is empowered to obtain independent professional advice and where necessary invite professionals with relevant experience to attend Board and Board Committee meetings or to carry out such work as deemed necessary. The directors owe both fiduciary duties and general duties of reasonable care, skill and diligence to the Bank and its shareholders.

Corporate Governance Report (continued)

Specific powers reserved to the Board include the following:

Strategy

- Approval of the Bank's strategy.
- Monitoring the Bank's performance against clearly defined measures agreed between the Board and Management.
- Approval of major acquisitions or disposals.
- Approval of major capital projects.

Lending, Capital and Liquidity Management

- Approval of changes in structure.
- Approval of lending policies and risk appetite.
- Monitoring capital and liquidity measures to ensure regulatory compliance.

Financial Results and Dividends

- Approval of interim and final financial statements.
- Approval of dividends and other corporate actions.
- Approving information disseminated to shareholders.

Board Administration and Governance

- Approving board appointments.
- Succession planning for the Board.
- Approving Board remuneration.
- Delegating authority to Board Committees and Management.
- Setting terms of reference for Board Committees and determining Board Committee membership.
- Conducting Board and Board Committee evaluations.
- Determination of independence of non-executive directors.
- Approving the remuneration of auditors and recommending their appointment or removal.

Each director including myself is provided with a role profile and a charter of expectations on appointment and these clearly set out the behaviours and competencies expected from them including the anticipated time commitment. On average the time commitment for Non-Executive Directors is set at a minimum of 25 days per year. My own time commitment is at least 45 days a year. High performance indicators are prescribed in the role profiles to guide the directors and it is against these indicators that their individual performance is evaluated each year.

My role as Chairman is to provide overall leadership to the Board, ensuring that it satisfies its legal and regulatory responsibilities. One of my key responsibilities as Chairman is to ensure that there is a clear division of responsibility between the Executive and Non-Executive Directors of the Board. The Executive Directors are Jeremy Awori, Managing Director, Nick Mbuvi, Corporate Banking Director and Yusuf Omari, Chief Financial Officer. They, together with the Country Management Committee are responsible for the day to day management of the Bank. The Board is fortunate to enjoy a strong partnership between the Executive Directors and Non-Executive Directors without detracting from the governance principles of accountability and independence that must exist to ensure the Bank's sustainable performance. Further details on the respective responsibilities of Executive and Non-Executive Directors are provided on table below.

Company Secretary

The Company Secretary, Judy Nyaga, plays the critical role of coordinating the activities of the Board and Board Committees and is the primary liaison in the flow of information between Management and the Board. The Company Secretary provides the Board with timely information and the support and guidance required for the

Executive Directors

1. Effectively lead Barclays towards the achievement of its strategic objectives and implement the strategic decisions taken by the Board.
2. Ensure that the Board receives relevant, accurate, clear and timely information necessary for it to fulfil its duties.
3. Report regularly to the Board on the performance of the Bank.
4. Use their technical knowledge and experience in the Bank and banking industry to assist the Board in consideration of strategic issues and to ensure that decisions taken are in the Bank's best interests.
5. Put the interests of the Bank before those of their specific area of responsibility and manage any conflicts of interest that may arise.

Non-executive Directors

- 1 Provide constructive challenge to the executive Directors and senior management of the Bank.
2. Help develop proposals on strategy and then fully empower and support the executive Directors to implement the strategy.
3. Scrutinise the performance of Management in meeting agreed goals and objectives and monitor the reporting of performance, ensuring that individual business decisions conform to agreed strategies and policies.
4. Apply their judgement to the business of the Board, leveraging on their knowledge of the business and bringing to bear a different range of knowledge, experience and insight from other industries.
5. Satisfy themselves on the integrity of financial information and that financial controls and systems of risk management are robust and defensible.

discharge of the Board's responsibilities. During 2012 the Board commenced the use of a secure electronic system for delivery of Board and Board Committee meeting papers which Directors access using tablet computers. Each Director has direct access to the Company Secretary. In conjunction with the Chairman, the Company Secretary is responsible for developing and implementing processes that promote and sustain the highest standards of corporate governance. The Company Secretary is also responsible for assisting me in formulating and delivery of a comprehensive induction programme for new directors and liaising with Management and third parties for the delivery of suitable ongoing training programmes for all Non-Executive Directors.

Continuous Professional Development

In pursuit of continuous professional development during 2012, the Directors received training in the following areas:

1. The Basel Accords including the standardised and internal rate based approaches, capital management and impairment models as well as the key pillars which underlie the Bank's credit risk philosophy namely operational risk, assessment and capital add-ons and disclosure and market discipline;
2. New Internal Audit Methodologies, the Bank's principal risk framework; control issues and best practices for audit committees; and
3. An in-depth analysis of the Bank's human resource practices including talent management, diversity and inclusion, learning and development and the leadership framework.

In addition, some of the Non-Executive directors undertook The Effective Director training programme facilitated by Strathmore Business School which enabled them to build their capability in adding value to the deliberations of the Board.

Board Attendance

During the year, the Board convened and held four (4) ordinary meetings and three (3) special meetings. All the meetings convened had sufficient quorum. In line with its corporate governance standards, the Board held one board meeting in Mombasa and had the opportunity to interact with employees and customers living and operating in the coastal region. At least once a year, the Board endeavours to visit a different region of the country to gain a better understanding of the perspectives and needs of its customers living and operating in the particular region.

Where a Director missed a Board meeting an acceptable apology with a valid reason is sent to me as Chairman in advance of the meeting.

During the meetings, we regularly received reports from Management on the Bank's financial performance and the status of execution of the Bank's strategic plans by the key functions namely Corporate Banking including the performance of Treasury, Consumer Banking, Operations and Human Resources.

The attendance of individual Directors at Board meetings during 2012 is tabulated:

Director	Ordinary (Scheduled) Meetings	Special (Adhoc) Meetings
	Attended/ Meetings Eligible to Attend	Attended/ Meetings Eligible to Attend
Francis Okomo-Okello	4 / 4	3/3
Adan Mohamed	4 / 4	3/3
Yusuf Omari	4/4	2/3
Nicholas Mbuvi	2/4	1/3
Rose Ogega	4/4	3/3
Brown Ondego	4/4	3/3
Jane Karuku	3/4	3/3
Ashok Shah	4/4	3/3
John Waweru	4/4	3/3

Board Activity in 2012

During the year, the key activities of the Board included:

1. Reviewing the Bank's strategic plans for the year in light of the macro-economic environment.
2. Approving the Board's work plan which sets out the Board's objectives for the year against which performance is measured.
3. Receiving updates from each of the key management functions on their progress against the agreed strategy.
4. Reviewing regular reports on the economic and regulatory environment prevailing in the country and impacting the banking industry.
5. Discussing the 'One Africa' strategy involving the legal and organisational combination of Barclays operations in Africa with Absa.
6. Discussing and approving the appointment of a new Managing Director.
7. Discussing the impact of the new Central Bank of Kenya (CBK) prudential guidelines and reviewing the gap analysis prepared by Management and progress of remedial actions aimed at closing the gaps.

Corporate Governance Report (continued)

8. Meeting with representatives of the CBK to discuss the findings of their annual inspection on the status of the Bank's compliance with the CBK prudential guidelines.
9. In line with the prudential guidelines, the Board reviewed its business continuity preparedness in the event of a crisis.
10. Reviewing the impact of the Unclaimed Financial Assets Act and the Bank's readiness to comply with its provisions.

Board Evaluation

The Board has established the practice of carrying annual effectiveness reviews at Board and Board Committee levels as well as performance reviews of the Directors. Issues arising from the 2011 effectiveness review included the desire for externally facilitated training in corporate governance, improved Board involvement in the Bank's people agenda, setting aside of more time for consideration of the Bank's strategy and increased Board interface with key customers. In the course of 2012 the following actions were undertaken to address issues raised in the 2011 effectiveness review:

1. Some of the Directors attended The Effective Director Programme facilitated by Strathmore Business School to broaden their perspective of corporate governance.
2. The Board set aside additional time to review the Bank's human resource department end to end processes.
3. The Board and Management convened a two day off-site session to focus on the Bank's strategic plans.
4. Events were arranged that enabled the Board to have engagement with key customers.

The 2012 effectiveness review is currently underway and actions to address issues that may be raised will be developed and implemented.

Board Committees

The Board has three Board Committees (Audit & Risk, Credit and External Relations) with delegated authority to assist the Board effectively carry out its obligations. The Audit & Risk Committee and the Credit Committee are mandatory Committees required by the Central Bank of Kenya prudential guidelines and Capital Markets Authority listing obligations. At each ordinary Board meeting, the chairpersons of the Board Committees are required to report to the Board on the highlights of the deliberations of the Committees and to escalate to the Board all matters requiring the Board's consideration and approval. The Committee chairpersons will provide you below with more detail on their deliberations in the course of 2012.

Report from the Chairperson of the Audit and Risk Committee



Rose Ogega

The Role of the Audit and Risk Committee

In February 2013 the Board made a decision to rename the Audit Committee as the Audit & Risk Committee and expanded the mandate of the Committee to cover responsibility for the quality, integrity and reliability of the Bank's risk management framework. The Audit & Risk Committee has the Board's delegated authority to review the contents of interim and final financial reports to ensure that the Board is satisfied with the integrity of the financial statements and particularly the key financial judgements within them. The Committee monitors the effectiveness of the internal control systems and regularly receives reports from the internal and external auditors as well as Management's Risk and Control Committee. We determine the scope and adequacy of audit assignments carried out by the external and internal auditors. The Committee monitors the level and control of the Bank's risk profile and risk monitoring in relation to financial and business risks. The Committee pays particular attention to the risks identified in the Bank, challenges management on the appropriateness of mitigating actions and monitors their implementation. The Committee also reviews reports from Management on changes in the regulatory environment and expected impact of the changes on the Bank's operations. The Audit Committee has direct access to the External Auditors, Barclays Internal Audit function, the Company Secretary as well as the authority to engage external professional advisors.

Committee Members

The Committee's membership comprises 4 independent Non-Executive Directors namely myself, Rose Ogega, as Chairperson, Jane Karuku, Ashok Shah and John Waweru. The Managing Director, the Chief Internal Auditor, Chief Financial Officer, Chief Operating Officer, Chief Risk Officer, Head of Compliance and Audit Partner from our External Auditors are regular invitees to Audit & Risk Committee meetings.

Chairperson's Responsibilities

As Chairperson, it is my responsibility to ensure that the Committee is able to provide appropriate assurance to the Board on issues within its terms of reference. In line with this, I ensure that at every Board meeting I provide a report to the Board on the work of the Committee including matters of concern and identification of solutions to the issues and concerns identified by the Committee. It is also my obligation to ensure that the Committee's members are kept up to date with international financial and accounting best practice developments. I do this with the assistance of the external auditors.

I meet regularly with the Audit Partner of the External Auditors to discuss their audit work and any issues of concerns arising in between meetings of the Committee. I also meet regularly with the Head of Internal Audit to receive briefings on internal audit work and to provide support where necessary to ensure that the independence and integrity of the internal audit function is beyond reproach. Outside formal Committee meetings, I convene private sessions between the Committee members in the absence of Management and private sessions between Committee Members and the External Auditors and the Internal Auditors. The private sessions give the members and auditors the opportunity to raise any issues of concern warranting discussions in the absence of the Members of Executive Management and to follow up on any actions requiring the Committee's intervention.

Achievements in 2012

We held four (4) ordinary meetings and two (2) special meetings. The attendance of our meetings was follows:

Member	Ordinary (Scheduled) Meetings	Special (Adhoc) Meetings
	Attended/ Meetings Eligible to Attend	Attended/ Meetings Eligible to Attend
Rose Ogega	4 / 4	2/2
Jane Karuku	4 / 4	2/2
Ashok Shah	4/4	2/2
John Waweru	4/4	2/2

In accordance with the Committee's forward agenda for each meeting, the Committee received and deliberated on reports and presentations from Management on the Bank's financial statements, principal risks, regulatory compliance, whistle blowing concerns from employees, tax issues, regulatory changes impacting the Bank and significant litigation. In addition, the Committee reviewed reports from the internal and external auditors on audit work carried out during the year.

Our key achievements during the year were as follows:

1. We reviewed the integrity of the Bank's financial statements before recommending them to the Board for approval.
2. We reviewed the Bank's tax governance framework and processes following the 5 year tax audit carried by the Kenya Revenue Authority for the years 2007 to 2011.
3. We undertook an in depth analysis (deep dive) of the risks associated with the Bank's multiple banking channels namely, internet banking, mobile banking, contact centre and ATMs. In addition we reviewed the status of the physical security of the Bank's branch network and we continue to review the progress of remedial actions being taken to address the gaps identified. We also reviewed the stability of the Bank's core system Flexcube to ensure that effectiveness of the Bank's internal control and accounting control systems is maintained particularly in a disaster recovery environment.
4. We reviewed the succession plans for key control positions in the Management team.
5. We reviewed and approved the audit plans for the internal and external auditors and approved any changes to the plans.
6. We reviewed the independence of the External Auditor in line with the Bank's policy on provision of non-audit services by the External Auditor. The policy governs the type of services which the External Auditor may provide to ensure their objectivity and independence is always maintained. We also deliberated on whether the External Auditor should be considered for reappointment and made the appropriate recommendation to the Board.
7. We also carried out an evaluation to assess the Committee's performance against the Terms of Reference.
8. We assessed the performance of the internal and external auditors to ensure that they are effective in carrying out their responsibilities.

Corporate Governance Report (continued)

Report from the Chairperson of the Credit Committee



Brown M. M. Ondego

The Role of the Credit Committee

In February 2013 the Board agreed to rename the existing Advances Committee the Credit Committee to align with the CBK prudential guidelines. The Credit Committee plays a critical role in the formulation and review of lending policies and ensures that such policies are in compliance with regulatory requirements. It assesses the credit quality and risk profile of the Bank's lending book by sector and by product and makes recommendations to the Board on remedial actions or on matters that may enhance the quality of the lending book.

Committee Members

The Committee's membership comprises 5 Non-Executive Directors namely myself, Brown Ondego as Chairman, Francis Okomo-Okello, Jane Karuku, Ashok Shah and John Waweru. From Management, the Committee's membership comprises the Managing Director, Head of Corporate Banking, Head of Consumer Banking, the Chief Risk Officer, Heads of Corporate Credit Risk and Consumer Credit Risk or their respective authorised representatives.

Achievements in 2012

During the year the Credit Committee convened four (4) ordinary meetings. Attendance was as follows:

Member	Ordinary (Scheduled) Meetings Attended/ Meetings Eligible to Attend
Brown Ondego	4/4
Jane Karuku	3/4
Francis Okomo-Okello	4/4
Ashok Shah	4/4
John Waweru	4/4
Managing Director	4/4
Head of Corporate Banking	4/4
Head of Consumer Banking	4/4
Chief Risk Officer	4/4

Our key achievements during the year included the following:

1. We were able to assist Management to negotiate an amicable settlement with Alliance Hotels Group after many years of protracted legal dispute surrounding the receivership and sale of assets.
2. We carried out stress tests on our loan book to assess the potential impact of macro economic indicators such as inflation and foreign currency fluctuation on the ability of the Bank's borrowers to repay their loans.
3. We reviewed the Bank's retail lending policy and policy initiatives aimed at ensuring continued growth in the retail lending book taking cognisance of and mitigating relevant risks.
4. We continued to monitor the status of the top 20 exposures on the Bank's balance sheet.
5. We assessed the Bank's risk appetite for significant new business deals.
6. We regularly reviewed the Bank's concentration risk by industry and portfolio segments and ensured an appropriate balance was maintained.
7. We advised and supported Management in unlocking high value debts and reaching workable solutions with customers who found themselves in difficult financial circumstances.
8. The overall impact of the Committee's activities was seen in the reduced impairment levels recorded in 2012 and the significant drop in the Bank's non-performing loan book.

Report from the Chairperson of the External Relations Committee



Jane W. Karuku

The Role of the External Relations Committee

A key deliverable of this committee is to ensure that we keep a pulse on our brand position in the market. The Committee is instrumental in guiding the Bank's policies on public relations, corporate social responsibility and marketing of the Bank's products and services. This Committee is also tasked with advising and supporting the Management of the Bank in the conduct of its relationship with key stakeholders such as regulators. The Committee monitors customer service levels to ensure delivery of the Bank's vision of making lives much easier for its customers.

Committee Members

The Committee's membership comprises 4 Non-Executive Directors namely myself, Jane Karuku as Chairperson, Francis Okomo-Okello and John Waweru. From Management the meetings are attended by the Managing Director, Head of Corporate Banking, Head of Consumer Banking, Chief Operating Officer, Head of Corporate Affairs, Head of Marketing and Head of Customer Service or their authorised representatives. During the year the External Relations Committee convened and held four (4) ordinary meetings. Attendance of the meetings was as follows:

Member	Ordinary (Scheduled) Meetings Attended/ Meetings Eligible to Attend
Jane Karuku	4/4
Francis Okomo-Okello	4/4
John Waweru	4/4
Managing Director	2/4
Head of Corporate Banking	4/4
Head of Consumer Banking	4/4
Chief Operating Officer	2/4
Head of Corporate Affairs	3/4
Head of Marketing	4/4
Head of Customer Service	3/4

Achievements in 2012

Our key achievements during the year included:

- On the customer service front, we continued to monitor customer satisfaction levels through systematic surveys.
- We supported Management in rolling out new customer service standards aimed at making lives much easier for customers.
- Continued funding and support of different community projects under the three broad pillars of the Bank's citizenship agenda namely financial inclusion, environmental sustainability, youth and entrepreneurship. In particular, through the Banking on Change programme the Bank has been able to fund the education and management of women groups to enhance an efficient and transparent savings culture.
- We continued to partner with the Centre for Environmental Action in a programme called Smart Champs which is aimed at building capacity and empowering the youth through environmental sustainability.
- Sponsorship of the Barclays Kenya Open Golf Tournament in March 2012 was a resounding success as it created significant brand visibility for the Bank.

Management Committees

The Board and its Committees are supported by six key Management Committees (Country Management Committee, Assets and Liabilities Committee, Risk and Control Committee, Remuneration and Promotions Committee, Operating Committee and Brand and Reputation Committee). Final authority and responsibility for the direction of the Bank however rests with the Board.

The role and responsibilities of the various Management Committees are set out below.

Country Management Committee (CMC)

CMC meets twice every month. It is a key Management Committee in that it is responsible for the implementation of strategy and driving the financial performance of the Bank. It also reviews the work of other Management Committees. CMC works in tandem with the Board to formulate strategy and policy for the Bank. The Committee is also charged with the responsibility of identifying and coaching senior talent within the Bank for succession planning. CMC is chaired by the Managing Director and its membership comprises his direct reports with function head responsibility.

Assets & Liabilities Committee (ALCO)

ALCO is tasked with managing financial risk specifically liquidity, interest rates, market risk, capital management and balance sheet structure. The Committee meets at least once a month and is instrumental in ensuring that sustainable and stable returns are obtained from the deployment of the Bank's assets within a framework of financial risks and controls. ALCO is chaired by the Managing Director and its membership comprises the Chief Financial Officer, Country Treasurer, Head of Corporate Banking, Head of Consumer Banking, the Chief Operating Officer and the Chief Risk Officer.

Risk and Control Committee (RCC)

This Committee is mandated to embed and implement policies and controls to provide assurance on the effectiveness of internal controls. RCC monitors credit risk exposures against defined appetite and thresholds. The Committee also monitors legal and regulatory changes in the external environment and oversees compliance with relevant laws, regulations and directives. The Committee meets once a month and periodically reports to the Board Audit & Risk Committee highlighting key risk and control issues and Management actions to address them. RCC is chaired by the Managing Director and its membership includes all function heads designated as key risk owners. The Head of Internal Audit and External Auditors are invitees to RCC.

Corporate Governance Report (continued)

Remuneration and Promotions Committee (RPC)

The primary aim of this Committee is to develop, motivate and retain employees within the Bank's talent pool. The Committee is tasked with the responsibility of ensuring good governance in the appointment of senior executives and managers and developing a framework of policies, practices and programmes to resource and reward the Bank's employees. RPC meets once every quarter and its membership comprises the Managing Director as Chair, the Chief Financial Officer, Head of Human Resources, Chief Risk Officer and Head of Compliance.

Operating Committee (OPCO)

OPCO is charged with the responsibility of reviewing the operational capability of the Bank and ensuring the timely and robust delivery of Operations and IT projects within stipulated time lines and approved costs. In line with prudential requirements, OPCO also monitors the embedding of the Bank's business continuity management practices and policies to reduce the likelihood and impact of operational disruptions. This Committee is required to meet monthly and its membership comprises all function heads with direct reporting lines to the Chief Operating Officer who chairs the Committee.

Brand and Reputation Committee (BRC)

This Committee is charged with the mandate of monitoring the implementation of the Bank's Corporate Social Responsibility agenda, issues that could negatively impact the brand and reputation of the Bank and ensuring the fair treatment of customers. BRC is required to meet quarterly and its membership comprises all function heads with a reporting line to the Managing Director who chairs the Committee.

Directors' Emoluments, Shareholding and Conflicts of Interest

The aggregate amount of emoluments and fees paid to directors during the year are disclosed in Note number 34 of the financial statements. The basic rates of fees paid to Non-Executive Directors have remained unchanged since 2010 and the Board will soon commence a review of the remuneration of its Non-Executive Directors to ensure that the Bank continues to recognise their value on the Board. No member of the Board holds shares in his or her personal capacity that exceeds 1% of the total equity of the Bank. A breakdown of the Directors personal shareholding in the company as at 31 December 2012 is shown.

Name	Number of shares held
Francis Okomo Okello	28,400
Brown Ondego Mmbai	34,180
John Njuguna Waweru	70,000
Jane Karuku	Nil
Ashok Kumar Mepa Shah	474,380
Rose N Ogega	4,000
Jeremy Awori	Nil
Mohamed Adan Abdulla	296,000
Nick Kaluve Mbuvi	12,500
Yusuf Kungu Omari	100,000

Relationship with Stakeholders

The Bank is committed to communicating openly with all its stakeholders and its shareholders in particular on its performance and addressing any other areas of concern that they may have. This is achieved through the publication of the annual report, holding of the Annual General Meeting (AGM) where shareholders have the opportunity to ask questions and freely interact with members of the Board as well as through briefing sessions held with key institutional investors and analysts on the Bank's half-year and full year financial results. The Company's financial results are published in media every quarter in compliance with regulatory requirements. On a day to day basis, all shareholders have direct access to the Company Secretary and the Shares Registrar who respond to shareholder queries on a variety of issues.

We now prefer to communicate with our shareholders electronically and beginning last year we published our Annual Report on the Bank's website www.barclays.co.ke. All Directors were able to attend the last AGM which was held on 6 June 2012 and were available to answer questions from shareholders. This year's AGM will be held on Thursday, 30 May 2013 at Kenyatta International Conference Centre, Nairobi and the Board looks forward to interacting with as many shareholders as possible on that day. A Notice of the AGM is included in the Annual Report.

Francis Okomo-Okello
Chairman
13 February 2013

Report of the Directors

For the Year Ended 31 December 2012

The Directors submit their report together with the audited financial statements for the year ended 31 December 2012 which disclose the state of affairs of Barclays Bank of Kenya Limited and its subsidiaries (the “Group”) and Barclays Bank of Kenya Limited (the “Company”/ “Bank”).

Incorporation and Registered Office

The Company is incorporated in Kenya under the Companies Act (Cap 486) and is domiciled in Kenya. The address of its registered office is:

**The West End Building,
Waiyaki Way,
P.O. Box 30120, code 00100.
Nairobi.**

Principal Activities

The Bank is engaged in the business of banking and the provision of related services and is licensed under the Banking Act (Cap 488).

Results and Dividend

The results for the year are set out on pages 53 to 119 and were approved by the Directors on 13th February 2013.

During the year an interim dividend of Shs 30 cents per share totaling Shs 1,629 million (2011: Shs 20 cents per share totaling Shs 1,086 million) was paid. Subject to the approval of shareholders the Directors recommend the approval of a final dividend of Shs 70 cents per share totaling Shs 3,802 million (2011: Shs 1.30 per share totaling Shs 7,061 million).

This will be paid on or about 30 May 2013 to shareholders registered at close of business on 13 March 2013.

Financial Statements

At the date of this report, the Directors were not aware of any circumstance, which would have rendered the values attributed to the assets in the financial statements of the Group misleading.

Directors

The Directors who held office during the year and to the date of this report were as follows:

F Okomo-Okello	Chairman
J Awori*	Appointed 1 Feb 2013
YK Omari*	
AA Mohamed	
RN Ogega	
BM Ondego	
JW Karuku	
NK Mbuvi*	
AKM Shah	
JN Waweru	
PK Chemng'orem	Retired 6 June 2012

* Executive Directors

The following Directors are due to retire from the Board by rotation under Articles 94, 95 and 96 of the Company's Articles of Association at the forthcoming Annual General Meeting and are eligible for re-election:

**Jane Karuku
Brown Ondego**

Directors Benefits

Since the last Annual General Meeting of the Company to the date of this report, no Director has received or become entitled to receive any benefit other than Directors' fees and amounts received under employment contracts for Executive Directors.

The aggregate amount of emoluments for Directors' services rendered in the financial year is disclosed on Note 33.

Auditor

The Company's auditor, PricewaterhouseCoopers, has indicated their willingness to continue in office in accordance with the provisions of Section 159(2) of the Companies Act and Section 24 (1) of the Banking Act.

By order of the Board



Judy Nyaga
Company Secretary
13 February 2013

Statement of Directors' Responsibilities

For the year ended 31 December 2012

The Companies Act requires the directors to prepare financial statements for each financial year that give a true and fair view of the state of affairs of the Group and the Bank as at the end of the financial year and of the Group's profit or loss. It also requires the directors to ensure that the Bank keeps proper accounting records that disclose, with reasonable accuracy, the financial position of the Bank. They are also responsible for safeguarding the assets of the Bank.

The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable, prudent judgments and estimates, in conformity with the International Financial Reporting Standards and the requirements of the Companies Act. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the Group and Bank and of the Group's profit in accordance with International Financial Reporting Standards. The directors further accept responsibility for the maintenance of accounting records that may be relied upon in the preparation of financial statements as well as designing, implementing and maintaining internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement.

Nothing has come to the attention of the directors to indicate that the Bank and its subsidiaries will not remain a going concern for at least twelve months from the date of this statement.



Francis Okomo-Okello
Director
13 February 2013



Yusuf Omari
Director

Country Management Committee

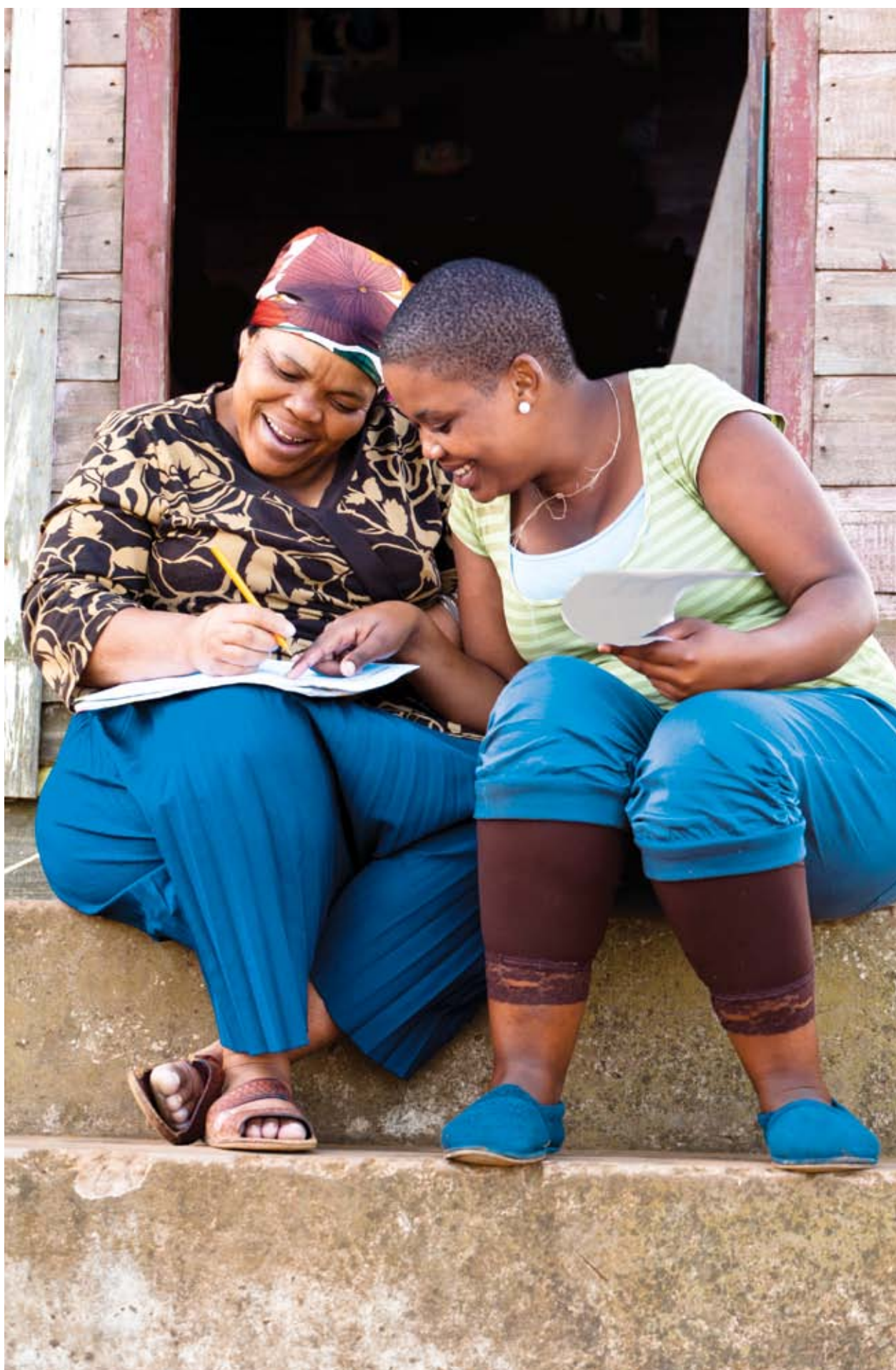


Standing from left to Right: Lyn Mengich (Human Resource Director), Yusuf Omari (Chief Finance Officer), Laban Omangi (Regional Head of Compliance & Legal), Antony Mulisa (Country Treasurer), William Juma Arogo (Chief Risk Officer), Zahid Mustafa (Consumer Banking Director) and Peter Kariuki (Ag. Corporate Director).

Seated from Left to Right: Abdi Mohamed (Chief Operating Officer), Jeremy Awori (Managing Director), Rose Lutta (Head of Marketing Communication & Citizenship) and Kenneth Kamurasi (Head of Barclays Internal Audit).

Community Investment Strategy.

This strategy focuses on providing financial, enterprise and life skills for youth aged between 18 and 35 years.



Barclays Citizenship Agenda



Maria Ramos-Group Chief Executive,ABSA; Chief executive of Africa, Barclays visits the contact centre.

Barclays has a clear sense of its business purpose: to help people achieve their ambitions – in the right way. Our Citizenship agenda focuses on our contribution to sustainable economic growth that creates value for society in a manner that is consistent with the highest standards of integrity. Only by so doing can we realise our aspiration to become a trusted sustainable business. Our priority is to establish the right culture and leadership, making responsible citizenship a core value in our day-to-day business decisions. Such an attitude provides a tremendous opportunity to make Barclays not just the ‘Go – To Bank’ for our customers, clients, colleagues, shareholders and the broader society but also a force for good.

Our citizenship agenda is built on three pillars:

- In the first instance, citizenship is about contributing to growth in the real economy, creating jobs and supporting sustainable growth.
- Second is the way we do business: putting our customers’ interest at the heart of what we do, and managing our impact responsibly.
- Third, it is about supporting our communities through investment programmes and the direct efforts of our employees.

1) Contributing to Growth

We support economic growth and job creation by operating a strong, profitable business that is focused on helping individuals, businesses, institutions and governments pursue their goals.

The supply of credit and other financial services is critical to economic growth. At the core of our business is the support that we provide to our customers and clients to help them manage their money, invest in a new home, start new enterprises and grow their existing businesses.

In line with this goal, we were able to invest Shs 2.47bn in support of more than 475 customers own homes. Another highlight was the number of events and activities planned for the Local Business club members. Their calendar of events featured 4 international business trips and 1 local networking weekend. A total of 415 club members attended the networking forums. This presented them with an opportunity to interact with other business owners as well as get some training on financial management skills.

The first international trip was to Tel Aviv, Israel to attend Agritech Israel 2012, and then followed by Birmingham, UK to attend Adbiogas Show whose focus was on the food industry, farming, waste and resource management and climate-smart farming.

In September, the focus was on the Retail Expo, Printcom Expo and Visual Impact Image Expo in Sydney, Australia. The last trip was in San Francisco, USA to attend the Greenbuild Expo that was focussed on green building technologies.

During the year in review, we supported 2,975 local Business customers to the turn of Shs 2.57 Bn. This is in line with our commitment to help them grow their ambitions in the right way.

2) The Way We Do Business: Public Interest is Paramount

Our customer's interests are at the heart of what we do. We seek to reinforce our business integrity every day by making responsible decisions while striving to improve the service we provide in order to positively impact people's lives. We manage our business actively aware that the social and environmental impacts of what we do, must always be in the greater public interest.

For instance, we sponsored the Kenya Secondary School Principals annual conference in Mombasa whose theme was 'Change Management'. The Conference brought together 5,000 secondary school principals across the country, industry players and policy makers in the education sector. This allowed them to share best practices to enhance their leadership skills, expose them to the latest industry practices and thinking to help them build a sustainable future.

In addition, customer service has been a focal point in our operations. To demonstrate this, we have continuously been seeking for opportunities improve the quality of service we offer through surveys aimed at obtaining customers' feedback on our banking products performance and ability to suite their needs, along with market comparison.

We implemented the Centralised Complaints Handling Unit in our branch network which saw an improvement in the turn around time for queries as well as a 6% reduction in complaints. This service also gave us a cross selling opportunity where leads were turned into sales worth Shs 148 Million. These interventions saw the bank win the Barclays Africa award for Best Customer Service team with a special mention in effective complaints management and Contact Centres.

Finally, we are committed to fighting financial crime and ensure that the banking system is not used for illegal purposes, including organised crime and the financing of terrorism. We have in place a robust set of systems and controls that range from our anti-money laundering policies, sanctioning, data protection and security, as well as fraud management policies which are continuously updated in line with the latest legal, regulatory and best practise development and in the response to new products, threats and distribution channels.



Barclays customers during Barclays Trade Fair 2012.

3) Supporting Our Communities

Barclays plays a broad role in the communities in which we live and work beyond what we deliver through our core business activities. We do this through community investment programmes and the direct efforts of our employees.

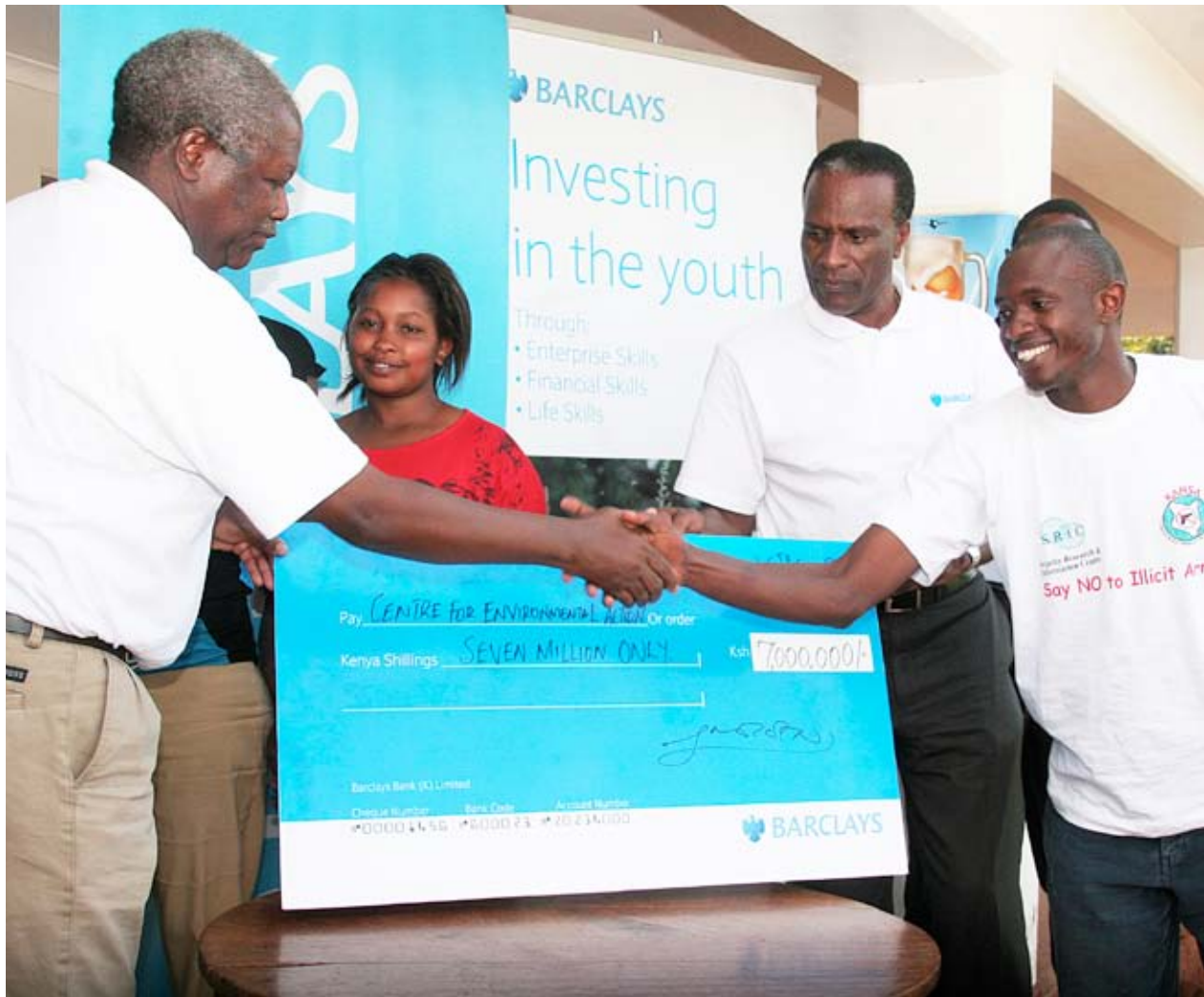
By aligning our community investment strategy to our skills and expertise as a bank, the positive impact of our activity is much more than just a financial contribution.

One of the biggest challenges facing communities now is equipping the next generation of young people with the right skills to fulfil their potential. Barclays is helping to tackle this issue by investing in community projects that help build the financial, enterprise and life skills of 18 to 35 year olds to help them achieve economic independence and security.

The projects focus on environmentally friendly sustainable community development initiatives. This is in line with the Bank's philosophical approach to citizenship whose goals are to be involved in partnerships to maximize the opportunities presented by economic, social and environmental sustainability issues, as well as collaborating to minimize the associated risks.

All the programmes are managed and governed by the Country Community Committee which vets projects to ensure that they are all legal and that reputable community partners who fall within our compliance framework are in charge of and accountable for the projects. Our Community Investment programmes are centred on three thematic areas which include:

Barclays Citizenship Agenda (continued)



Non Executive Director Eng. John Waweru presents a donation to members of, Center for environmental Action, to support of youth empowerment.

• Financial skills

With the right financial skills, disadvantaged young people will know how to manage their finances effectively, avoid unnecessary debt and have the confidence and knowledge to create a stable financial platform from which to make choices about their lives and achieve future goals.

This pillar addresses the dissemination of money management skills through training. The local community is able to manage their resources well and further enables many to access financial services for the first time.

To drive this agenda, Barclays has continued to work with Care and Plan International on the Banking on Change programme which has seen more than 90,000 families impacted and more than 6,000 groups linked to formal banking.

• Enterprise skills

Enterprise skills are set to instil the right skills and support the youth to enable them set up their own businesses. Young people will have the opportunity to provide for themselves, their families and ultimately support the growth of the economy

In support of this pillar, Barclays partnered with “The Centre for Environmental Action” to launch a sustainable initiative dubbed “Smart Champs”. Its main aim was to sensitize the youth to embrace environmental management practices for sustainable development.

With an investment of more than Shs 7 million, the projects have continued to support youth to engage in economic activities that drive ecosystem improvement, nature conservation and sustainable use of natural resources.



Colleagues take time off work to mentor the youth on life skills at Karura.

• Life skills

Barclays places a lot of value in the quality of life of citizens. We endeavour to work with the local communities to assist the youth acquire literacy, numeracy and employability skills which will help those who left formal education play a full role in society.

By imparting vital life skills we believe that we will be playing our part in becoming good corporate citizens. During the period under review, we constructed 30 green houses in public schools across the county. This has given the institutions as well as the local community the ability to improve their nutrition as well as generate income through the sale of surplus produce. In addition, last year the Bank invested Shs 7 million in water and sanitation projects across the country. These initiatives focused on installing water tanks and energy saving cooking stoves in selected public schools across the country.

Employee Community Schemes

One of the strongest aspects of the Barclays community schemes is employee volunteering. Every year our employees make significant contributions to our local communities by volunteering, fundraising and giving money. They make their contribution by giving their time, energy and expertise to make a lasting difference in the community.

Last year more than 4,100 employees took time off work to make a lasting impact in the communities where they live and work. A total investment of Shs 17.2 Million was invested in more than 360 projects across the country with employees investing more than 22,500 man hours in different charities.

Financial Statements

The Bank's proven strategy revealed a strong performance that led to profitability and provides a base for future success.



Report of the Independent Auditor to the Members of Barclays Bank of Kenya Limited

Report on the Consolidated Financial Statements

We have audited the accompanying consolidated financial statements of Barclays Bank of Kenya Limited (the "Bank") and its subsidiaries (together, the "Group"), as set out on pages 53 to 119. These financial statements comprise the consolidated statement of financial position as at 31 December 2012 and the consolidated income statement, statement of other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, together with the separate statement of financial position of the Bank standing alone as at 31 December 2012 and the statement of changes in equity of the Bank for the year then ended, and a summary of significant accounting policies and other explanatory notes.

Directors' Responsibility for the Financial Statements

The directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards and with the requirements of the Kenyan Companies Act and for such internal control, as the directors determine necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express an independent opinion on the financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform our audit to obtain reasonable assurance that the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the Bank's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Bank's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the directors, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Opinion

In our opinion the accompanying financial statements give a true and fair view of the state of the financial affairs of the Group and of the Bank as at 31 December 2012 and of the profit and cash flows of the Group for the year then ended in accordance with International Financial Reporting Standards and the Kenyan Companies Act.

Report on Other Legal Requirements

The Kenyan Companies Act requires that in carrying out our audit we consider and report to you on the following matters. We confirm that:

1. We have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;
2. In our opinion proper books of account have been kept by the Bank, so far as appears from our examination of those books;
3. The Bank's statement of financial position is in agreement with the books of account.



Certified Public Accountants, Nairobi.
13 February 2013

Consolidated Income Statement

For the year ended 31 December 2012

	Notes	2012 Shs million	Restated 2011 Shs million
Interest Income	5	21,041	17,632
Interest Expense	5	(2,896)	(1,296)
Net Interest Income		18,145	16,336
Fees and Commission Income	6	7,226	7,601
Fees and Commission Expense	6	(650)	(698)
Net Fees And Commission Income		6,576	6,903
Net Trading Income	7	2,673	2,861
Net Investment Income	8	-	234
Other Operating Income		30	5
Total Income		27,424	26,339
Loan Impairment Charges	18	(144)	(729)
Net Operating Income		27,280	25,610
Staff Costs	9	(7,814)	(7,289)
General Administrative Expenses	10	(5,255)	(5,003)
Depreciation of Property And Equipment	11	(626)	(765)
Amortisation of Intangible Assets	11	(565)	(482)
Operating Expenses		(14,260)	(13,539)
Profit Before Income Tax		13,020	12,071
Income Tax Expense	12	(4,279)	(3,958)
Profit for the Year		8,741	8,113
The whole profit above has been dealt with in the books of the bank.			
Earnings Per Share			
Basic and Diluted (Shs Per Share)	13	1.61	1.49

The notes on pages 62 and 119 are an integral part of these financial statements.

Consolidated Statement of Other Comprehensive Income

For the year ended 31 December 2012

	Notes	2012 Shs million	Restated 2011 Shs million
Profit for the Year		8,741	8,113
Other Comprehensive Income:			
Fair value movement on available for sale securities			
- unrealised net gains/(losses) arising during the year	16	3,036	(4,067)
- deferred income tax relating to other comprehensive income	20	(910)	1,220
Actuarial gains/(losses) on retirement benefit obligations	2(b)(ii)	416	(1,138)
Other comprehensive income for the year, net of tax		2,542	(3,985)
Total Comprehensive Income for the Year		11,283	4,128

The notes on pages 62 and 119 are an integral part of these financial statements.

Consolidated Statement of Financial Position

As at 31 December 2012

	Notes	As at 31 Dec 2012 Shs million	Restated As at 31 Dec 2011 Shs million	Restated As at 31 Dec 2010 Shs million
Assets				
Cash and balances with Central Bank of Kenya	15	16,486	12,212	13,131
Financial assets at fair value through profit or loss		789	542	350
Government securities: available-for-sale securities	16	47,536	37,599	55,996
Deposits and balances due from banking institutions	17	1,282	913	935
Balances due from group companies	34	4,066	4,531	3,285
Loans and advances to customers	18	104,204	99,072	87,147
Intangible assets	22	3,452	3,364	3,448
Prepaid operating lease rentals	23	59	60	61
Other assets	25	4,284	3,777	3,279
Deferred income tax asset	20	-	868	-
Property and equipment	21	2,667	3,056	3,244
Total Assets		184,825	165,994	170,876
Liabilities				
Balances due to Central Bank of Kenya		-	-	3,105
Customer deposits	26	137,915	124,207	123,826
Deposits and balances due to banking institutions	27	1,724	123	92
Balance due to group companies	34	1,985	1,617	1,571
Current income tax payable		1,125	208	193
Deferred income tax liabilities	20	223	-	46
Long term liabilities	28	4,499	4,474	4,351
Retirement benefit liabilities	24	664	1,195	55
Other liabilities	29	7,104	7,177	7,304
Total Liabilities		155,239	139,001	140,543
Shareholders' Equity				
Share capital	30	2,716	2,716	2,716
Revaluation reserve: available-for-sale securities		(206)	(2,332)	515
Retained earnings		21,813	17,007	18,194
Statutory loan loss reserve		1,461	2,541	2,526
Proposed dividend	14	3802	7,061	6,382
Total Shareholders' Equity		29,586	26,993	30,333
Total Equity and Liabilities		184,825	165,994	170,876

The financial statements on pages 53 to 119 were approved for issue by the board of directors on 13 February 2013 and signed on its behalf by:



Director: Francis Okomo-Okello



Director: Yusuf Omari



Director: Adan Mohamed



Secretary: Judy Nyaga

The notes on pages 62 and 119 are an integral part of these financial statements.

Bank Statement of Financial Position

As at 31 December 2012

	Notes	As at 31 Dec 2012 Shs million	Restated As at 31 Dec 2011 Shs million	Restated As at 31 Dec 2010 Shs million
Assets				
Cash and balances with Central Bank of Kenya	15	16,486	12,212	13,131
Financial assets at fair value through profit or loss		789	542	350
Government securities: available-for-sale securities	16	47,536	37,599	55,996
Deposits and balances due from banking institutions	17	1,282	913	935
Balances due from group companies	34	4,066	4,531	3,285
Loans and advances to customers	18	104,204	99,072	87,147
Investments in subsidiary companies	19	275	275	275
Intangible assets	22	3,452	3,364	3,448
Prepaid operating lease rentals	23	59	60	61
Other assets	25	4,284	3,777	3,279
Deferred income tax asset	20	-	868	-
Property and equipment	21	2,667	3,056	3,244
Total Assets		185,100	166,269	171,151
Liabilities				
Balances due to Central Bank of Kenya		-	-	3,105
Customer deposits	26	137,915	124,207	123,826
Deposits and balances due to banking institutions	27	1,724	123	92
Balances due to group companies	34	1,985	1,617	1,571
Current income tax payable		1,128	211	195
Deferred income tax liabilities	20	223	-	46
Long term liabilities	28	4,499	4,474	4,351
Retirement benefit liability	24	664	1,195	55
Other liabilities	29	7,376	7,449	7,577
Total Liabilities		155,514	139,276	140,818
Shareholders' Equity				
Share capital	30	2,716	2,716	2,716
Revaluation reserve: investment in subsidiaries		89	89	89
Revaluation reserve: available for sale securities		(206)	(2,332)	515
Retained earnings		21,724	16,918	18,105
Statutory loan loss reserve		1,461	2,541	2,526
Proposed dividend	14	3,802	7,061	6,382
Total Shareholders' Equity		29,586	26,993	30,333
Total Equity and Liabilities		185,100	166,269	171,151

The financial statements on pages 53 to 119 were approved for issue by the board of directors on 13 February 2013 and signed on its behalf by:



Director: Francis Okomo-Okello



Director: Yusuf Omari



Director: Adan Mohamed



Secretary: Judy Nyaga

The notes on pages 62 and 119 are an integral part of these financial statements.

Consolidated Statement of Changes in Equity

For the year ended 31 December 2012

	Notes	Share capital Shs million	Retained earnings Shs million	Statutory loan loss reserve Shs million	Revaluation reserve on available for-sale reserves Shs million	Proposed dividends Shs million	Total equity Shs million
Balance as at 1 January 2011 as Previously Reported		2,716	19,326	2,526	515	6,382	31,465
Restatement on adoption of IAS 19	2(b)(ii)	-	(1,594)	-	-	-	(1,594)
Reversal of associated deferred tax	2(b)(ii)	-	462	-	-	-	462
As Restated on 1 January 2011		2,716	18,194	2,526	515	6,382	30,333
Profit for the year		-	8,113	-	-	-	8,113
Actuarial losses in retirement benefit obligations	24	-	(1,138)	-	-	-	(1,138)
Available for sale securities, net of tax	16	-	-	-	(2,847)	-	(2,847)
Total Comprehensive Income for the Year		-	6,975	-	(2,847)	-	4,128
Transfer to statutory loan loss reserve		-	(15)	15	-	-	-
Dividends:							
- final for 2010 paid		-	-	-	-	(6,382)	(6,382)
- interim for 2011 paid		-	(1,086)	-	-	-	(1,086)
-proposed final for 2011	14	-	(7,061)	-	-	7,061	-
Restated Balance as at 31 December 2011		2,716	17,007	2,541	(2,332)	7,061	26,993

Note:

1. Revaluation reserve on available for sale relates to the fair value movements in government securities classified as available for sale financial instruments.
2. The share capital reserve, statutory loan loss reserve and proposed dividend reserve have been described in notes 2 (p), 2(q) and 2(o) respectively.

The notes on pages 62 and 119 are an integral part of these financial statements.

Consolidated Statement of Changes in Equity (continued)

For the year ended 31 December 2012

		Share capital	Retained earnings	Statutory loan loss reserve	Revaluation reserve on available for-sale reserves	Proposed dividends	Total equity
	Notes	Shs million	Shs million	Shs million	Shs million	Shs million	Shs million
Balance as at 1 January 2012 as Previously Reported		2,716	19,237	2,541	(2,332)	7,061	29,223
Restatement on adoption of IAS 19	2(b)(ii)	-	(2,674)	-	-	-	(2,674)
Reversal of associated deferred tax	2(b)(ii)	-	444	-	-	-	444
As Restated on 1 January 2012		2,716	17,007	2,541	(2,332)	7,061	26,993
Profit for the year		-	8,741	-	-	-	8,741
Actuarial losses in retirement benefit obligations	24	-	416	-	-	-	416
Available for sale securities, net of tax	16	-	-	-	2,126	-	2,126
Total Comprehensive Income for the Year		-	9,157	-	2,126	-	11,283
Transfer to statutory loan loss reserve		-	1,080	(1,080)	-	-	-
Dividends:							
- final for 2011 paid		-	-	-	-	(7,061)	(7,061)
- interim for 2012 paid		-	(1,629)	-	-	-	(1,629)
- proposed final for 2012	14	-	(3,802)	-	-	3,802	-
Restated Balance as at 31 December 2012		2,716	21,813	1,461	(206)	3,802	29,586

Note:

1. Revaluation reserve on available for sale relates to the fair value movements in government securities classified as available for sale financial instruments.
2. The share capital reserve, statutory loan loss reserve and proposed dividend reserve have been described in notes 2 (p), 2(q) and 2(o) respectively.

The notes on pages 62 and 119 are an integral part of these financial statements.

Bank Statement of Changes in Equity

For the year ended 31 December 2012

		Share capital	Revaluation reserve on investment subsidiaries	Retained earnings	Statutory loan loss reserve	Revaluation reserve on available for sale reserves	Proposed dividends	Total
	Notes	Shs million	Shs million	Shs million	Shs million	Shs million	Shs million	Shs million
Balance as at 1 January 2011 as Previously Reported		2,716	89	19,237	2,526	515	6,382	31,465
Restatement on adoption of IAS 19	2(b)(ii)	-	-	(1,594)	-	-	-	(1,594)
Reversal of associated deferred tax	2(b)(ii)	-	-	462	-	-	-	462
As Restated on 1 January 2011		2,716	89	18,105	2,526	515	6,382	30,333
Profit for the year		-	-	8,113	-	-	-	8,113
Actuarial losses in retirement benefit obligations	24	-	-	(1,138)	-	-	-	(1,138)
Available for sale securities, net of tax	16	-	-	-	-	(2,847)	-	(2,847)
Total Comprehensive Income for the Year		-	-	6,975	-	(2,847)	-	4,128
Transfer to statutory loan loss reserve		-	-	(15)	15	-	-	-
Dividends:								
- Final for 2009 paid		-	-	-	-	-	(6,382)	(6,382)
- Interim for 2010 paid		-	-	(1,086)	-	-	-	(1,086)
- Proposed final for 2011		-	-	(7,061)	-	-	7,061	-
Restated Balance as at 31 December 2011		2,716	89	16,918	2,541	(2,332)	7,061	26,993

Note:

1. Revaluation reserve on available for sale relates to the fair value movements in government securities classified as available for sale financial instruments.
2. The share capital reserve, statutory loan loss reserve and proposed dividend reserve have been described in notes 2 (p), 2(q) and 2(o) respectively.

The notes on pages 62 and 119 are an integral part of these financial statements.

Bank Statement of Changes in Equity (continued)

For the year ended 31 December 2012

		Share capital	Revaluation reserve on investment subsidiaries	Retained earnings	Statutory loan loss reserve	Revaluation reserve on available for sale reserves	Proposed dividends	Total
	Notes	Shs million	Shs million	Shs million	Shs million	Shs million	Shs million	Shs million
Balance as at 1 January 2012 as Previously Reported		2,716	89	19,148	2,541	(2,332)	7,061	29,223
Restatement on adoption of IAS 19	2(b)(ii)	-	-	(2,674)	-	-	-	(2,674)
Reversal of associated deferred tax	2(b)(ii)	-	-	444	-	-	-	444
As Restated on 1 January 2012		2,716	89	16,918	2,541	(2,332)	7,061	26,993
Profit for the year		-	-	8,741	-	-	-	8,741
Actuarial losses in retirement benefit obligations	24	-	-	416	-	-	-	416
Available for sale securities, net of tax	16	-	-	-	-	2,126	-	2,126
Total Comprehensive Income for the Year		-	-	9,157	-	2,126	-	11,283
Transfer to statutory loan loss reserve		-	-	1,080	(1,080)	-	-	-
Dividends:								
- Final for 2011 paid		-	-	-	-	-	(7,061)	(7,061)
- Interim for 2012 paid		-	-	(1,629)	-	-	-	(1,629)
- Proposed final for 2012	14	-	-	(3,802)	-	-	3,802	-
Restated Balance as at 31 December 2012		2,716	89	21,724	1,461	(206)	3,802	29,586

Note:

1. Revaluation reserve on available for sale relates to the fair value movements in government securities classified as available for sale financial instruments.
2. The share capital reserve, statutory loan loss reserve and proposed dividend reserve have been described in notes 2 (p), 2(q) and 2(o) respectively.

The notes on pages 62 and 119 are an integral part of these financial statements.

Consolidated Statement of Cash Flows

For the year ended 31 December 2012

	Notes	2012 Shs million	2011 Shs million
Net Cash Flows from Operating Activities	33(a)	8,969	10,219
Cash Flows from Investing Activities			
Purchase of property and equipment	21	(867)	(975)
Purchase of intangibles	22	(23)	-
Proceeds from sale of property and equipment		4	-
Net Cash Used in Investing Activities		(886)	(975)
Cash Flows from Financing Activities			
Dividends paid		(8,690)	(7,468)
Net Cash Used in Financing Activities		(8,690)	(7,468)
Net Decrease in Cash and Cash Equivalents		(607)	1,776
Cash and cash equivalents at 1 January	33(b)	10,416	8,640
Cash and Cash Equivalents at 31 December 2012	33(b)	9,809	10,416

The notes on pages 62 and 119 are an integral part of these financial statements.

Notes to the Financial Statements

For the year ended 31 December 2012

1. General Information

The Company is incorporated in Kenya under the Companies Act as a public limited liability company and is domiciled in Kenya. The address of its registered office is:

**The West End Building,
Waiyaki Way,
P.O. Box 30120, code 00100.
Nairobi.**

The shares of the company are listed on the Nairobi Securities Exchange. The financial statements for the year ended 31 December 2012 have been approved for issue by the Board of Directors on 13 February 2013.

For Kenyan Companies Act reporting purposes, the balance sheet is represented by statement of financial position and the profit and loss account by income statement, in these financial statements.

2. Summary of Significant Accounting Policies

The principal accounting policies adopted in the preparation of these financial statements are set out below. These policies have been consistently applied to all years presented, unless otherwise stated.

(a) Basis of Preparation

The Group's financial statements have been prepared in accordance with International Financial Reporting Standards (IFRS) as issued by the International Accounting Standards Board. Additional information required by national regulations is included where appropriate. The financial statements have been prepared under the historical cost convention, except for available-for-sale financial assets, financial assets held at fair value through profit or loss and all derivative contracts, which have been measured at fair value.

The disclosures on risks from financial instruments are presented in the financial risk management report contained in Note 4.

The preparation of financial statements in conformity with IFRS requires the use of certain critical accounting estimates. It also requires the directors to exercise judgement in the process of applying the Group's accounting policies. Changes in assumptions may have a significant impact on the financial statements in the period the assumptions changed. The directors believe that the underlying assumptions are appropriate and that the Group's financial statements therefore present the financial position and results fairly. The areas involving a higher degree of judgement or complexity, or areas where assumptions and estimates are significant to the financial statements are disclosed in Note 3.

(b) Changes in Accounting Policy and Disclosures

(i) New and Amended Standards Adopted By the Group

There are no IFRSs or IFRIC interpretations that are effective for the first time for the financial year beginning on 1 January 2012 that would be expected to have a material impact on the Bank.

(ii) New Standards and Interpretations That Are Not Yet Effective and Have Been Early Adopted

• IAS 19, 'Employee Benefits'

IAS 19 was amended in June 2011. These amendments eliminate the corridor approach and calculate finance costs on a net funding basis. The impact on the Group will be as follows: to immediately recognise all unrecognized actuarial losses; and to replace interest cost and expected return on plan assets with a net interest amount that is calculated by applying the discount rate to the net defined benefit liability. The changes have been applied retrospectively with the following effect: recognition of accumulated unrecognized actuarial losses of Shs 2,674m through other comprehensive income, reversal of amortisation of actuarial losses of Shs 58m in 2011 income statement and elimination of deferred tax liability Shs 444m. The impact has been analysed in note 24 of the financial statements.

2. Summary of Significant Accounting Policies (continued)

(b) Changes in Accounting Policy and Disclosures (continued)

(iii) New Standards and Interpretations That Are Not Yet Effective and Have Not Been Early Adopted By Group

Numerous new standards, amendments and interpretations to existing standards have been issued but are not yet effective. Below is the list of new standards that are likely to be relevant to the Group. However, the directors are yet to assess the impact on the Group's operations.

Standard	Title	Applicable for financial year beginning on/after
IAS 1	Presentation of financial statements.	1 July 2012
IFRS 13	Fair value measurement.	1 January 2013
IFRS 9	Financial instruments	1 January 2015
IFRS 10	Consolidated financial statements	1 January 2013

(iii) New Standards and Interpretations That Are Not Yet Effective and Have Not Been Early Adopted By Group

• IAS 1, 'Presentation of Financial Statements'

The amendment changes the disclosure of items presented in other comprehensive income (OCI) in the statement of comprehensive income.

The main change resulting from these amendments is a requirement for entities to group items presented in 'other comprehensive income' (OCI) on the basis of whether they are potentially reclassifiable to profit or loss subsequently (reclassification adjustments). The amendments do not address which items are presented in OCI. The application of this amendment will mainly impact the presentation of the primary statements.

• IFRS 13, 'Fair Value Measurement'

IFRS 13 aims to improve consistency and reduce complexity by providing a precise definition of fair value and a single source of fair value measurement and disclosure requirements for use across IFRSs.

The requirements, which are largely aligned between IFRSs and US GAAP, do not extend the use of fair value accounting but provide guidance on how it should be applied where its use is already required or permitted by other standards within IFRSs or US GAAP. The application of IFRS 13 may enhance fair value disclosures in a lot of circumstances.

• IFRS 9, 'Financial Instruments'

IFRS 9 addresses the classification, measurement and recognition of financial assets and financial liabilities. Issued in November 2009 and October 2011, it replaces the parts of IAS 39 that relate to the classification and measurement of financial instruments. IFRS 9 requires financial assets to be classified into two measurement categories: those measured as at fair value and those measured at amortised cost.

The determination is made at initial recognition. The classification depends on the entity's business model for managing its financial instruments and the contractual cash flow characteristics of the instrument. For financial liabilities, the standard retains most of the IAS 39 requirements.

The main change is that, in cases where the fair value option is taken for financial liabilities, the part of a fair value change due to an entity's own credit risk is recorded in other comprehensive income rather than the income statement, unless this creates an accounting mismatch.

Notes to the Financial Statements (continued)

For the year ended 31 December 2012

2. Summary of Significant Accounting Policies (continued)

(b) Changes in Accounting Policy and Disclosures (continued)

(iii) New Standards and Interpretations That Are Not Yet Effective and Have Not Been Early Adopted By Group (Continued)

• IFRS 9, 'Financial Instruments (Continued)

The directors are yet to assess IFRS 9's full impact and intend to adopt IFRS 9 no later than the accounting period beginning on or after 1 January 2015. The directors will also consider the impact of the remaining phases of IFRS 9 when completed by the IASB.

• IFRS 10, 'Consolidated Financial Statements

The objective of IFRS 10 is to establish principles for the presentation and preparation of consolidated financial statements when an entity controls one or more other entity (an entity that controls one or more other entities) to present consolidated financial statements.

It defines the principle of control, and establishes controls as the basis for consolidation. It sets out how to apply the principle of control to identify whether an investor controls an investee and therefore must consolidate the investee. It also sets out the accounting requirements for the preparation of consolidated financial statements.

There are no other IFRSs or IFRIC interpretations that are not yet effective that would be expected to have a material impact on the Bank.

The accounting records are maintained in the currency of the primary economic environment in which the Group operates (the "functional currency"). The financial statements are presented in Kenya Shillings, which is the Group's presentation currency. The figures shown in the financial statements are stated in Kenya Shillings (Shs), rounded to the nearest million.

(c) Translation of Foreign Currencies

(i) Functional and Presentation Currency

The accounting records are maintained in the currency of the primary economic environment in which the Group operates (the "functional currency"). The financial statements are presented in Kenya Shillings, which is the Group's presentation currency. The figures shown in the financial statements are stated in Kenya Shillings (Shs), rounded to the nearest million.

(ii) Transactions and Balances

Transactions in foreign currencies during the year are translated into the functional currency using the exchange rates prevailing at the dates of the transaction or valuation where items are re-measured.

Monetary items denominated in foreign currency are translated at the closing rate as at the reporting date.

Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at year-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in the income statement.

Translation differences on non-monetary financial instruments, such as equities held at fair value through profit or loss, are reported as part of the fair value gain or loss. Translation differences on non-monetary financial instruments, such as equities classified as available-for-sale financial assets, are included in other comprehensive income.

2. Summary of Significant Accounting Policies (continued)

(d) Sale and Repurchase Agreements

Securities sold subject to repurchase agreements ('repos') are classified in the financial statements as pledged assets when the transferee has the right by contract or custom to sell or repledge the collateral; the counterparty liability is included in amounts due to Central Bank of Kenya, due to other banks, deposits from banks, other deposits or deposits due to customers, as appropriate.

Securities purchased from Central Bank of Kenya under agreements to resell ('reverse repos') are disclosed separately as they are purchased and are not negotiable/discounted during their tenure. The difference between sale and repurchase price is treated as interest and accrued over the life of the agreements using the effective interest method.

(e) Financial Assets and Liabilities

All financial assets and liabilities – which include derivative financial instruments – have to be recognised in the statement of financial position and measured in accordance with their assigned category.

(i) Financial Assets

The Group classifies its financial assets into the following categories: financial assets at fair value through profit or loss; loans, advances and receivables and available-for-sale financial assets. Management determines the appropriate classification of its financial assets at initial recognition.

• *Financial Assets At Fair Value Through Profit or Loss (FVTPL)*

This category comprises two sub-categories: financial assets classified as held for trading, and financial assets designated by the Group as at fair value through profit or loss upon initial recognition.

A financial asset is classified as held for trading if it is acquired or incurred principally for the purpose of selling or repurchasing it in the near term or if it is part of a portfolio of identified financial instruments that are managed together and for which there is evidence of a recent actual pattern of short-term profit-taking. Derivatives are also categorised as held for trading unless they are designated and effective as hedging instruments.

The Group designates certain financial assets upon initial recognition as at fair value through profit or loss (fair value option). This designation cannot subsequently be changed and can only be applied when the following conditions are met:

- The application of the fair value option reduces or eliminates an accounting mismatch that would otherwise arise or
- the financial assets are part of a portfolio of financial instruments which is risk managed and reported to senior management on a fair value basis or
- the financial assets consists of debt host and an embedded derivatives that must be separated.

Financial assets at fair value through profit or loss are carried at fair value. Purchases and sales of financial assets at fair value through profit or loss are recognized on trade-date, the date on which the Group commits to purchase or sell the asset. Fair value changes relating to financial assets designated at fair value through profit or loss are recognized in the income statement in the year in which they arise.

• *Loans and Receivables*

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market.

They arise when the Bank provides money, goods or services directly to a debtor with no intention of trading the receivable.

Notes to the Financial Statements (continued)

For the year ended 31 December 2012

2. Summary of Significant Accounting Policies (continued)

(e) Financial Assets and Liabilities (continued)

(i) Financial Assets (Continued)

• *Loans and Receivables (Continued)*

Loans and receivables are initially recognised at fair value – which is the cash consideration to originate the loan including any transaction costs – and measured subsequently at amortised cost using the effective interest method.

Loans and receivables are reported in the statement of financial position as loans and advances to customers, deposits with financial institutions, cash with Central Bank of Kenya and balances due from group companies (notes 15, 17, 18 and 34).

loans is included in the income statement and is reported as 'Interest income'. In the case of impairment, the impairment loss is reported as a deduction from the carrying value of the loan and recognised in the income statement as 'impairment losses on loans and advances'.

• *Available-for-sale Financial Assets*

Available-for-sale financial assets are financial assets that are intended to be held for an indefinite period of time, which may be sold in response to needs for liquidity or changes in interest rates, exchange rates or equity prices or that are not classified as loans and receivables, held-to-maturity investments or financial assets at fair value through profit or loss.

Available-for-sale financial assets are initially recognised at fair value, which is the cash consideration including any transaction costs, and measured subsequently at fair value with gains and losses being recognised in the statement of comprehensive income, except for impairment losses and foreign exchange gains and losses, until the financial asset is derecognised. If an available-for-sale financial asset is determined to be impaired, the cumulative gain or loss previously recognised in the statement of comprehensive income is recognised in the income statement. However, interest is calculated using the effective interest method, and foreign currency gains and losses on monetary assets classified as available for sale are recognised in the income statement.

• *Recognition*

The Bank uses trade date accounting for regular way contracts when recording financial asset transactions.

• *De-recognition*

Financial assets are derecognized when the rights to receive cash flows from the financial assets have expired or where the Group has transferred substantially all risks and rewards of ownership.

(ii) Financial Liabilities

All the Bank's financial liabilities are measured at amortised cost. These include deposits from banks or customers or balances due to Group, long term debt instruments and subordinated debts (notes 26, 27, 34 and 28).

Financial liabilities are initially recognised at their fair value, being their issue proceeds (fair value of consideration received), net of transaction costs incurred and subsequently measured at amortised cost. Financial liabilities are derecognised when extinguished.

(iii) Determination of Fair Value

For financial instruments traded in active markets, the determination of fair values of financial assets is based on quoted market prices or dealer price quotations. This includes listed equity securities and quoted debt instruments on major exchanges and broker quotes.

2. Summary of Significant Accounting Policies (continued)

(e) Financial Assets and Liabilities (continued)

(iii) Determination of Fair Value (continued)

A financial instrument is regarded as quoted in an active market if quoted prices are readily and regularly available from an exchange, dealer, broker,

industry group, pricing service or regulatory agency, and those prices represent actual and regularly occurring market transactions on an arm's length basis. If the above criteria are not met, the market is regarded as being inactive. Indicators that a market is inactive are when there is a wide bid-offer spread or significant increase in the bid-offer spread or there are few recent transactions.

For all other financial instruments, fair value is determined using valuation techniques. These include the use of recent arm's length transactions, discounted cash flow analysis and other valuation techniques commonly used by market participants.

The Bank uses widely recognised valuation models for determining fair values of government securities. For these financial instruments, inputs into models are generally market-observable.

The fair values of the Bank's financial assets and liabilities approximate the respective carrying amounts, due to the generally short periods to contractual re-pricing or maturity dates. Fair values are based on discounted cash flows using a discount rate based upon the borrowing rate that directors expect would be available to the company at the reporting date.

The fair value of foreign exchange forwards is generally based on current forward exchange rates. The fair values of contingent liabilities correspond to their carrying amounts.

(f) Impairment of Financial Assets

(i) Assets Carried at Amortised Cost

The Bank assesses at each reporting date whether there is objective evidence that a financial asset or group of financial assets is impaired. A financial asset or a group of financial assets is impaired and impairment losses are incurred only if there is objective evidence of impairment as a result of one or more events that occurred after the initial recognition of the asset (a 'loss event') and that loss event (or events) has an impact on the estimated future cash flows of the financial asset or group of financial assets that can be reliably estimated.

The criteria that the Bank uses to determine that there is objective evidence of an impairment loss include:

- significant financial difficulty of the issuer or obligor;
- a breach of contract, such as a default or delinquency in interest or principal payments;
- the lender, for economic or legal reasons relating to the borrower's financial difficulty, granting to the borrower a concession that the lender would not otherwise consider;
- it becomes probable that the borrower will enter bankruptcy or other financial reorganisation;
- the disappearance of an active market for that financial asset because of financial difficulties; or
- observable data indicating that there is a measurable decrease in the estimated future cash flows from a portfolio of financial assets since the initial recognition of those assets, although the decrease cannot yet be identified with the individual financial assets in the portfolio, including:

- (i) adverse changes in the payment status of borrowers in the portfolio; and
- (ii) national or local economic conditions that correlate with defaults on the assets in the portfolio.

Notes to the Financial Statements (continued)

For the year ended 31 December 2012

2. Summary of Significant Accounting Policies (continued)

(f) Impairment of Financial Assets (Continued)

(i) Assets Carried at Amortised Cost (continued)

The estimated period between a loss occurring and its identification is determined by local management for each identified portfolio. In general, the periods used vary between 1 and 6 months; in exceptional cases, longer periods are warranted.

The Bank first assesses whether objective evidence of impairment exists individually for financial assets that are individually significant, and collectively for financial assets that are not individually significant. If the Bank determines no objective evidence of impairment exists for an individually assessed financial asset, whether significant or not, it includes the asset in a group of financial assets with similar credit risk characteristics and collectively assesses them for impairment. Assets that are individually assessed for impairment and for which an impairment loss is or continues to be recognised are not included in a collective assessment of impairment.

If there is objective evidence that an impairment loss on loans carried at amortised cost has been incurred, the amount of the loss is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows (excluding future credit losses that have not been incurred) discounted at the financial instrument's original effective interest rate. The carrying amount of the asset is reduced through the use of an allowance account and the amount of the loss is recognised in the income statement. If a loan has a variable interest rate, the discount rate for measuring any impairment loss is the current effective interest rate determined under the contract. As a practical expedient, the Bank may measure impairment on the basis of an instrument's fair value using an observable market price.

The calculation of the present value of the estimated future cash flows of a collateralised financial asset reflects the cash flows that may result from foreclosure less costs for obtaining and selling the collateral, whether or not foreclosure is probable.

For the purposes of a collective evaluation of impairment, financial assets are grouped on the basis of similar credit risk characteristics (i.e. on the basis of the bank's grading process that considers asset type, industry, geographical location, collateral type, past-due status and other relevant factors). Those characteristics are relevant to the estimation of future cash flows for groups of such assets by being indicative of the debtors' ability to pay all amounts due according to the contractual terms of the assets being evaluated.

Future cash flows in a group of financial assets that are collectively evaluated for impairment are estimated on the basis of the contractual cash flows of the assets in the group and historical loss experience for assets with credit risk characteristics similar to those in the group. Historical loss experience is adjusted on the basis of current observable data to reflect the effects of current conditions that did not affect the period on which the historical loss experience is based and to remove the effects of conditions in the historical period that do not exist currently.

Estimates of changes in future cash flows for groups of assets should reflect and be directionally consistent with changes in related observable data from period to period (for example, changes in unemployment rates, property prices, payment status, or other factors indicative of changes

in the probability of losses in the Bank and their magnitude). The methodology and assumptions used for estimating future cash flows are reviewed regularly by the Bank to reduce any differences between loss estimates and actual loss experience.

When a loan is uncollectible, it is written off against the related provision for loan impairment. Such loans are written off after all the necessary procedures have been completed and the amount of the loss has been determined.

Impairment charges relating to loans and advances to customers are included in loan impairment charges. Subsequent recoveries of amounts previously written off decrease the amount of the provision for loan impairment in the income statement.

2. Summary of Significant Accounting Policies (continued)

(f) Impairment of Financial Assets (Continued)

(i) Assets Carried at Amortised Cost (continued)

If, in a subsequent period, the amount of the impairment loss decreases and the decrease can be related objectively to an event occurring after the impairment was recognised (such as an improvement in the debtor's credit rating), the previously recognised impairment loss is reversed by adjusting the allowance account. The amount of the reversal is recognised in the income statement.

(ii) Assets Classified as Available-for-sale

The Bank assesses at each reporting date whether there is objective evidence that a financial asset or a group of financial assets is impaired. In the case of equity investments classified as available for sale, a significant or prolonged decline in the fair value of the security below its cost is objective evidence of impairment resulting in the recognition of an impairment loss. If any such evidence exists for available-for-sale financial assets, the cumulative loss – measured as the difference between the acquisition cost and the current fair value, less any impairment loss on that financial asset previously recognised in profit or loss – is removed from equity and recognised in the income statement. Impairment losses recognised in the income statement on equity instruments are not reversed through the income statement. If, in a subsequent period, the fair value of a debt instrument classified as available for sale increases and the increase can be objectively related to an event occurring after the impairment loss was recognised in profit or loss, the impairment loss is reversed through the income statement.

(g) Offsetting Financial Instruments

Financial assets and liabilities are offset and the net amount reported in the statement of financial position when there is a legally enforceable right to set off the recognised amounts and there is an intention to settle on a net basis, or realise the asset and settle the liability simultaneously.

(h) Cash and Cash Equivalents

For the purposes of the cash flow statement, cash and cash equivalents comprise balances with less than 90 days maturity from the date of acquisition including: cash and balances with central banks, treasury bills and amounts due from other banks. Cash and cash equivalents exclude the cash reserve requirement held with the Central Bank of Kenya.

(i) Property and Equipment

Land and buildings comprise mainly branches and offices. All property and equipment is stated at historical cost less depreciation. Historical cost includes expenditure that is directly attributable to the acquisition of these assets.

Subsequent expenditures are included in the asset's carrying amount or are recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably. The carrying amount of the replaced part is derecognised. All other repair and maintenance costs are charged to other operating expenses during the financial period in which they are incurred.

Freehold land is not depreciated. Depreciation on other assets is calculated on the straight line basis to write down their cost to their residual values over their estimated useful lives, as follows:

Buildings	25 – 40 years
Leasehold improvements	Over the remaining the lease period
Fixtures, fittings and equipment	3 – 15 years
Motor vehicles	5 – 8 years

The assets' residual values and useful lives are reviewed, and adjusted if appropriate, at each balance sheet date.

Notes to the Financial Statements (continued)

For the year ended 31 December 2012

2. Summary of Significant Accounting Policies (continued).

(i) Property and Equipment (continued).

The Bank assesses at each reporting date whether there is any indication that any item of property and equipment is impaired. If any such indication exists, the Bank estimates the recoverable amount of the relevant assets. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use. Gains and losses on disposal of property and equipment are determined by reference to their carrying amount and are taken into account in determining operating profit.

(j) Intangible Assets

Intangible assets comprise computer software and other intangible assets. Intangible assets are recognised at cost. Intangible assets with a definite useful life are amortised using the straight-line method over their estimated useful economic life, generally not exceeding 10 years. Generally, the identified intangible assets of the Bank have a definite useful life. At the end of each reporting period, intangible assets are reviewed for indications of impairment or changes in estimated future economic benefits. If such indications exist, the intangible assets are analysed to assess whether their carrying amount is fully recoverable. An impairment loss is recognised if the carrying amount exceeds the recoverable amount.

The Bank chooses to use the cost model for the measurement after recognition.

(i) Computer Software

Costs associated with maintaining computer software programmes are recognised as an expense as incurred. Development costs that are directly attributable to the design and testing of identifiable and unique software products controlled by the Bank are recognised as intangible assets when the following criteria are met:

- it is technically feasible to complete the software product so that it will be available for use;
- management intends to complete the software product and use or sell it;
- there is an ability to use or sell the software product;
- it can be demonstrated how the software product will generate probable future economic benefits;
- adequate technical, financial and other resources to complete the development and to use or sell the software product are available; and
- the expenditure attributable to the software product during its development can be reliably measured.

Directly attributable costs that are capitalised as part of the software product include the software development employee costs and an appropriate portion of relevant overheads. Other development expenditures that do not meet these criteria are recognised as an expense as incurred. Development costs previously recognised as an expense are not recognised as an asset in a subsequent period. The Bank does not have intangible assets with an indefinite useful life as at 31 December 2012 and 31 December 2011.

(k) Impairment of Non-financial Assets

Intangible assets that have an indefinite useful life are not subject to amortisation and are tested annually for impairment. Assets are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use. The impairment test also can be performed on a single asset when the fair value less cost to sell or the value in use can be determined reliably. Non-financial assets other than goodwill that suffered impairment are reviewed for possible reversal of the impairment at each reporting date. No non-financial assets were impaired in 2012.

2. Summary of Significant Accounting Policies (continued).

(I) Employee Benefits

(i) Retirement Benefit

The Group operates both a defined benefit plan and defined contribution plan. The assets of these schemes are held in separate trustee administered funds that are funded by contributions from the Group and the employees. Certain of the employees are members of the parent bank's defined benefit scheme. The Group and all its employees also contribute to the National Social Security Fund, which is a defined contribution scheme.

A defined contribution plan is a retirement benefit plan under which the Group pays fixed contributions into a separate entity. The Group has no legal or constructive obligation to pay further contributions if the fund does hold sufficient assets or pay all employees the benefits relating to employee service in the current and prior periods. A defined contribution plan is a retirement benefit plan that is not a defined benefit plan.

The Group's contribution to the defined contribution scheme is charged to the income statement in the year in which they fall due. The Group has no further payment obligation once the contributions have been paid.

A defined benefit plan is a pension plan that defines an amount of pension benefit that an employee will receive on retirement, usually dependent on one or more factors, such as age, years of service and compensation.

The liability recognised in the consolidated statement of financial position in respect of defined benefit pension plans is the present value of the defined benefit obligation at the reporting date less the fair value of plan assets.. The defined benefit obligation is calculated annually by independent actuaries using the projected unit credit method. The present value of the defined benefit obligation is determined by discounting the estimated future cash outflows using interest rates of high-quality corporate bonds that are denominated in the currency in which the benefits will be paid, and that have terms to maturity approximating the terms of the related pension liability.

Actuarial gains and losses arising from experience adjustments and changes in actuarial assumptions are charged or credited to equity in other comprehensive income in the period in which they arise.

Previously, actuarial gains and losses in excess of the greater of 10% of plan assets or 10% of the defined obligation were charged or credited to profit or loss over the employees' expected average working lives.

Past-service costs are recognised immediately in income. The Group's post-employment amounts and activity are disclosed in Note 24.

(ii) Termination Benefits

Termination benefits are payable when employment is terminated by the Group before the normal retirement date, or whenever an employee accepts voluntary redundancy in exchange for these benefits. The Group recognises termination benefits at the earlier of the following dates: (a) when the Group can no longer withdraw the offer of those benefits; and (b) when the entity recognises costs for a restructuring that is within the scope of IAS 37 and involves the payment of termination benefits. In the case of an offer made to encourage voluntary redundancy, the termination benefits are measured based on the number of employees expected to accept the offer. Benefits falling due more than 12 months after the end of the reporting period are discounted to their present value.

(iii) Profit-sharing and Bonus Plans

The Group recognises a liability and an expense for bonuses and profit-sharing, based on a formula that takes into consideration the profit attributable to the company's shareholders after certain adjustments. The Group recognises a provision where contractually obliged or where there is a past practice that has created a constructive obligation.

Notes to the Financial Statements (continued)

For the year ended 31 December 2012

2. Summary of Significant Accounting Policies (continued)

(l) Employee Benefits (continued)

(iv) Other Employee Entitlements

The estimated monetary liability for employees accrued annual leave entitlement at the reporting date is recognised as an expense accrual.

(m) Provisions

Provisions are recognised for present obligations arising as consequences of past events where it is more likely than not that a transfer of economic benefits will be necessary to settle the obligation, and these can be reliably estimated. When a leasehold property ceases to be used in the business, a provision is made where the unavoidable costs of the future obligations relating to the lease are expected to exceed anticipated rental income. The net costs are discounted using market rates of interest to reflect the long-term nature of the cash flows.

Provision is made for the anticipated cost of restructuring, including redundancy costs when an obligation exists. An obligation exists when the Group has a detailed formal plan for restructuring a business and has raised valid expectations in those affected by the restructuring by starting to implement the plan or announcing its main features.

The provision raised is normally utilised within nine months. Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefit is uncertain or cannot be reliably measured. Contingent liabilities are not recognised but are disclosed unless they are remote.

(n) Income Tax

(i) Current Income Tax

The tax expense for the period comprises current and deferred income tax. Income tax expense is the aggregate of the charge to the income statement in respect of current income tax and deferred income tax. Tax is recognised in the income statement, except to the extent that it relates to items recognised in other comprehensive income or directly in equity. In this case, the tax is also recognised in other comprehensive income or directly in equity respectively. Current income tax is the amount of income tax payable on the profit for the year determined in accordance with the Kenyan Income Tax Act.

Management periodically evaluates positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation. It establishes provisions where appropriate on the basis of amounts expected to be paid to the tax authorities.

(ii) Deferred Income Tax

Deferred income tax is provided in full, using the liability method, for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes.

However, if the deferred income tax arises from the initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting nor taxable profit or loss, it is not accounted for. Deferred income tax is determined using tax rates enacted or substantively enacted at the reporting date and are expected to apply when the related deferred income tax liability is settled.

Deferred income tax assets are recognised only to the extent that it is probable that future taxable profits will be available against which temporary differences can be utilised.

2. Summary of Significant Accounting Policies (continued)

(o) Dividends Payable

Dividends on ordinary shares are charged to equity in the period in which they are declared. Proposed dividends are shown as a separate component of equity until declared, in accordance with the Kenya Companies' Act

(p) Share Capital

Ordinary shares are classified as 'share capital' in equity. Any premium received over and above the par value of the shares is classified as share premium in equity.

(q) Statutory Loan Loss Reserve

Where impairment losses required by the regulators exceeds those computed under IFRS, the excess is recognised as a statutory loan loss reserve and is accounted for as an appropriation of retained earnings. The statutory loan loss reserve is not distributable.

(r) Derivative Financial Instruments

Derivatives, which comprise forward foreign exchange contracts and foreign exchange swaps, are initially recognised at fair value on the date the derivative contract is entered into and are subsequently measured at fair value. The fair value is determined using forward exchange market rates at the reporting date or appropriate pricing models. The derivatives do not qualify for hedge accounting. Changes in the fair value of derivatives are recognised immediately in the income statement.

(s) Leases

Leases are divided into finance leases and operating leases.

(i) The Bank is the Lessor

• Finance Lease

Assets leased to customers under agreements, which transfer substantially all the risks and rewards of ownership, with or without ultimate legal title, are classified as finance leases. When assets are held subject to a finance lease, the present value of the lease payments, discounted at the rate of interest implicit in the lease, is recognised as a receivable.

The difference between the total payments receivable under the lease and the present value of the receivable is recognised as unearned finance income, which is allocated to accounting periods under the pre-tax net investment method to reflect a constant periodic rate of return.

• Operating Lease

Assets leased to customers which do not transfer substantially all the risks and rewards of ownership are classified as operating leases. The leased assets are included within property, plant and equipment on the Bank's statement of financial position and depreciation is provided on the depreciable amount of these assets on a systematic basis over their estimated useful lives. Lease income is recognised on a straight-line basis over the period of the lease unless another systematic basis is more appropriate.

(ii) The Bank is the Lessee

For operating lease where the Bank is the lessee, payments, including pre-payments, made under operating leases (net of any incentives received from the lessor) are charged to the income statement on a straight-line basis over the period of the lease.

Notes to the Financial Statements (continued)

For the year ended 31 December 2012

2. Summary of Significant Accounting Policies (continued)

(t) Interest Income and Expense

Interest income and expense are recognised in the income statement for all interest bearing financial instruments measured at amortised cost using the effective interest method.

The effective interest method is a method of calculating the amortised cost of a financial asset or a financial liability and of allocating the interest income or interest expense over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or, when appropriate, a shorter period, to the net carrying amount of the financial asset or financial liability. The calculation includes all fees paid or received between parties to the contract that are an integral part of the effective interest rate, transaction costs and all other premiums or discounts.

When loans and advances become doubtful of collection, they are written down to their recoverable amounts and interest income is thereafter recognised based on the rate of interest that was used to discount the future cash flows for the purpose of measuring the impairment loss.

(u) Fees and Commission

Unless included in the effective interest calculation, fees and commissions income are generally recognised on an accrual basis when the service has been provided. Loan appraisal fees together with related direct costs are deferred and recognised using the effective interest rate method.

Fees and commission expenses are generally deferred and recognised on an accrual basis when incurred.

(v) Acceptances and Letters of Credit

Acceptances and letters of credit are accounted for as off balance sheet transactions and disclosed as contingent liabilities.

(w) Investments in Subsidiaries

Investments in subsidiary companies are carried only in the Bank's accounts at fair value. Changes in fair value of the investments are recognised in equity in "revaluation reserve on investments in subsidiaries" and subsequent recycling into the income statement on disposal or impairment.

(x) Consolidation

The consolidated financial statements comprise the financial statements of Barclays Bank of Kenya Limited and its subsidiary companies made up to 31 December. Subsidiary undertakings have been fully consolidated. All intercompany transactions, balances and unrealised surpluses and deficits on transactions between Group companies have been eliminated. The accounting policies for the subsidiaries are consistent with the policies adopted by the Bank. A listing of the Bank's subsidiaries is set out in Note 19.

(y) Segment Reporting

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision-maker. The chief operating decision-maker who is responsible for allocating resources and assessing the performance of the operating segments has been identified as the Country management Committee that makes strategic decisions.

All transactions between business segments are conducted on an arm's length basis, with intra-segment revenue and costs being eliminated in head office. Income and expenses directly associated with each segment are included in determining business segment performance.

In accordance with IFRS 8, the Bank has the following business segments: Consumer banking and Corporate banking.

2. Summary of Significant Accounting Policies (continued)

(z) Comparatives

Except when a standard or an interpretation permits or requires otherwise, all amounts are reported or disclosed with comparative information.

3. Critical Accounting Estimates

IFRS require that the Group adopts accounting policies and estimation techniques that the Directors believe are most appropriate in the circumstances for the purpose of giving a true and fair view of the state of the Group's financial affairs, its profit and cash flows. However different policies, estimation techniques and assumptions in critical areas could lead to materially different results.

The following are estimates which are considered to be complex and involve significant amounts of management valuation judgements, often in areas that are inherently uncertain.

(a) Impairment Losses on Loans and Advances

The Bank reviews its loan portfolios to assess impairment at least on a monthly basis. In determining whether an impairment loss should be recorded in profit or loss, the Bank makes judgements as to whether there is any observable data indicating an impairment trigger followed by measurable decrease in the estimated future cash flows from a portfolio of loans before the decrease can be identified with that portfolio. This evidence may include observable data indicating that there has been an adverse change in the payment status of borrowers in a bank, or national or local economic conditions that correlate with defaults on assets in the Bank. The directors use estimates based on historical loss experience for assets with credit risk characteristics and objective evidence of impairment similar to those in the portfolio when scheduling future cash flows. The methodology and assumptions used for estimating both the amount and timing of future cash flows are reviewed regularly to reduce any differences between loss estimates and actual loss experience.

(b) Fair Value of Financial Instruments

The fair value of financial instruments where no active market exists or where quoted prices are not otherwise available are determined by using valuation techniques. In these cases, the fair values are estimated from observable data in respect of similar financial instruments or using models. Where market observable inputs are not available, they are estimated based on appropriate assumptions. Where valuation techniques (for example, models) are used to determine fair values, they are validated and periodically reviewed by qualified personnel independent of those that sourced them.

All models are certified before they are used, and models are calibrated to ensure that outputs reflect actual data and comparative market prices. To the extent practical, models use only observable data; however, areas such as credit risk (both own credit risk and counterparty risk), volatilities and correlations require management to make estimates.

Changes in assumptions about these factors could affect the reported fair value of financial instruments.

The fair value hierarchy for these financial instruments is shown in Note 4.

(c) Income Taxes

Significant estimates are required in determining the provision for income taxes. There are many transactions and calculations for which the ultimate tax determination is uncertain during the ordinary course of business. Where the final tax outcome is different from the amounts that were initially recorded, such differences will impact the income tax and deferred tax provisions in the period in which such determination is made. Refer to the disclosure on contingent tax liabilities in note 31.

Significant judgement has also been exercised in determining the likelihood of liability crystallising in respect of disputes with the tax authority.

Notes to the Financial Statements (continued)

For the year ended 31 December 2012

3. Critical Accounting Estimates (continued)

(d) Retirement Benefits

The present value of the retirement benefit obligations depends on a number of factors that are determined on an actuarial basis using a number of assumptions. Any changes in these assumptions will impact the carrying amount of pension obligations. The assumptions used in determining the net cost (income) for pensions are disclosed in note 24. The Group determines the appropriate discount rate at the end of each year. This is the interest rate that should be used to determine the present value of estimated future cash outflows expected to be required to settle the pension obligations. In determining the appropriate discount rate, the Group considers the interest rates of government bonds that are denominated in Kenya Shillings in which the benefits will be paid and that have terms to maturity approximating the terms of the related pension liability.

Through its defined benefit pension plans, the group is exposed to a number of risks, the most significant of which are detailed below:

(i) Asset Volatility

The plan liabilities are calculated using a discount rate set with reference to government bond yields; if plan assets underperform this yield, this will create a deficit.

As the plans mature, the group intends to reduce the level of investment risk by investing more in assets that better match the liabilities.

(ii) Changes in Bond Yields

A decrease in corporate bond yields will increase plan liabilities, although this will be partially offset by an increase in the value of the plans' bond holdings.

(iii) Inflation Risk

The majority of the plans' benefit obligations are linked to inflation, and higher inflation will lead to higher liabilities. The majority of the plan's assets are either unaffected by (fixed interest bonds) or loosely correlated with (equities) inflation, meaning that an increase in inflation will also increase the deficit.

(iv) Life Expectancy

The majority of the plans' obligations are to provide benefits for the life of the member, so increases in life expectancy will result in an increase in the plans' liabilities.

Other key assumptions for pension obligations are based in part on current market conditions and are discussed in Note 24 of these financial statements.

4. Financial Risk Management

Barclays has clear risk management objectives and a well-established strategy to deliver them, through core risk management processes.

At a strategic level, our risk management objectives are to:

- Identify the Group's significant risks;
- Formulate the Group's risk appetite and ensure that business profile and plans are consistent with it;
- Optimise risk/return decisions by taking them as closely as possible to the business, while establishing strong and independent review and challenge structures;
- Ensure that business growth plans are properly supported by effective risk infrastructure;
- Manage risk profile to ensure that specific financial deliverables remain possible under a range of adverse business conditions; and
- Help executives improve the control and co-ordination of risk taking across the business.

The Group's approach is to provide direction on: understanding the principal risks to achieving Group strategy; establishing risk appetite; and establishing and communicating the risk management framework. The process is then broken down into five steps: identify, assess, control, report and manage/challenge. Each of these steps is broken down further, to establish end-to-end activities within the risk management process and the infrastructure needed to support it (see panel below).

Steps	Activity
Identify	Establish the process for identifying and understanding business-level risks.
Assess	Agree and implement measurement and reporting standards and methodologies.
Control	1. Establish key control processes and practices, including limit structures, impairment allowance 2. Criteria and reporting requirements. 3. Monitor the operation of the controls and adherence to risk direction and limits. 4. Provide early warning of control or appetite breaches. 5. Ensure that risk management practices and conditions are appropriate for the business environment.
Report	1. Interpret and report on risk exposures, concentrations and risk-taking outcomes. 2. Interpret and report on sensitivities and Key Risk Indicators. 3. Communicate with external parties
Manage and Challenge	Review and challenge all aspects of the Group's risk profile. 1. Assess new risk-return opportunities. 2. Advise on optimising the Group's risk profile. 3. Review and challenge risk management practices.

Risk Responsibilities

On a day-to-day basis risks are managed through a number of management committees. Through this process the Group monitors compliance within the overall risk policy framework and ensures that the framework is kept up to date. Risk management information is provided on a regular basis to the CMC and RCC and the Board.

The Board approves risk appetite and the Board Audit Committee monitors the Group's risk profile against this appetite. In more detail:

- The Board Audit Committee has responsibility for ensuring effective risk management and control;
- Business heads are responsible for the identification and management of risk in their businesses;
- Business risk teams are responsible for assisting Business Heads in the identification and management of their business risk profiles for implementing appropriate controls.
- Internal Audit is responsible for the independent review of risk management and the control environment.

Notes to the Financial Statements (continued)

For the year ended 31 December 2012

4. Financial Risk Management (continued)

(a) Credit Risk

Credit risk is the risk of suffering financial loss should any of the Group's customers, clients or market counterparties fail to fulfil their contractual obligations to the Group.

The credit risk that the Group faces arises mainly from wholesale and retail loans and advances together with the counterparty credit risk arising from derivative contracts entered into with our clients. Other sources of credit risk arise from trading activities, including debt securities, settlement balances with market counterparties, available for sale assets and reverse repurchase loans.

Credit risk management objectives are to:

- establish a framework of controls to ensure credit risk-taking is based on sound credit risk management principles;
- identify, assess and measure credit risk clearly and accurately across the Group and within each separate business, from the level of individual facilities up to the total portfolio;
- control and plan credit risk-taking in line with external stakeholder expectations and avoiding undesirable concentrations;
- monitor credit risk and adherence to agreed controls; and
- ensure that risk-reward objectives are met.

(i) Credit Risk Measurement

Barclays establishes, through charges against profit, impairment allowances and other credit provisions for the incurred loss inherent in the lending book. Under IFRS, impairment allowances are recognised where there is objective evidence of impairment as a result of one or more loss events that have occurred after initial recognition, and where these events have had an impact on the estimated future cash flows of the financial asset or portfolio of financial assets. Impairment of loans and receivables is measured as the difference between the carrying amount and the present value of estimated future cash flows discounted at the financial asset's original effective interest rate. If the carrying amount is less than the discounted cash flows, then no further allowance is necessary.

Impairment allowances are measured individually for assets that are individually significant, and collectively where a portfolio comprises homogenous assets and where appropriate statistical techniques are available. In terms of individual assessment, the principal trigger point for impairment is the missing of a contractual payment which is evidence that an account is exhibiting serious financial problems, and where any further deterioration is likely to lead to failure. Two key inputs to the cash flow calculation are the valuation of all security and collateral, as well as the timing of all asset realisations, after allowing for all attendant costs.

This method applies mainly in the corporate portfolios. For collective assessment, the principal trigger point for impairment is the missing of a contractual payment which is the policy consistently adopted across all credit cards, unsecured loans, mortgages and most other retail lending. The calculation methodology relies on the historical experience of pools of similar assets; hence the impairment allowance is collective. The impairment calculation is based on a roll-rate approach, where the percentage of assets that move from the initial delinquency to default is derived from statistical probabilities based on historical experience.

Recovery amounts and contractual interest rates are calculated using a weighted average for the relevant portfolio. This method applies mainly to the Group's retail portfolios and is consistent with Barclay's policy of raising an allowance as soon as impairment is identified.

The impairment allowance in the retail portfolios is mainly assessed on a collective basis and is based on the drawn balances adjusted to take into account the likelihood of the customer defaulting at a particular point in time (PD) and the amount estimated as not recoverable (LGD).

4. Financial Risk Management (continued)

(a) Credit Risk (continued)

(i) Credit Risk Measurement (Continued)

The basic calculation is:

Impairment allowance = Total outstanding x Probability of Default (PD) x Loss Given Default (LGD)

The PD increases with the number of contractual payments missed thus raising the associated impairment requirement.

Impairment in the wholesale portfolios is generally calculated by valuing each impaired asset on a case by case basis, i.e. on an individual assessment basis. A relatively small amount of wholesale impairment relates to unidentified or collective impairment; in such cases impairment is calculated using modelled PD x LGD x EAD (Exposure at default) adjusted for an emergence period.

Unidentified impairment allowances are also raised to cover losses which are judged to be incurred but not yet specifically identified in customer exposures at the balance sheet date, and which, therefore, have not been specifically reported. The incurred but not yet reported calculation is based on the asset's probability of moving from the performing portfolio to being specifically identified as impaired within the given emergence period and then on to default within a specified period. This is calculated on the present value of estimated future cash flows discounted at the financial asset's original effective interest rate. The emergence periods vary across businesses and are based on actual experience and are reviewed on an annual basis. This methodology ensures that the Group captures the loss incurred at the correct balance sheet date. These impairment allowances are reviewed and adjusted at least quarterly by an appropriate charge or release of the stock of impairment allowances based on statistical analysis and management judgement.

(ii) Risk Limit Control and Mitigation Policies

The Bank manages, limits and controls concentrations of credit risk wherever they are identified – in particular, to individual counterparties and banks, and to industries and countries.

The Bank structures the levels of credit risk it undertakes by placing limits on the amount of risk accepted in relation to one borrower, or banks of borrowers, and to geographical and industry segments. Such risks are monitored on a revolving basis and subject to an annual or more frequent review, when considered necessary. Limits on the level of credit risk by product, industry sector and country are approved quarterly by the Board of Directors. The exposure to any one borrower including banks and brokers is further restricted by sub-limits covering on- and off-balance sheet exposures, and daily delivery risk limits in relation to trading items such as forward foreign exchange contracts. Actual exposures against limits are monitored daily.

Lending limits are reviewed in the light of changing market and economic conditions and periodic credit reviews and assessments of probability of default.

Some other specific control and mitigation measures are outlined below:

• Collateral

The Bank implements guidelines on the acceptability of specific classes of collateral or credit risk mitigation. The principal collateral types for loans and advances are:

- Mortgages over residential properties.
- Charges over business assets such as premises, inventory and accounts receivable.
- Charges over financial instruments such as debt securities and equities.

Notes to the Financial Statements (continued)

For the year ended 31 December 2012

4. Financial Risk Management (continued)

(a) Credit Risk (continued)

(ii) Risk Limit Control and Mitigation Policies (continued)

- Lending Limits (for derivative and loan books)

The Bank maintains strict control limits on net open derivative positions (that is, the difference between purchase and sale contracts) by both amount and term. The amount subject to credit risk is limited to expected future net cash inflows of instruments, which in relation to derivatives are only a fraction of the contract, or notional values used to express the volume of instruments outstanding. This credit risk exposure is managed as part of the overall lending limits with customers, together with potential exposures from market movements.

Settlement risk arises in any situation where a payment in cash, securities or equities is made in the expectation of a corresponding receipt in cash, securities or equities. Daily settlement limits are established for each counterparty to cover the aggregate of all settlement risk arising from the Bank's market transactions on any single day.

- Financial Covenants (for credit related commitments and loan books)

The primary purpose of these instruments is to ensure that funds are available to a customer as required. Guarantees and standby letters of credit carry the same credit risk as loans. Documentary and commercial letters of credit – which are written undertakings by the Bank on behalf of a customer authorising a third party to draw drafts on the Bank up to a stipulated amount under specific terms and conditions – are collateralised by the underlying shipments of goods to which they relate and therefore carry less risk than a direct loan.

Commitments to extend credit represent unused portions of authorisations to extend credit in the form of loans, guarantees or letters of credit. With respect to credit risk on commitments to extend credit, the Bank is potentially exposed to loss in an amount equal to the total unused commitments. However, the likely amount of loss is less than the total unused commitments, as most commitments to extend credit are contingent upon customers maintaining specific credit standards (often referred to as financial covenants).

4. Financial Risk Management (continued)

(a) Credit Risk (continued)

The following table represents the credit risk exposure to the Group at 31 December 2012 and 2011, without taking account of any collateral held or other credit enhancements attached. For on-balance sheet assets the exposures set out above are based on net carrying amounts as reported in the balance sheet.

Maximum exposure to credit risk before collateral held or other credit enhancements

The Group's maximum exposure to credit risk on financial assets subject to credit risk is set out in the table below:

	Loans and advances to customers	Loans and advances to banks	Balances with central bank	Balances due from group companies	Available for sale debt securities	Totals
	Shs million	Shs million	Shs million	Shs million	Shs million	Shs million
As at 31 December 2012						
Neither past due nor impaired	101,078	1,282	9,753	4,066	47,536	163,715
Past due but not impaired						
Past due 30 to 90 days	2,284	-	-	-	-	2,284
Past due over 90 days	38	-	-	-	-	38
Impaired						
Individually assessed	3,573	-	-	-	-	3,573
Total	106,973	1,282	9,753	4,066	47,536	169,610
Impairment allowances						
Identified impairment	(2,454)	-	-	-	-	(2,454)
Unidentified impairment	(315)	-	-	-	-	(315)
Total Carrying Value	104,204	1,282	9,753	4,066	47,536	166,841

Notes to the Financial Statements (continued)

For the year ended 31 December 2012

4. Financial Risk Management (continued)

(a) Credit Risk (continued)

An analysis of financial assets subject to credit risk is set below:

	Loans and advances to customers	Loans and advances to banks	Balances with central bank	Balances due from group companies	Available for sale debt securities	Totals
As at 31 December 2011	Shs million	Shs million	Shs million	Shs million	Shs million	Shs million
Neither past due nor impaired	95,929	913	7,180	4,531	37,599	146,152
Past due but not impaired						
Past due 30 to 90 days	1,020	-	-	-	-	1,020
Past due over 90 days	848	-	-	-	-	848
Impaired						
Individually assessed	4,651	-	-	-	-	4,651
Total	102,448	913	7,180	4,531	37,599	152,671
Impairment allowances						
Identified impairment	(2,995)	-	-	-	-	(2,995)
Unidentified impairment	(381)	-	-	-	-	(381)
Total Carrying Value	99,072	913	7,180	4,531	37,599	149,295

4. Financial Risk Management (continued)

(a) Credit Risk (continued)

(iii) Credit Quality of Loans and Advances

All loans and advances are categorised as neither past due nor impaired, past due but not impaired, or impaired. Impaired loans include restructured loans. For the purposes of these disclosures:

- A loan is considered past due when the borrower has failed to make a payment when due under the terms of the loan contract;
- The impairment allowance includes allowances both against financial assets that have been individually impaired and those subject to collective impairment;
- Loans neither past due nor impaired consist predominantly of wholesale and retail loans that are performing. These loans, although unimpaired, may carry an unidentified impairment allowance; and
- Impaired loans that are collectively assessed for impairment consist predominantly of retail loans that are 1 day or more past due for which a collective allowance is raised. Wholesale loans that are past due, individually assessed as unimpaired, but which carry an unidentified impairment allowance, are excluded from this category

(iv) Collateral and Other Credit Enhancements

Financial assets that are past due or individually assessed as impaired are at least partially collateralised or subject to other forms of credit enhancement. The effects of such arrangements are taken into account in the calculation of the impairment allowance held against them. The fair value of assets held by the group as at 31 December as collateral was as follows:

There is no concentration risk arising within the collaterals held and no collateral has been repledged in 2012 or 2011.

Carrying amount	Group and Bank	
	2012 Shs million	2011 Shs million
Nature of assets		
Commercial and industrial property	4,379	3,775

(v) Write-off Policy

After an advance has been identified as impaired and is subject to an impairment allowance, the stage may be reached whereby it is concluded that there is no realistic prospect of further recovery. Write off will occur when, and to the extent that, the whole or part of a debt is considered irrecoverable. The timing and extent of write offs may involve some element of subjective judgement. Nevertheless, a write off will often be prompted by a specific event, such as the inception of insolvency proceedings or other formal recovery action, which makes it possible to establish that some or the entire advance is beyond realistic prospect of recovery.

Such assets are only written off once all the necessary procedures have been completed and the amount of the loss has been determined. Subsequent recoveries of amounts previously written off are written back and hence decrease the amount of the reported loan impairment charge in the income statement

Notes to the Financial Statements (continued)

For the year ended 31 December 2012

4. Financial Risk Management (continued)

(b) Market Risk

The Bank takes on exposure to market risks, which is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices. Market risks arise from open positions in interest rate, currency and equity products, all of which are exposed to general and specific market movements and changes in the level of volatility of market rates or prices such as interest rates, foreign exchange rates and equity prices. The Bank separates exposures to market risk into either trading or non-trading portfolios.

The market risks arising from trading and non-trading activities are monitored in Bank Treasury daily. Regular reports are submitted to the Board of Directors and heads of each business unit. Trading portfolios include those positions arising from market-making transactions where the Bank acts as principal with clients or with the market.

Non-trading portfolios primarily arise from the interest rate management of the bank's retail and commercial banking assets and liabilities. Non-trading portfolios also consist of foreign exchange and equity risks arising from the Bank's held-to-maturity and available-for-sale financial assets.

(i) Market Risk Measurement Techniques

The objective of market risk measurement is to manage and control market risk exposures within acceptable limits while optimising the return on risk. The Bank Treasury is responsible for the development of detailed risk management policies and for day-to-day implementation of those policies.

• Value at Risk

The Bank applies a 'value at risk' (VAR) methodology to its FX trading to estimate the market risk of positions held and the maximum losses expected, based upon a number of assumptions for various changes in market conditions.

The Board sets limits on the value of risk that may be accepted for the Bank, which are monitored on a daily basis by Bank Treasury.

VAR is a statistically based estimate of the potential loss on the current portfolio from adverse market movements. It expresses the 'maximum' amount the Bank might lose, but only to a certain level of confidence (95%). There is therefore a specified statistical probability (5%) that actual loss could be greater than the VAR estimate. The VAR model assumes a certain 'holding period' until positions can be closed (1 day). It also assumes that market moves occurring over this holding period will follow a similar pattern to those that have occurred over 1-day periods in the past. The Bank's assessment of past movements is based on data for the past five years. The use of this approach does not prevent losses outside of these limits in the event of more significant market movements.

As VAR constitutes an integral part of the Bank's market risk control regime, VAR limits are established by the Board annually for all trading portfolio operations and allocated to business units. Actual exposure against limits is reviewed daily by Bank Treasury. Average daily VAR for the Bank was shs 2.2M in 2012 (2011: shs 3.3M).

• Stress Tests

The Bank applies a 'Stress test' methodology to its non-trading book. Interest rate risk in the non-trading book is measured through the use of interest rate repricing gap analysis. Stress tests provide an indication of the potential size of losses that could arise in extreme conditions. The results of the stress tests are reviewed by heads of business unit and by the Board of Directors. The stress testing is tailored to the business and typically uses scenario analysis.

4. Financial Risk Management (continued)

(c) Foreign Exchange Risk

The Bank takes on exposure to the effects of fluctuations in the prevailing foreign currency exchange rates on its financial position and cash flows. The Board sets limits on the level of exposure by currency and in aggregate for both overnight and intra-day positions, which are monitored daily. The table next page summarises the Bank's exposure to foreign exchange risk at 31 December 2012. Included in the table are the Bank's financial instruments at carrying amounts, categorised by currency (all amounts expressed in millions of Kenya Shillings):

As at 31 December 2012	USD	GBP	Euro	Other	Total
Assets					
Cash and bank balances	1,184	25	104	20	1,333
Loans and advances to customers	17,335	260	1,198	353	19,146
Other assets	(1,292)	1,081	1,834	356	1,979
Total financial assets	17,227	1,366	3,136	729	22,458
Liabilities					
Balances due to banking institutions and group companies	676	-	-	320	996
Customer deposits	17,259	1,364	3,122	226	21,971
Other liabilities	1,878	36	29	282	2,225
Total financial liabilities	19,813	1,400	3,151	828	25,192
Net on Balance Sheet Financial Position	(2,586)	(34)	(15)	(99)	(2,734)
Off Balance Sheet Net Notional Position	3,407	40	24	(8)	3,463
Overall Net Position	821	6	9	(107)	729
As at 31 December 2011					
Total Financial Assets	15,911	1,613	1,988	678	20,190
Total Financial Liabilities	15,182	1,699	2,079	989	19,949
Net on Balance Sheet Financial Position	729	(86)	(91)	(311)	241
Off Balance Sheet Net Notional Position	(15)	7	111	(25)	78
Overall Net Position	714	(79)	20	(336)	319

Notes to the Financial Statements (continued)

For the year ended 31 December 2012

4. Financial Risk Management (continued)

(c) Foreign Exchange Risk (continued)

Foreign Exchange Risk Sensitivity Analysis

The impact on profit after tax of a 10% appreciation or depreciation of the shilling would be as follows:

	As at 31st December 2012			As at 31st December 2011		
	Currency carrying amount	10% appreciation	10% depreciation	Currency carrying amount	10% appreciation	10% depreciation
Assets						
USD	17,227	(1,723)	1,723	15,911	(1,591)	1,591
GBP	1,366	(137)	137	1,613	(161)	161
EURO	3,135	(314)	314	1,988	(199)	199
Other currencies	729	(73)	73	678	(68)	68
Liabilities						
USD	19,813	1,981	(1,981)	15,182	1,518	(1,518)
GBP	1,400	140	(140)	1,699	170	(170)
EURO	3,152	315	(315)	2,079	208	(208)
Other currencies	828	83	(83)	989	99	(99)
Total Increase/(Decrease)		272	(272)		(24)	24
Tax Charge of 30%		(82)	82		7	(7)
Effect on Profit for the Year		190	(190)		(17)	17
As percentage of Net Profit After Tax		2.25%	2.25%		0.21%	0.21%

At 31 December 2012 if the shilling had weakened /strengthened by 10% against the major trading currencies with all other variables held constant after tax profit would have been Shs 190 million (2011: Shs 17 million) lower/higher.

(d) Interest Rate Risk

The Group is exposed to various risks associated with the effects of fluctuations in the prevailing levels of market interest rates on its financial position and cash flows. The responsibility of managing risk lies with the Assets and Liabilities Committee ("ALCO"). Through this process the Group monitors compliance within the overall risk policy framework and ensures that the framework is kept up to date. Risk management information is provided on a regular basis to the CMC and the Board.

Interest rate risk arises from the variability of income from non-interest bearing products, managed variable rate products and equity. Interest rate exposures and other market risks may be managed through the use of derivatives.

The table next page summarises the exposure to interest rate risks. Included in the table are the Bank's assets and liabilities at carrying amounts, categorised by the earlier of contractual repricing or maturity dates. The Bank does not bear any interest rate risk on off balance sheet items. All figures are in millions of Shillings.

4. Financial Risk Management (continued)

(d) Interest Rate Risk (continued)

As at 31 December 2012	up to 1 month	1-3 months	3-12 months	Over 1 year	Non- interest bearing	Total
Assets						
Cash and balances with Central Bank of Kenya	-	-	-	-	16,486	16,486
Financial assets at fair value through profit or loss	-	-	-	-	789	789
Government securities	4,221	12,801	21,703	8,811	-	47,536
Deposits and balances due from banking institutions	1,282	-	-	-	-	1,282
Balances due from group companies	4,066	-	-	-	-	4,066
Other assets	-	-	-	-	4,284	4,284
Loans and advances to customers	96,036	3,384	4,784	-	-	104,204
Property and equipment	-	-	-	-	2,667	2,667
Prepaid operating lease rentals	-	-	-	-	59	59
Intangibles	-	-	-	-	3,452	3,452
Total Assets	105,605	16,185	26,487	8,811	27,737	184,825
Liabilities and Equity						
Customer deposits	70,609	11,307	2,920	601	52,478	137,915
Deposits and balances due to banking institutions	1,724	-	-	-	-	1,724
Other liabilities	-	-	-	-	7,104	7,104
Amounts due to group companies	1,985	-	-	-	-	1,985
Current tax payable	-	-	-	-	1,125	1,125
Deferred income tax liabilities	-	-	-	-	223	223
Retirement benefit liabilities	-	-	-	-	664	664
Long term liabilities – medium term note	-	4,499	-	-	-	4,499
Shareholders' equity	-	-	-	-	29,586	29,586
Total Liabilities and Equity	74,318	15,806	2,920	601	91,180	184,825
Interest Sensitivity Gap	31,287	379	23,567	8,210	(63,163)	-

As at 31 December 2011	up to 1 month	1-3 months	3-12 months	Over 1 year	Non- interest bearing	Total
Total Assets	110,143	10,709	13,616	7,647	24,913	167,028
Total Liabilities and Equity	78,270	9,954	3,102	1,040	74,663	167,029
Interest Sensitivity Gap	31,873	755	10,514	6,607	(49,750)	-

Notes to the Financial Statements (continued)

For the year ended 31 December 2012

4. Financial Risk Management (continued)

(d) Interest Rate Risk (continued)

Interest Risk Sensitivity Analysis

The impact on income from financial instruments of a 1% increase or decrease in interest rates would be as follows:

	As at 31 December 2012			As at 31 December 2011		
	Carrying amounts	1% increase	1% decrease	Carrying amounts	1% increase	1% decrease
Assets						
Cash and balances with Central Bank of Kenya	16,486	-	-	12,212	-	-
Government securities	47,536	(475)	475	37,598	(376)	376
Deposits and balances due from banking institutions	1,282	(13)	13	913	(9)	9
Balances due from group companies	4,066	(41)	41	4,531	(45)	45
Other assets	4,284	-	-	3,777	-	-
Loans and advances to customers	104,204	(1,042)	1,042	99,072	(991)	991
Property and equipment	2,667	-	-	3,056	-	-
Prepaid operating lease rentals	59	-	-	60	-	-
Intangibles	3,452	-	-	3,364	-	-
Deferred income tax	-	-	-	868	-	-
Liabilities and Equity						
Balances due to Central Bank of Kenya	-	-	-	-	-	-
Customer deposits	137,915	854	(854)	124,207	862	(862)
Deposits and balances due to banking institutions	1,724	17	(17)	123	1	(1)
Other liabilities	7,104	-	-	7,177	-	-
Amounts due to group companies	1,985	18	(18)	1,617	16	(16)
Deferred income tax	223	-	-	-	-	-
Current income tax payable	1,125	-	-	208	-	-
Long term liabilities	4,499	45	(45)	4,474	45	(45)
Retirement benefit liabilities	664	-	-	1,195	-	-
Shareholders' equity	29,182	-	-	26,993	-	-
Net Interest Income Increase/(Decrease)		(637)	637		(497)	497
Tax charge at 30%		191	(191)		149	(149)
Impact on Profit After Tax		(446)	446		(348)	348

At 31 December 2012 if interest rates were to increase/decrease by 1% with all other variables held constant the after tax profit would have been Shs 446 million (2011: Shs 348 millions) higher/lower with other components of equity remaining the same.

4. Financial Risk Management (continued)

(e) Liquidity Risk

The definition of liquidity risk is the risk that the Group is unable to meet its obligations as they fall due as a result of a sudden, and potentially protracted, increase in net cash outflows. Such outflows would deplete available cash resources for client lending, trading activities and investments. These outflows could be principally through customer withdrawals, wholesale counterparties removing financing, collateral posting requirements or loan draw-downs.

This risk is inherent in all banking operations and can be affected by a range of Group-specific and market-wide events which can result in:

- an inability to support normal business activity; and
- a failure to meet liquidity regulatory requirements.

During periods of market dislocation, the Group's ability to manage liquidity requirements may be impacted by a reduction in the availability of wholesale term funding as well as an increase in the cost of raising wholesale funds. Asset sales, balance sheet reductions and the increasing costs of raising funding will affect the earnings of the Group.

In illiquid markets, the Group may decide to hold assets rather than securitising, syndicating or disposing of them. This could affect the Group's ability to originate new loans or support other customer transactions as both capital and liquidity are consumed by existing or legacy assets.

The efficient management of liquidity is essential to the Group in retaining the confidence of the financial markets and ensuring that the business is sustainable. Liquidity risk is managed through the Liquidity Risk Framework, which is designed to meet the following objectives:

- To maintain liquidity resources that are sufficient in amount and quality and a funding profile that is appropriate to meet the liquidity risk framework as expressed by the Board;
- To maintain market confidence in the Group's name;
- To set limits to control liquidity risk within and across lines of business;
- To accurately price liquidity costs, benefits and risks and incorporate those into product pricing and performance measurement;
- To set early warning indicators to identify immediately the emergence of increased liquidity risk or vulnerabilities including events that would impair access to liquidity resources;
- To project fully over an appropriate set of time horizons cash flows arising from assets, liabilities and off-balance sheet items; and
- To maintain a contingency funding plan that is comprehensive and proportionate to the nature, scale and complexity of the business and that is regularly tested to ensure that it is operationally robust.

(i) Liquidity Risk Management Process

The Group's liquidity management process, as carried out within the Group and monitored by a separate team in Group Treasury, includes:

- Day-to-day funding, managed by monitoring future cash flows to ensure that requirements can be met. These include replenishment of funds as they mature or are borrowed by customers.
- Maintaining a portfolio of highly marketable assets that can easily be liquidated as protection against any unforeseen interruption to cash flow;
- Monitoring the liquidity ratios of the consolidated statement of financial position against
- internal and regulatory requirements; and
- Managing the concentration and profile of debt maturities.

Notes to the Financial Statements (continued)

For the year ended 31 December 2012

4. Financial Risk Management (continued)

(e) Liquidity Risk (continued)

(i) Liquidity Risk Management Process (Continued)

Monitoring and reporting takes the form of cash flow measurement and projections for the next day, week and month respectively, as these are key periods for liquidity management. The starting point for those projections is an analysis of the contractual maturity of the financial liabilities and the expected collection date of the financial assets.

The table below represents the undiscounted cash flows payable by the Bank under non – derivative financial liabilities by remaining contractual liabilities at the balance sheet date.

As at 31 December 2012	Up to 1 month	1-3 months	3-12 months	1-3 years	3-5 years	Over 5 years	Totals
Liabilities							
Customer deposits	123,087	11,307	2,920	601	-	-	137,915
Deposits and balances due to banking institutions	1,724	-	-	-	-	-	1,724
Balances due to group companies	4,066	-	-	-	-	-	4,066
Other liabilities	7,106	2,047	250	3,598	-	-	13,001
Total Financial Liabilities (Contractual maturity dates)	135,983	13,354	3,170	4,199	-	-	156,706
Assets Held for Managing Liquidity (contractual maturity dates)	25,479	12,801	21,703	6,216	1,450	1,145	68,794

As at 31 December 2011

Liabilities							
Customer deposits	114,585	5,480	3,102	1,040	-	-	124,207
Deposits and balances due to banking institutions	123	-	-	-	-	-	123
Balances due to group companies	1,617	-	-	-	-	-	1,617
Other liabilities	7,385	-	-	4,474	-	-	11,859
Total Financial Liabilities (Contractual maturity dates)	123,710	5,480	3,102	5,514	-	-	137,806
Assets Held for Managing Liquidity (contractual maturity dates)	26,079	7,912	13,616	4,867	1,521	1,259	55,254

4. Financial Risk Management (continued)

(f) Fair Value of Financial Assets and Liabilities

Fair value measurements are grouped by level of the following fair value measurement hierarchy:

- (i) *Level 1*: Quoted prices (unadjusted) in active markets for identical assets or liabilities.
- (ii) *Level 2*: Inputs other than quoted prices included within level 1 that are observable for the asset or liability, either directly (that is, as prices) or indirectly (that is, derived from prices) .
- (iii) *Level 3*: Inputs for the asset or liability that are not based on observable market data (that is, unobservable inputs).

The fair value of financial instruments traded in active markets is based on quoted market prices at the reporting date. A market is regarded as active if quoted prices are readily and regularly available from an exchange, dealer, broker, industry group, pricing service, or regulatory agency, and those prices represent actual and regularly occurring market transactions on an arm's length basis. The quoted market price used for financial assets held by the Group is the current bid price. These instruments are included in level 1. Instruments included in level 1 comprise primarily equity investments classified as trading securities.

The fair value of financial instruments that are not traded in an active market (for example, government debt instruments) is determined by using discounted cashflow valuation techniques. These valuation techniques maximise the use of observable market data (quoted yields) and rely as little as possible on Bank specific estimates other than a 20bps bid offer adjustment that management has estimated as the reasonable basis for applying the adjustment. If all significant inputs required to fair value an instrument are observable, the instrument is included in level 2.

If one or more of the significant inputs is not based on observable market data, the instrument is included in level 3.

The following table presents the group's assets and liabilities that are measured at fair value at 31 December 2012.

	Level1 Shs million	Level2 Shs million	Level3 Shs million	Total Shs million
31 December 2012				
Assets				
Financial Assets at Fair Value Through Profit or Loss				
- Trading securities	789	-	-	789
Available-for-sale Financial Assets				
- Debt investments	-	47,536	-	47,536
Total Assets	789	47,536	-	48,325

There are no financial liabilities measured at fair value through profit and loss as at 31 December 2012.

Notes to the Financial Statements (continued)

For the year ended 31 December 2012

4. Financial Risk Management (continued)

(f) Fair Value of Financial Assets and Liabilities (continued)

	Level1 Shs million	Level2 Shs million	Level3 Shs million	Total Shs million
31 December 2011				
Assets				
Financial Assets at Fair Value Through Profit or Loss				
- Trading securities	542	-	-	542
Available-for-sale Financial Assets				
- Debt investments	-	37,599	-	37,599
Total Assets	542	37,599	-	38,141

(g) Capital Management

Capital risk is the risk that the Bank is unable to maintain appropriate capital ratios which could lead to:

- an inability to support business activity
- a failure to meet regulatory requirements
- changes to credit ratings

Capital Management is integral to the Group's approach to financial stability and sustainability management and is therefore embedded in the way our businesses and legal entities operate. Our Capital Management strategy is driven by the strategic aims of the Group and the risk appetite set by the Board.

Our objectives are achieved through well embedded capital management practices:

(i) Our Approach to Capital Risk Management

We adopt a forward-looking, risk based approach to Capital Risk Management. Capital demand and supply is actively managed taking into account the regulatory, economic and commercial environment in which Barclays operates.

(ii) Capital Planning

Capital forecasts are managed through both Short Term (Year 1 monthly) and Medium Term (3 year) financial planning cycles. The capital plan is developed with the objective of maintaining capital that is adequate in quantity and quality to support our risk profile and business needs. Local management ensures compliance with an entity's minimum regulatory capital requirements by reporting to Asset and Liability Committee (ALCO).

(iii) Regulatory Capital

The Group maintains a ratio of total regulatory capital to its risk-weighted above a minimum level prescribed by the Central Bank of Kenya. The Bank's regulatory capital is managed by its Treasury and comprises two tiers:

4. Financial Risk Management (continued)

(g) Capital Management (Continued)

(iii) Regulatory Capital (continued)

- Tier 1 capital: share capital, Retained earnings, excluding unrealised gains arising on the fair valuation of available for sale investments; and
- Tier 2 capital: Statutory reserve, medium term note and subordinated loan capital,

The risk weighted assets are measured using the Risk weights prescribed under the Central Bank prudential guidelines.

(iv) Capital Adequacy:

Key capital ratios	Regulatory minimum	As at 31.12.12	As at 31.12.11
Tier 1	8%	22.7%	21.6%
Total Capital	12%	25.8%	24.7%
	As at 31.12.12 Shs million	As at 31.12.12 Shs million	As at 31.12.11 Shs million
Tier 1 capital	-	28,331	26,784
Tier 2 capital	-	3,840	3,902
Total Capital	1,000	32,171	30,686

(v) Capital Resources

	2012 Shs million	2011 Shs million
Tier 1 Capital:		
Ordinary Share Capital	2,716	2,716
Retained earnings	25,615	24,068
Total Qualifying Tier 1 Capital	28,331	26,784
Tier 2 Capital:		
Qualifying portion of Statutory loan loss reserve	1,461	2,541
Subordinated debts	1,378	1,361
Total Qualifying Tier 2 Capital	2,839	3,902
Total Regulatory Capital	31,170	30,686
Risk Weighted Assets		
On balance Sheet	112,183	112,093
Off balance sheet	12,657	12,133
Total Risk Weighted Assets	124,840	124,226

Notes to the Financial Statements (continued)

For the year ended 31 December 2012

4. Financial Risk Management (continued)

(g) Capital Management (Continued)

(v) Capital Resources (Continued)

The Group manages both its debt and equity capital actively.

	2012 Shs million	2011 Shs million
Shareholders' equity	29,586	26,993
Total capital resources	29,586	26,993

(h) Operational Risk

Operational risk is defined as the risk of direct or indirect impacts resulting from human factors, inadequate or failed internal processes and systems or external events. Operational risks are inherent in the Group's business activities and are typical of any large enterprise. Losses from operational risks of small significance are expected to occur and are accepted as part of the normal course of business. Those of material significance are rare and the Group seeks to reduce the likelihood of these in accordance with its risk appetite.

The management of operational risk has two key objectives:

- To minimise the impact of losses suffered in the normal course of business (expected losses) and to avoid or reduce the likelihood of suffering a large extreme (or unexpected) loss; and
- To improve the effective management of the Bank and strengthen its brand and external reputation.

Barclays operates within a robust system of internal control that enables business to be transacted and risk taken without exposure to unacceptable potential losses or reputational damage. The prime responsibility for the management of operational risk and the compliance with control requirements rests with the business and functional units where the risk arises

Risk and Control Committee (RCC) is the senior executive body responsible for the oversight and challenge of operational risk in Barclays. The RCC monitors control effectiveness and considers significant control issues and their remediation. The RCC presents to the Board Audit Committee (BAC).

The Internal Audit function provides further independent review and challenge of the Bank's operational risk management controls, processes and systems and reports to the Board.

5. Net Interest Income

	Group and Bank	
	2012 Shs million	2011 Shs million
Interest Income		
Available for sale securities	4,301	3,000
Loans and advances to banks	220	82
Loans and advances to customers	16,520	14,550
	21,041	17,632
Interest Expense		
Deposits from banks	178	298
Deposits from customers	2,261	720
Medium term note	423	248
Subordinated debt	34	30
	2,896	1,296
Net Interest Income	18,145	16,336

There is no interest accrued on impaired financial assets.

6. Net fees & commissions income

	Group and Bank	
	2012 Shs million	2011 Shs million
Net Fees and Commissions Income		
Credit related fees & commissions	1,596	1,982
Service related fees & commissions	5,630	5,619
	7,226	7,601
Fees and Commissions Income		
Fees and commissions paid	(650)	(698)
Net Fees and Commissions Income	6,576	6,903

7. Net Trading Income

	Group and Bank	
	2012 Shs million	2011 Shs million
Foreign exchange income	2,437	2,676
Net gain on financial instruments designated at fair value through the profit or loss	236	185
	2,673	2,861

Notes to the Financial Statements (continued)

For the year ended 31 December 2012

8. Net Investment Income

	Group and Bank	
	2012 Shs million	2011 Shs million
Gain realised on sale of available for sale securities	-	234
	-	234

9. Staff Costs

	2012 Shs million	Restated 2011 Shs million
Salaries, allowances and accrued incentive payments	6,295	6,191
Social security cost	8	11
Defined contribution scheme	470	472
Defined benefit plan (Note 24)	175	65
Staff training	99	87
Staff medical costs	422	346
Other staff costs	345	117
	7,814	7,289
The number of employees at year end was:		
Management	1,237	1,233
Unionisable	1,851	1,955
Other	1,013	1,017
	4,101	4,205

10. General Administrative Expenses

	2012 Shs million	2011 Shs million
The following costs are included under this category:		
Property and occupation expenses	731	685
Operating lease rentals	687	609
Communication, subscription publication and stationery	1,050	967
Auditors fee	19	18
Travel and accommodation	218	177

11. Depreciation and Amortization

Depreciation of property and equipment (Note 21)	626	765
Amortisation of intangibles (Note 22)	565	482
	1,191	1,247

12. Income Tax Expense

	Group and Bank	
	2012 Shs million	Restated 2011 Shs million
Current income tax	4,098	3,652
Deferred income tax (Note 20)	181	306
	4,279	3,958

The tax on the Group's profit before income tax differs from the theoretical amount that would arise using the statutory rate as follows:

	2012 Shs million	2011 Shs million
Income Tax Expense		
Profit before income tax	13,020	12,071
Tax calculated at the statutory tax rate of 30% (2011: 30%)	3,906	3,621
Tax effect of		
Income not subject to tax	(6)	(286)
Expenses not deductible for tax purposes	279	675
Overprovision of deferred tax in prior years	-	(52)
Under provision of current tax in prior years	100	-
	4,279	3,958

13. Earnings per share

The basic earnings per share is calculated by dividing the profit attributable to shareholders of Shs 8,461 million (2011: Shs 8,113 million) by the number of ordinary shares outstanding at the end of the year.

	Group and Bank	
	2012	2011
Net profit attributable to shareholders (Shs million)	8,741	8,113
Number of ordinary shares in issue (millions)	5,432	5,432
Basic earnings per share (Shs)	1.61	1.49

There were no potentially dilutive shares outstanding at 31 December 2012 or 2011. Diluted earnings per share are therefore the same as basic earnings per share.

Notes to the Financial Statements (continued)

For the year ended 31 December 2012

14. Dividends Per Share

Proposed dividends are accounted for as a separate component of equity until they have been ratified at an annual general meeting. At the forthcoming annual general meeting to be held on 06 June 2013, a final dividend in respect of the year ended 31 December 2012 of Shs 0.70 per share amounting to a total of Shs 3,802 million is to be proposed. During the year an interim dividend of Shs 0.3 per share, amounting to a total of Shs 1,629 million was paid (2011: Shs 1,086 million). The total dividend for the year is therefore Shs 1 per share (2011: Shs 1.50), amounting to a total of Shs 5,431 million (2011: Shs 8,147 million).

Payment of dividends is subject to withholding tax at a rate of 5% for residents and 10%, for non-resident shareholders.

15. Cash and Balances With Central Bank of Kenya

	Group and Bank	
	2012	2011
	Shs	Shs
	million	million
Cash in hand	6,733	5,032
Balances with Central Bank of Kenya	9,753	7,180
	16,486	12,212

16. Government Securities: Available-for-sale Securities

Treasury bills and bonds:		
Maturing within 90 days	25	63
Maturing after 90 days	47,511	37,536
	47,536	37,599

Treasury bills and bonds are debt securities issued by the Government of Kenya and are classified as available-for-sale. The weighted average effective interest rate on the Government securities as at 31 December 2012 was 11% (2011: 6.0%).

A fair value gain of Shs 2,126 million (Gross, Shs 3,036 million less deferred tax of Shs 910 million) has been dealt with in the Statement of Other Comprehensive Income. In 2011, a fair value loss of Shs 2,847 million (Gross, Shs 4,067 million less deferred tax of Shs 1,220 million) was recognised in the Statement of Other Comprehensive Income.

17. Deposits and Balances Due from Banking Institutions

	Group and Bank	
	2012	2011
	Shs	Shs
	million	million
Items in course of collection from other banks	1,115	648
Placements with other banks	167	265
	1,282	913

The weighted average effective interest rate on deposits and balances due from banking institutions as at 31 December 2012 was 9.6% (2011: 4.0%).

18. Loans and Advances to Customers

	Group and Bank	
	2012 Shs million	2011 Shs million
Overdrafts	6,920	6,506
Commercial loans	75,858	75,300
Advances under finance lease agreements	4,182	3,228
Bills discounted	19,701	17,304
La Riba	312	110
Gross loans and advances to customers	106,973	102,448
Less:		
Allowances for impairment of loans and advances		
1. Identified	(2,454)	(2,995)
2. Unidentified	(315)	(381)
Loans and advances to customers net of provisions	104,204	99,072

The aggregate amount of impaired loans included in the statement of financial position (net of impairment losses) is Shs 1,119 million (2011: Shs 1,656 million). All such loans have been written down to the present value of their recoverable amount.

Year Ended 31 December 2012	Identified Provisions Shs million	Group and Bank Unidentified Provision Shs million	Total Shs million
At 1 January 2012	2,995	381	3,376
New impairment provisions	1,177	-	1,177
Increase in impairment provisions	121	(66)	55
Recoveries and impairment provisions no longer required	(314)	-	(314)
Net increase in impairment provisions	984	(66)	918
Amounts written off during the current year	(1,525)	-	(1,525)
At 31 December 2012	2,454	315	2,769
Net increase in impairment provisions above Amounts recovered previously written off	984 (774)	(66) -	918 (774)
Net Impairment Charge to the Income Statement	210	(66)	144

Notes to the Financial Statements (continued)

For the year ended 31 December 2012

18. Loans and Advances to Customers (continued)

	Identified Provisions Shs million	Group and Bank Unidentified Provision Shs million	Total Shs million
Year Ended 31 December 2011			
At 1 January 2011	3,550	233	3,783
New impairment provisions	1,044	-	1,044
Increase in impairment provisions	126	148	274
Recoveries and impairment provisions no longer required	(320)	-	(320)
Net increase in impairment provisions	850	148	998
Amounts written off during the current year	(1,405)	-	(1,405)
At 31 December 2011	2,995	381	3,376
Net increase in impairment provisions above Amounts recovered previously written off	850 (269)	148 -	998 (269)
Net Impairment Charge to the Income Statement	581	148	729

The weighted average effective interest rate on loans and advances as at 31 December 2012 was 15.8% (2011: 15.0%)

Impaired Loans and Advances to Customers

	Group and Bank 2012 Shs million	2011 Shs million
As at 31 December		
Loans and advances individually and collectively assessed as impaired Impairment allowance	3,573 (2,454)	4,651 (2,995)
Loans and advances to customers individually impaired - net	1,119	1,656
Unidentified impairment allowance	315	381

18. Loans and Advances to Customers (continued)

Economic sector risk concentrations within the customer loan portfolio were as follows:

	Group and Bank	
	2012 %	2011 %
Manufacturing	16	9
Wholesale and retail trade	4	3
Transport and communications	-	1
Business services	-	-
Agricultural	5	3
Private individuals	61	50
Other	14	34
	100	100

19. Investments in Subsidiary Companies

	Percentage Shareholding	2012 Shs million	2011 Shs million
Barclays Financial Services Limited	100%	275	275
Barclays (Kenya) Nominees Limited	100%	-	-
Barclays Bank Insurance Agency Limited	100%	-	-
		275	275

Barclays (Kenya) Nominees Limited, Barclays Financial Services Limited (formerly Barclays Mortgages Limited) and Barclays Bank Insurance Agency Limited (formerly Barclays Mercantile Limited) are dormant companies. The subsidiaries, all of which are unlisted, are incorporated in Kenya and have the same year end as the company.

20. Deferred income Tax

Deferred income tax is calculated, in full, on all temporary differences under the liability method using the enacted income tax rate of 30% (2011: 30%). The movement on the deferred tax account is as follows:

	Group and Bank	
	2012 Shs million	Restated 2011 Shs million
At start of year	868	(46)
Statement of other comprehensive income	(910)	1,220
Income statement charge (Note 12)	(181)	(306)
At end of year	(223)	868

The 2011 comparatives were restated on adoption of IAS 19 (Revised) to eliminate deferred tax of Shs 444 million, see note 2(b)(b).

Notes to the Financial Statements (continued)

For the year ended 31 December 2012

20. Deferred income Tax (continued)

Consolidated deferred income tax assets and liabilities and deferred income tax credit in the income statement and statement of other comprehensive income are attributable to the following items.

	As restated	Cr/(Dr) to	Cr/(Dr) to other	
	1.1.12	income	comprehensive	31.12.12
	Shs	statement	income	Shs
	million	Shs	Shs	million
		million	million	
Deferred Tax Liabilities				
Provisions	120	(20)	-	100
Fair value on available-for-sale instruments	999	-	(910)	89
Deferred Tax Assets				
Unrealised fair value gain on FVTPL	(163)	(74)	-	(237)
Property and equipment at historical cost	(88)	(87)	-	(175)
Net deferred tax liability	868	(181)	(910)	(223)

	1.1.11	Cr/(Dr) to	Cr/(Dr) to other	
	Shs	income	comprehensive	31.12.11
	Shs	statement	income	Shs
	million	Shs	Shs	million
		million	million	
Deferred Tax Liabilities				
Unrealised fair value gain on FVTPL	(104)	(59)	-	(163)
Retirement benefit asset	(462)	18	-	(444)
Property and equipment at historical cost	(26)	(62)	-	(88)
Deferred Tax Assets				
Provisions	75	45	-	120
Available-for-sale fair value movement	(221)	-	1,220	999
Restructuring expense	230	(230)	-	-
As previously reported	(508)	(288)	1,220	424
Reversal on adoption of IAS 19	462	(18)	-	444
Restated	(46)	(306)	1,220	868

21. Property and Equipment

	Freehold land and buildings Shs million	Leasehold land and buildings Shs million	Group and Bank Fixtures fittings and equipment Shs million	Motor vehicles Shs million	WIP Shs million	Total Shs million
Cost						
At 1 January 2012	127	3,212	5,632	40	801	9,812
Additions	-	66	239	13	549	867
Disposals	-	-	(192)	(4)	-	(196)
Transfers	-	294	98	-	(1,022)	(630)
As at 31 December 2012	127	3,572	5,777	49	328	9,853
Accumulated Depreciation						
As at 1 January 2012	37	1,809	4,875	35	-	6,756
Charge for the period	1	251	370	4	-	626
Disposals	-	-	(192)	(4)	-	(196)
As at 31 December 2012	38	2,060	5,053	35	-	7,186
Net Book Value	89	1,512	724	14	328	2,667

Year ended 31 December 2011

Cost						
As at January 2011	127	3,172	5,431	40	465	9,235
Additions	-	40	201	-	734	975
Disposals	-	-	-	-	-	-
Transfers to intangibles	-	-	-	-	(398)	(398)
As at 31 December 2011	127	3,212	5,632	40	801	9,812
Accumulated Depreciation						
As at 1 January 2011	36	1,505	4,419	31	-	5,991
Charge for the period	1	304	456	4	-	765
As at 31 December 2011	37	1,809	4,875	35	-	6,756
Net Book Value	90	1,403	757	5	801	3,056

Notes to the Financial Statements (continued)

For the year ended 31 December 2012

22. Intangible Assets

	Computer software 2012 Shs million	Group and Bank Computer software 2011 Shs million
Cost		
At 1 January	4,507	4,109
Transfer from property and equipment	630	398
Additions	23	-
As at 31 December	5,160	4,507
Accumulated Amortisation		
As at 1 January	1,143	661
Charge for the period	565	482
As at 31 December	1,708	1,143
Net book value as at 31 December	3,452	3,364

23. Prepaid Operating Lease Rentals

Leasehold land is disclosed as prepaid operating lease rentals and carried at cost less amortisation over the period of the lease.

	2012 Shs million	Group and Bank 2011 Shs million
At start of the year	60	61
Amortisation charge for the year	(1)	(1)
At end of year	59	60

24. Retirement Benefit Liability

The amounts recognised in the statement of financial position are determined as follows:

	2012 Shs million	Group and bank Restated 31 Dec 2011 Shs million	Restated Jan 2011 Shs million
Present value of funded obligations	(4,948)	(10,076)	(10,738)
Fair value of scheme assets	4,284	8,881	10,683
Liability in the statement of financial position	(664)	(1,195)	(55)

24. Retirement Benefit Liability (continued)

	Group and bank	
	2012	Restated 31 Dec 2011
	Shs	Shs
	million	million
Reconciliation of liability in the statement of financial position		
Liability in the statement of financial position as at 1 January 2012	(1,195)	(55)
Current service cost	(16)	(472)
Net interest cost	(159)	(65)
Actuarial gains /(losses)	416	(1,138)
Employer contribution	290	535
Liability in the balance sheet as at 31 December 2012	(664)	(1,195)
The amounts recognised in the income statement for the year are as follows:		
Current service cost	16	472
Net interest cost	159	65
Net Charge for the Year Included in Staff Costs (Note 9)	175	537

The group has agreed that it will aim to eliminate the pension plan deficit over the next six years. This remedial plan set out the Bank's commitment to finance the actuarial deficit through a series of monthly additional payments of Shs 28 million commencing on 30 June 2012 and ending on 31 December 2017. The next triennial valuation is due to be completed as at 31 December 2013. The group considers that the contribution rates set at the last valuation date are sufficient to eliminate the deficit over the agreed period and that regular contributions, which are based on service costs, will not increase significantly.

Notes to the Financial Statements (continued)

For the year ended 31 December 2012

24. Retirement Benefit Liability (continued)

Changes in the present value of the defined benefit obligation over the year:

	Group and Bank	
	2012 Shs million	Restated 2011 Shs million
Defined benefit obligation at start of year	10,076	10,738
Current service cost	16	472
Employee contributions	-	233
Settlement	(5,042)	-
Interest cost	631	1,083
Actuarial gains	32	(534)
Benefits paid	(765)	(1,916)
Defined benefit obligation at end of year	4,948	10,076
Changes in the fair value of plan assets over the year:		
Assets at start of year	8,881	10,683
Expected return on plan assets	472	1,018
Actuarial gains and/(losses)	448	(1,565)
Employer contributions	290	428
Employee contributions	-	233
Curtailment	(5,042)	-
Benefits paid	(765)	(1,916)
Assets at End of Year	4,284	8,881

The curtailment relates to the split of the scheme into a defined benefit plan and defined contribution Scheme. The two are now valued separately.

Plan Assets Comprise	2012		2011		As at 1 Jan 2011	
	Shs million	%	Shs million	%	Shs million	%
Equity instruments	1,285	30%	2,016	23%	4,273	40%
Debt instruments and fixed deposits	1,628	38%	4,512	50%	3,846	36%
Property	1,371	32%	2,353	27%	2,564	24%
	4,284	100%	8,881	100%	10,683	100%

Pension plan assets include buildings occupied by the bank with a fair value of Shs 1,128 million (2011: Shs 1,410 million). The actual return on scheme assets was a 21% (2011: a negative return of 14%).

24. Retirement Benefit Liability (continued)

Five Year Summary

	2012 Shs million	2011 Shs million	2010 Shs million	2009 Shs million	2008 Shs million
Present value of funded obligation	(4,948)	(10,076)	(10,738)	(8,773)	(8,021)
Fair value of scheme assets	4,284	8,881	10,683	8,714	7,061
Deficit in the plan	(664)	(1,195)	(55)	(59)	(960)

The principal actuarial assumptions used were as follows:

	2012	2011
Discount rate	12.0%	13.5%
Expected rate of return On scheme assets	12.0%	14.5%
Inflation rate	7.5%	9.0%
Future salary increases	9.5%	11.0%
Future pension increases	4.5%	6.0%

The expected return on plan assets is determined by considering the expected returns available on the assets underlying the current investment policy. Expected yields on fixed interest investments are based on gross redemption yields as at the end of the reporting period. Expected returns on equity and property investments reflect long-term real rates of return experienced in the respective markets.

Sensitivity Analysis

The effect of certain changes to the financial and demographic assumptions is analysed below:

	2012 Basis Shs million	Discount rate -1.00% Shs million	Discount rate +0.5% Shs million	Inflation 0.50% Shs million	PA(90) -1 year Shs million
DBO-DB active members	101	116	94	109	103
DBO-DB deferred pensioners	594	683	555	640	607
DBO-Pensions in payment	4,253	4,553	4,145	4,420	4,374
DBO-total	4,948	5,352	4,794	5,169	5,084

2013 Estimates

Gross service cost (excluding interest)	17	18	17	18	18
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The above sensitivity analyses are based on a change in an assumption while holding all other assumptions constant. In practice, this is unlikely to occur, and changes in some of the assumptions may be correlated. When calculating the sensitivity of the defined benefit obligation to significant actuarial assumptions the same method (present value of the defined benefit obligation calculated with the projected unit credit method at the end of the reporting period) has been applied as when calculating the pension liability recognised within the statement of financial position.

Notes to the Financial Statements (continued)

For the year ended 31 December 2012

24. Retirement Benefit Liability (continued)

Prior Year Adjustment

As noted in note 2 (b)(ii) the company early adopted IAS 19, "Employee Benefits" during the year. Prior year balances have therefore been restated as follows:

Retirement Benefit Asset /(Liability)	Group and Bank	
	2011 Shs million	2010 Shs million
As previously stated	1,479	1,539
Prior year adjustment	(2,674)	(1,594)
Restated liability	(1,195)	(55)

25. Other Assets

	Group and Bank	
	2012 Shs million	2011 Shs million
Financial guarantee	75	122
Deferred costs	18	24
Prepayments	2,544	1,967
Other assets	1,647	1,664
	4,284	3,777

No impairment has been recognised in respect of other assets in 2012 and 2011.

26. Customer Deposits

Current and demand deposits	84,929	82,740
Savings accounts	19,533	20,264
Fixed deposit accounts	29,851	17,170
La Riba accounts	3,602	4,033
	137,915	124,207

The weighted average effective interest rate on customer deposits as at 31 December 2012 was 1.8% (2011: 0.6%).

26. Customer Deposits (continued)

Business sector risk concentrations within the customer deposit portfolio were as follows:

	Group and Bank	
	2012 %	2011 %
Non financial public enterprises	1.7	1.7
Private enterprises	61.5	54.9
Non-profit enterprises & individuals	36.4	26.4
Foreign currency	0.2	15.7
Other	0.2	1.3
	100	100

27. Deposits And Balances Due To Banking Institutions

	Group and Bank	
	2012 million	2011 million
Balances due to local banks	1,575	123
Balances due to foreign banks	149	-
	1,724	123

28. Long Term Liabilities

	Group and Bank	
	2012 million	2011 million
Fixed rate medium term notes	1,330	1,329
Floating rate medium term notes	1,791	1,784
Subordinated debt	1,378	1,361
	4,499	4,474

The medium term notes are an unsecured seven year term note issued by the Bank for the development of its business and to strengthen its capital base. They are registered with the Capital Markets Authority. The floating rate notes bear interest at rates referenced to the Government of Kenya Treasury bill rates while the fixed rate notes are priced at 12.5%. Effective interest rate at 31 December 2012 was 14.2% (December 2011: 8.3%).

The subordinated debt is an unsecured loan capital issued by Barclays Bank Plc to enhance the Bank's capital base. The debt obligation of the Bank ranks ahead of the interest of holders of equity and is redeemable on maturity. These notes bear interest at rates referenced to the Libor. The effective interest rate on the subordinated debt as at 31 December 2012 was 2.2% (December 2011: 2.1%)

Due to the remaining tenor in the instruments directors are of the view that the carrying values of the above approximate their fair values.

Notes to the Financial Statements (continued)

For the year ended 31 December 2012

29. Other Liabilities

	2012 million	Group 2011 million	2012 million	Bank 2011 million
Accrual & deferred income	823	109	823	109
Bills payable	785	869	785	869
Unclaimed dividends	761	573	761	573
Cheques for collection	3,008	3,280	3,008	3,280
Provisions	684	689	684	689
Other	1,043	1,657	1,315	1,929
	7,104	7,177	7,376	7,449

The movement in provisions is as below:

	Group and Bank	
	2012 Shs million	2011 Shs million
Balance brought forward	689	786
Charge for the year	684	689
Paid in the year	(689)	(786)
Balance carried forward	684	689

30. Share Capital

Issued and Fully Paid	No. of shares in millions	No. of shares in millions
Balance at 1 January 2011	1,358	2,716
Balance at 1 January 2012	5,432	2,716
Balance at 31 December 2012	5,432	2,716

The authorised share capital of Barclays Bank of Kenya Limited is Shs 2,716 million comprising 5,432 million ordinary shares with a par value of Shs 0.50 per share. The issued share capital comprises 5,432 million ordinary shares with a par value of Shs 0.5 each.

30. Share Capital (continued)

Shareholders as at 31 December 2012 was as follows:

	No. of Shareholders	shares held	%
Less than 500	10,743	3,218,551	0.06%
501 to 5,000	24,937	54,966,204	1.01%
5,001 to 10,000	7,794	56,851,054	1.05%
10,001 to 100,000	19,924	574,402,309	10.58%
100,001 to 1,000,000	1,069	294,747,232	5.43%
Above 1,000,000	173	4,447,350,650	81.88%
Total	64,640	5,431,536,000	100%

The shareholders with the largest shareholding as at 31 December 2012 were:

Name	Share held	%
Barclays Bank Plc	3,720,816,000	68.50%
National Social Security Fund Board of Trustees	89,836,660	1.65%
Standard Chartered Nominees Non-Resd. A/C 9867	41,450,400	0.76%
Board of Trustees National Social Security Fund	25,703,200	0.47%
National Social Security Fund	25,163,460	0.46%
Standard Chartered Nominees A/C 9230	25,140,120	0.46%
The Jubilee Insurance Company of Kenya Limited	17,927,820	0.33%
Kenya Reinsurance Corporation Limited	13,399,280	0.25%
Old Mutual Life Assurance Company Ltd	12,014,660	0.22%
Standard Chartered Nominees A/C 1256B	11,793,388	0.22%
Standard Chartered Nominees A/C 1700	10,167,620	0.19%
Others	1,438,123,392	26.48%

Notes to the Financial Statements (continued)

For the year ended 31 December 2012

31. Off Balance Sheet Financial Instruments, Contingent Liabilities and Commitments

In common with other banks, the group conducts business involving acceptances, guarantees, performance bonds and indemnities. The majority of these facilities are offset by corresponding obligations of third parties. In addition, there are other off-balance sheet financial instruments including forward contracts for the purchase and sale of foreign currencies, the nominal amounts for which are not reflected in the consolidated balance sheet.

	Group and Bank	
	2012 Shs million	2011 Shs million
Contingent Liabilities		
Acceptances and letters of credit	7,289	10,146
Guarantee and performance bonds	14,304	13,674
	21,593	23,820

An acceptance is an undertaking by a bank to pay a bill of exchange drawn on a customer. The group expects most acceptances to be presented and reimbursement by the customer is normally immediate. Letters of credit commit the bank to make payments to third parties on production of documents, which are subsequently reimbursed by customers.

Guarantees and assets pledged as security are generally written by a bank to support the performance of a customer to third parties. The group will only be required to meet these obligations in the event of the customers' default.

Similarly the bank has obtained undertakings from Barclays PLC to the following extent:

1. Documentary credits facility of Shs 2,150,807,692.
2. Bonds, guarantees and indemnities facility and letters of credit of Shs 915,991,632.

Nature of the Contingent Liabilities

	Group and Bank	
	2012 Shs million	2011 Shs million
Commitments		
Undrawn formal stand-by facilities, credit lines and other commitments to lend	9,946	1,214
Forwards and SWAPS	3,469	2,602
Foreign exchange spot settlement agreements	1,627	2,644
	15,042	6,460

Commitments to lend are agreements to lend to a customer in future subject to certain conditions. Such commitments are normally made for a fixed period. The bank may withdraw from its contractual obligation for the undrawn portion of agreed overdraft limits by giving reasonable notice to the customer. Undelivered spot transactions represent commitment either to buy or sell foreign currency and are recognised at cost on the trade date.

Contingent Tax Liabilities

There are certain matters that are subject to litigation, for which a High court ruling in October 2012 and a Tax Tribunal ruling were made in favour of the Bank, but against which the Kenya Revenue Authority has appealed. Based on professional advice received and the previous rulings, the directors are of the opinion that no significant loss is expected to arise from these cases. The directors will review the position once the ruling of the appeals is received.

32. Segment Analysis

In accordance with IFRS 8, operating segments are reported in accordance with the internal reporting provided to the Country Management Committee (the chief operating decision-maker), which is responsible for allocating resources to the reportable segments and assesses its performance.

The Group has two main business segments:

1. Consumer Banking

Incorporating private customer current accounts, savings, deposits, credit and debit cards, consumer loans and mortgages; and

2. Corporate Banking

Incorporating direct debit facilities, current accounts, deposits, overdrafts, loan and other credit facilities, foreign currency dealings and derivative products.

Given the majority of the Group revenues are derived from interest and dealing activities and the Country Management Committee (CMC) relies primarily on net interest revenue and dealing income to assess the performance of the segments, the total interest income and expense for all reportable segments is presented on a net basis.

There were no changes in the reportable segments during the year. The revenue from external parties reported to the CMC is measured in a manner consistent with that in the consolidated income statement.

Funds are ordinarily allocated between segments, resulting in funding cost transfers disclosed in inter-segment net interest income. Revenue-sharing agreements are used to allocate external customer revenues to a business segment on a reasonable basis.

The Group's management reporting is based on a measure of operating profit comprising net interest income, loan impairment charges, net fee and commission income, other income and non-interest expenses. This measurement basis excludes the effects of non-recurring expenditure from the operating segments such as restructuring costs, legal expenses.

The information provided about each segment is based on the internal reports about segment profit or loss, assets and other information, which are regularly reviewed by the CMC. Segment assets and liabilities comprise operating assets and liabilities, being the majority of the consolidated statement of financial position, but exclude items such as taxation, property and equipment.

Notes to the Financial Statements (continued)

For the year ended 31 December 2012

32. Segment Analysis (continued)

2. Corporate Banking (continued)

The segment results for the year ended 31 December 2012 are as follows:

At 31 December 2012	Total Segment Shs million	Corporate Banking Shs million	Consumer Banking Shs million	Unallocated Shs million
Net Interest Income	18,145	8,680	9,465	-
Non interest income	9,279	3,964	5,315	-
Inter segment interest	-	(1,378)	1,378	-
Operating Income	27,424	11,266	16,158	-
Impairment losses on loans and advances	(144)	716	(860)	-
Depreciation and amortisation	(1,192)	-	-	(1,192)
Other operating expenses	(13,068)	(958)	(6,793)	(5,317)
Operating Profit	13,020	11,024	8,505	(6,509)
Profit Before Income Tax				
Income tax expense	(4,279)	-	-	(4,279)
Profit For The Year	8,741	11,024	8,505	(10,788)
Total Assets	184,825	110,032	59,451	15,342
Total Liabilities	155,239	51,336	93,441	10,462
Additions of Non-Current Assets	890	-	-	890

All revenues are earned in Kenya.

There are no revenues derived from transactions with a single external customer that amounted to 10% or more of the Group's revenues.

32. Segment Analysis (continued)

2. Corporate Banking (continued)

The segment results for the year ended 31 December 2011 are as follows:

At 31 December 2011	Restated Total Segment Shs million	Corporate Banking Shs million	Consumer Banking Shs million	Unallocated Shs million
Net Interest Income	16,336	6,892	9,444	-
Non interest income	10,003	4,592	5,411	-
Inter segment interest	-	(387)	387	-
Operating Income	26,339	11,097	15,242	-
Impairment losses on loans and advances	(729)	41	(770)	-
Depreciation and amortisation	(1,247)	-	-	(1,247)
Other operating expenses	(12,292)	(895)	(6,472)	(4,925)
Operating Profit	12,071	10,243	8,000	(6,172)
Profit Before Income Tax				
Income tax expense	(3,958)	-	-	(3,958)
Profit For The Year	8,113	10,243	8,000	(10,130)
Total Assets	165,994	90,946	56,087	18,961
Total Liabilities	139,001	89,058	39,883	10,060
Additions of Non-Current Assets	975	-	-	975

All revenues are earned in Kenya.

There are no revenues derived from transactions with a single external customer that amounted to 10% or more of the Group's revenues.

Notes to the Financial Statements (continued)

For the year ended 31 December 2012

33. Notes to the Statement of Cash Flows

Group

(a) Reconciliation of profit before taxation to net cash flows from operating activities

	2012 Shs million	Restated 2011 Shs million
Profit Before Taxation	13,020	12,071
Adjustment for Non Cash Items		
Depreciation (Note 11)	627	835
Amortization of intangibles assets (Note 11)	565	412
Impairment (Note 18)	144	729
Fair value gain on financial assets designated as FV to P&L	(236)	(181)
Other non cash items	1	27
Changes in Operating Assets and Liabilities		
Net increase in loans and advances to customers	(5,275)	(12,654)
Net (increase)/decrease in AFS securities maturing after 90 days	(6,938)	14,472
Net increase in CBK cash reserve requirement	(2,573)	(1,647)
Net increase in other assets	(505)	(496)
Net increase in customer deposits	13,708	381
Net increase in amounts due to group companies	368	47
Net decrease in other liabilities	(72)	(140)
Corporate income paid	(3,865)	(3,637)
Net Cash from Operating Activities	8,969	10,219

(b) Analysis of the balances of cash and cash equivalents as shown in the consolidated cash flow statement

	2012 Shs million	2011 Shs million
Cash and balances with Central Bank of Kenya	16,486	12,212
Treasury bills maturing within ninety days (Note 16)	25	63
Balances due from group companies	3,493	4,531
Deposit and balances due from banking institutions (Note 17)	1,282	913
Deposits and balances due to banking institutions (Note 27)	(1,724)	(123)
Less: Central Bank of Kenya cash reserve requirement	(9,753)	(7,180)
	9,809	10,416

For the purposes of the cash flow statement, cash and cash equivalents comprise balances with less than 90 days maturity from the date of acquisition including: cash and bank

Banks are required to maintain a prescribed minimum cash balance with the Central Bank of Kenya that is not available to finance the bank's day-to-day activities. The amount is determined as %age of the average outstanding customer deposits over a cash reserve cycle period of one month. At the end of year 2012, the cash ratio was 5.35% (2011: 5.25%).

34. Related Party Transactions

Parties are considered to be related if one party has the ability to control the other party or exercise significant influence over the other party in making financial or operation decisions, or one other party controls both. The group is controlled by Barclays Bank Plc incorporated in the United Kingdom. The ultimate parent of the Group is Barclays Plc incorporated in the United Kingdom. There are other companies which are related to Barclays Bank of Kenya Limited through common shareholdings or common directorships.

In the normal course of business, placings of foreign currencies are made with the parent company and other companies at interest rates in line with the market. The relevant balances are as shown below:

	Group and Bank	
	2012 Shs million	2011 Shs million
Balances with group companies		
Due from		
Barclays Bank Plc	3,547	4,454
Other group companies	519	77
	4,066	4,531
Interest income earned on the above	37	48
Due to		
Barclays Bank Plc	1,985	552
Other group companies	-	1,065
	1,985	1,617
Interest expense incurred on the above	104	127

The weighted average effective interest rate at 31 December 2012 on amounts due from group companies was 0.6% (2011:0.8%) and on amounts due to group companies was 2.3% (2011: 4.3%).

The subordinated debt issued by Barclays Bank Plc to enhance the Bank's capital base has been dealt with in Note 26.

Group companies provide support services from time to time for which they recharge the costs incurred at the country of origin.

	Group and Bank	
	2012 Shs million	2011 Shs million
Value of services provided		
Barclays Bank Plc	683	857

The value of the services provided has been debited to the income statement and is included in total expenditure of the Group.

Subordinated Debt

The disclosures on the subordinated debt from Barclays plc are included in Note 28.

Notes to the Financial Statements (continued)

For the year ended 31 December 2012

34. Related Party Transactions (continued)

Amounts due from Directors

Advances to customers as at 31 December 2012, include loans to directors, loans to companies controlled by directors or their families, and loans to employees as follows:

	2012 Shs million	2011 Shs million
At the start of the year	90	84
Amounts advanced during the year	28	31
Repayments received	(5)	(25)
At the end of year	113	90

At 31 December 2012 advances to directors or companies controlled by directors or their families amounted to Shs 113 million (2011: Shs 90 million). All loans to Directors, (a) were made in the ordinary course of business, (b) were made on substantially the same terms, including interest rates and collateral, as those prevailing at the same time for comparable transactions with other persons and (c) did not involve more than a normal risk of collectability or present other unfavourable features.

No allowances for impairment were recognised in respect of loans to Directors. (2011: Nil).

Deposits By Directors

During the year the directors maintained various deposit accounts with the Bank which included current, savings and fixed deposit accounts. At 31 December 2012 balances relating to directors deposits amounted to Shs 44.9 million (2011: Shs 16.2 million).

	2012 Shs million	2011 Shs million
Key Management Compensation		
Salaries and other short-term employment benefits	328	343
Directors Emoluments		
Fees for services as directors	16	15
Other emoluments (included in key management compensation above)	104	86
Barclays Plc share options scheme (amount recharged to Barclays Bank of Kenya)	18	32

There were no pension contributions paid to defined contribution schemes on behalf of Directors (2011: Nil). As at 31 December 2012, there were no Directors accruing benefits under a defined benefit scheme (2011: Nil).

34. Related Party Transactions (continued)

Staff Pension Scheme

Barclays Bank of Kenya Limited Staff Pension Fund and Barclays Bank of Kenya Limited Staff Retirement Benefits (DC) Scheme 2009 (the "Funds") are sponsored by Barclays Bank of Kenya Limited. The Funds' foreign investments are managed by Barclays Private Banking & Trust Limited, which is a related entity to the Fund by virtue of shareholding.

The Bank provides normal banking services to the Funds in order to facilitate the day to day financial administration of the Funds.

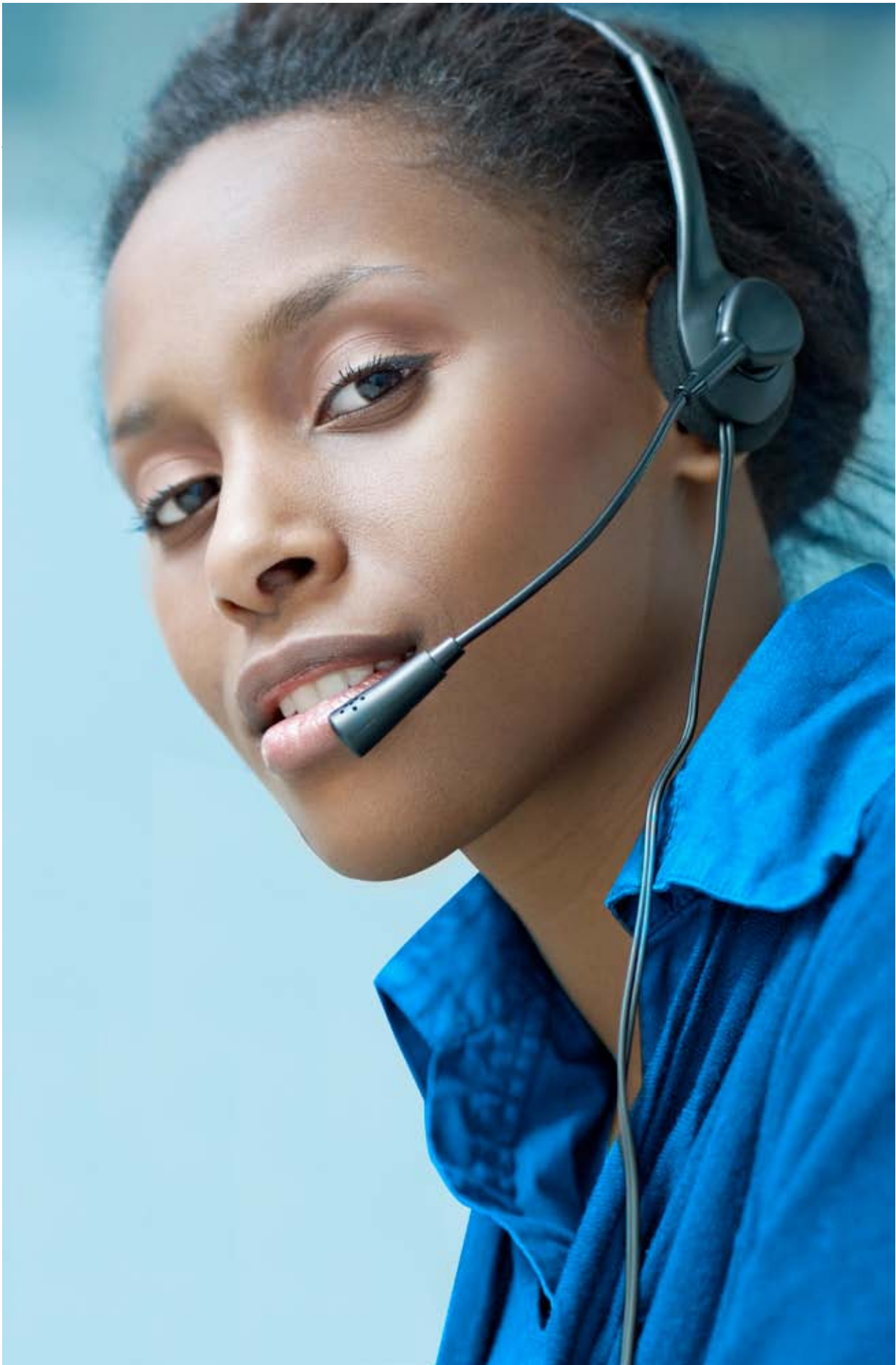
	2012 Shs million	2011 Shs million
Transactions during the year		
Rent expense	78	57
Interest on fixed and time deposits	71	24
Dividends on Barclays Bank of Kenya shares	26	38

The transactions were at similar terms and conditions to those offered to other customers.

	2012 Shs million	2011 Shs million
Outstanding balances:		
Investment balances	363	959

New Customer Service Standards.

Aim to be top-tier for customers and client satisfaction in all of our principal businesses.



Notice of the Annual General Meeting

Notice is hereby given that the Thirty-fourth Annual General Meeting of the Shareholders of Barclays Bank of Kenya Limited will be held in the Tsavo Ballroom, Kenyatta International Conference Centre, Harambee Avenue, Nairobi on Thursday, 30th May 2013 at 11:00 a.m. to transact the following business:

1. To confirm the Minutes of the Thirtieth-third Annual General Meeting held on 6th June 2012.
2. To receive, consider and if thought fit, adopt the Annual Report and Financial Statements for the year ended 31st December 2012 together with the Directors' and Auditors' reports thereon.
3. To declare a dividend.
4. To elect Directors:
In accordance with Articles 94, 95 and 96 of the Company's Articles of Association, the following Directors are due for retirement by rotation and being eligible, individually offer themselves for re-election:

Jane Karuku
Brown Ondego

5. To authorise the Board to fix the remuneration of the Directors.
6. To appoint Auditors and to authorise the Board to fix the remuneration of the Auditors.
7. To transact any other business of the Company of which due notice has been received.

By order of the Board



Judy Nyaga
Company Secretary
30 April 2013

Note 1: A member entitled to attend and vote at the meeting is entitled to appoint a proxy to attend on his or her behalf. A proxy need not be a member of the Company. To be valid, a form of proxy which is provided with this report must be duly completed by the member and must either be lodged with the Registrar of the Company at Custody and Registrars Services, 6th Floor, Bruce House, Standard Street, Nairobi or be posted to Custody and Registrars Services, P. O. Box 8484-00100 Nairobi, so as to reach the Registrar not later than 11.00 a.m. on Tuesday 28th May 2013.

Note 2: Registration of members and proxies for the Annual General Meeting will commence at 8.00 a.m. on 30th May 2013. Members and proxies should carry their national ID cards and a copy of a relevant Central Depository and Settlement Corporation (CDSC) account statement for ease of the registration process.

Tangazo la Mkutano Mkuu wa Mwaka

Tangazo linatolewa hapa kuwa Mkutano Mkuu wa Mwaka wa thelathini na nne wa wenye-hisa wa benki ya Barclays Bank of Kenya Limited utafanyika katika ukumbi wa Tsavo katika Jumba La Mikutano La Kimataifa, KICC, lililoko katika barabara ya Harambee Avenue, Nairobi siku ya Alhamisi tarehe 30 Mei, 2013 saa tano asubuhi ili kutekeleza shughuli zifuatazo:

1. Kuidhinisha kumbukumbu za mkutano mkuu wa mwaka wa thelathini na tatu uliofanyika tarehe 6 Juni, 2012.
2. Kupokea, kuthibitisha na ikikubaliwa kuidhinisha Ripoti ya mwaka na taarifa za fedha za mwaka uliomalizika tarehe 31 Disemba, 2012 pamoja na taarifa za wakurugenzi na za wakaguzi wa mahesabu.
3. Kutangaza mgawo.
4. Kuchagua wakurugenzi:
Kulingana na vifungu 94,95 na 96 vya sheria za kampuni, wakurugenzi wafuatao ambao wanastaafu kwa zamu na kwa vile wanastahili, wanajitolea kuchaguliwa tena:

**Jane Karuku
Brown Ondego**

5. Kuipa idhini halmashauri kuamua malipo ya wakurugenzi.
6. Kuteua wakaguzi wa mahesabu na kuiruhusu halmashauri kuamua malipo ya wakaguzi hao.
7. Kufanya shughuli nyengine yoyote ya kampuni ambayo ilani yake imepokewa.

Kwa amri ya Halmashauri



Judy Nyaga
Katibu wa kampuni
30 Aprili 2013

Fahamu 1: Mwenyehisa anayeruhusiwa kisheria kuhudhuria mkutano mkuu na kupiga kura ana haki ya kumchagua mwakilishi atakayehudhuria kwa niaba yake. Mwakilishi huyo si lazima awe ni mwenyehisa wa kampuni.

Ili ikubalike, fomu ya mwakilishi ambayo imeambatanishwa na ripoti hii ni lazima ikamilishwe kujazwa na mwenyehisa na lazima iwasilishwe kwa msajili wa hisa za kampuni, Custody and Registrars Services, ghorofa ya sita Jumba la Bruce, barabara ya Standard, Nairobi au itumwe kwa Custody and Registrars Services kupitia posta, S.L.P. 8484-00100 Nairobi ili imfikie msajili kabla ya saa tano asubuhi, siku ya Jumanne tarehe 28 Mei, 2013.

Fahamu 2: Uandikishaji wa wenye-hisa na waakilishi wa wenye-hisa katika Mkutano Mkuu wa Mwaka utanza saa mbili asubuhi tarehe 30 Mei, 2013. Wenye-hisa na waakilishi watahitajika kubeba vitambulisho vyao pamoja na nakala husika ya taarifa ya akaunti ya shirika kuu la amana na mapatano (CDSC) ili kurahisisha utaratibu wa uandikishaji.

Proxy Form

Custody and Registrars Services Limited.
Bruce House, 6th Floor, Standard Street,
P. O. Box 8484-00100, Nairobi.

*I/We

of

being *a member/members of Barclays Bank of Kenya Limited, hereby appoint:

.....
of (address)

.....
or failing *him/her

.....
of (address)

.....
and failing *him/her the Chairman of the meeting as *my/our proxy to vote for *me/us on *my/our behalf at the thirty-third Annual General Meeting of the Company to be held on Wednesday, 30th May 2013 and at any adjournment thereof.

As witness *I/we affix *my/our *hand/hands this

day of 2013.

Signature(s)

.....
Unless otherwise instructed, the proxy will vote as *he/she thinks fit.

***Delete whichever is not applicable.**

Note 1. A member entitled to attend and vote at the meeting is entitled to appoint a proxy on his or her behalf. A proxy need not be a member of the Company.

Note 2. In case of a member being a corporation this proxy must be executed under its common seal or signed on its behalf by an officer or attorney of the corporation duly authorised in writing.

Note 3. To be valid, this proxy form must be duly completed by the member and must either be lodged with the Registrar of the Company at Custody and Registrars Services, 6th Floor, Bruce House, Standard Street, Nairobi or be posted to Custody and Registrars Services, P. O. Box 8484-00100 Nairobi, so as to reach the Registrar not later than 11.00 a.m. on Tuesday 28th May 2013.

Fomu ya Uwakilishi

Custody and Registrars Services Limited.
Bruce House, 6th Floor, Standard Street,
P. O Box 8484-00100, Nairobi.

*Mimi/Sisi

wa

kama *mwanachama/wanachama wa Benki ya Barclays Bank of Kenya Limited, namteua/tunamteua:

wa (anwani)

au akikosa * yeye

wa (anwani)

na *akikosa yeye Mwenyekiti wa mkutano kama mwakilishi *wangu/wetu * anipigie/atupigie kura kwa niaba *yangu/ yetu katika mkutano mkuu wa thelathini na nne wa kampuni hii ambao utafanyika Alhamisi tarehe 30 Mei,2013 na katika ahirisho lolote litakalotokea baadaye.

Kama ushahidi *ninatia/tunatia saina *yangu/yetu

siku hii ya ya mwezi wa 2013.

Sahihi

Labda kuwe na maagizo, lakini mwakilishi atakuwa huru kupiga kura apendavyo.

***Futa yasiyofaa.**

Maelezo ya 1. Mwanachama mwenye haki ya kuhudhuria na kupiga kura katika mkutano ana haki ya kumteua mwakilishi wake. Sio lazima mwakilishi awe mwanachama wa kampuni.

Maelezo ya 2. Iwapo mwanachama ni shirika fomu hii ya uwakilishi lazima ipigwe muhuri au iwe na saina ya afisa au mwanasheria wa shirika aliyeruhusiwa kwa maandishi.

Maelezo ya 3. Ili ikubalike, fomu hii lazima ijazwe kikamilifu na mwanachama na lazima iwasilishwe kwa msajili wa kampuni katika Custody and Registrars Services, 6th Floor, Bruce House, Standard Street, Nairobi au itumwe kwa njia ya posta kwa Custody and Registrars Services, S.L.P.8484-00100 Nairobi, ili imfikie msajili kabla ya au ifikiapo saa tano asubuhi siku ya Jumanne tarehe 28 Mei,2013.

Notes

